Solvency and Financial Condition Report 2025

HDI ASSICURAZIONI

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HDI ASSICURAZIONI S.p.A.

Solvency and Financial Condition Report

2025

Approved by the Board of Directors on 24 March 2026

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SUMMARY

HDI
ASSICURAZIONI

This document constitutes the Annual Solvency and Financial Condition Report (SFCR) of HDI Assicurazioni S.p.A., (hereinafter also referred to as *the Company*, *Company* or *Company*). It is drawn up in compliance with the disclosure obligations provided for by Directive 2009/138/EC issued by the European Parliament (the so-called *Solvency II Directive),* transposed into national law through the Private Insurance Code (CAP). The Report also meets the requirements set out in Delegated Regulation (EU) 2015/35 (Delegated Acts), which supplements the Directive, and the provisions contained in IVASS Regulation no. 33, ensuring an adequate level of transparency towards external stakeholders and the market.

This section summarizes the essential information relating to the Company's solvency and financial situation, which is discussed in more detail in the following sections with reference to:

A. Activities and Results
B. Governance System
C. Risk Profile
D. Solvency Assessment
E. Capital Management

All information contained in the document refers, unless otherwise indicated, to the Company's 2025 financial year.

All amounts are shown in thousands of euros. Any discrepancies in the totals or differences shown in the tables are attributable to rounding.

A. Activities and Results

HDI Assicurazioni S.p.A. is a multi-class company operating exclusively in Italy in the life and non-life sectors, authorized to carry out insurance activities and is part of a large German insurance company present in over 175 countries worldwide, Talanx AG.

The Company is a wholly owned subsidiary of HDI International AG and operates through a network of over 800 agencies, supported by distribution agreements with leading banking operators and brokers. The activity is mainly aimed at retail customers.

During the 2025 financial year, the Company recorded total premium income (direct and indirect) of 1,677,561 thousand Euros; The composition of the portfolio shows an increase in the incidence of the P&C business, against a reduction in premiums written in the Life business, mainly attributable to the profit-sharing insurance sector. The technical results of the P&C business improved compared to the previous year, as evidenced by the reduction in the combined ratio, while the impact of operating expenses on premiums increased slightly.

Total investments, net of assets held for contracts linked to an index and linked to units, amount to 5,328,578 thousand Euros. Financial management is based on criteria of prudence and consistency with the nature and duration of insurance liabilities, with a prevalence of investments in bond instruments characterized by high credit quality and adequate liquidity. The investment strategy is implemented in compliance with the prudent person principle and progressively integrates environmental, social and governance (ESG) factors. The net result of investments, although down compared to the previous year, was positive overall.

The 2025 financial year closed with a positive net economic result of 40,667 thousand Euros, determined by a profit in the non-life business and a loss in the life business. The proposed allocation of the result provides for the coverage of the loss of the life business through the use of available reserves, as well as the distribution of dividends and the strengthening of capital through provisions to reserves, in compliance with current regulations. Overall, the Company confirms a solid capital and financial position, supported by prudent management of the insurance and financial business.

B. Governance System

HDI Assicurazioni S.p.A., in accordance with IVASS Regulation no. 38 of 3 July 2018, adopts an "enhanced" corporate governance system, referred to in the IVASS Market Letter of 05 July 2018, considered the most suitable for the sound and prudent management of the Company.

HDI Assicurazioni's Governance System is proportionate to the nature, complexity of the Company's activities and risk profile; is oriented towards the objective of creating value for shareholders in the medium to long term, in the awareness of the social importance of the activities in which the Company is engaged and of the consequent need to adequately consider, in their performance, all the interests involved.

The Company adopts the traditional Governance System as defined by Italian legislation, having as its main bodies: the Shareholders' Meeting which, in matters within its competence, expresses the will of the Shareholders; the Board of Directors, which is entrusted with the strategic management of the Company, and the Board of Statutory Auditors, which operates to supervise compliance with the Law and the Articles of Association.

The Top Management responsible for the implementation, maintenance and monitoring of the policies and directives issued by the Board of Directors is also an integral part of the corporate governance model.

In addition, the Company, in accordance with the provisions of the legislation, has established four Fundamental Functions, the so-called Key Functions: Internal Audit, Group Risk Management, Group Compliance and Actuarial Function and, in accordance with the provisions of IVASS Regulation no. 44/2019, has established an independent Anti-Money Laundering, Anti-Terrorism and Anti-Fraud Function.

The roles and responsibilities of the fundamental functions responsible for internal control are set out in specific policies approved by the Company's Board of Directors.

C. Risk Profile

The Company's risk profile, assessed in compliance with the Solvency II regulatory framework and the Risk Appetite Framework approved by the Board of Directors, is overall balanced and consistent with the company's strategy and available capital capacity. The main risks to which the Company is exposed relate to underwriting risk, market risk and credit risk, quantified using the Standard Formula, supplemented by the application of the Volatility Adjustment and the use of the Undertaking Specific Parameters (USP) for certain P&C segments. Underwriting risk remained substantially stable compared to the previous year, with adequate mitigation measures, in particular through the use of reinsurance. Market risk is mainly attributable to spread and interest rate risk and is managed according to the prudent person principle, through investment policies based on diversification and control of limits. Credit risk is not materially concentrated and is monitored through a rigorous counterparty selection and supervision process. The liquidity risk is adequately monitored and such as to guarantee the Company's ability to meet its financial commitments even in stressful conditions. Operational risk and other material risks, including strategic, ESG, reputational, emerging and ICT risks, are subject to qualitative assessments and structured monitoring and, at the reporting date, do not have a significant impact on the solvency profile.

SOLVENCY CAPITAL REQUIREMENT (amounts in EUR thousand)

	2025
Market risk	181.322
Counterparty default risk	83.119
Life underwriting risk	88.698
Health underwriting risk	32.133
Non-life underwriting risk	287.140
Diversification	-218.571
BSCR	**453.842**
Operational risk	55.969
Loss-absorbing capacity of deferred taxes	-79.722
SCR	**430.089**

D. Assessment for Solvency

The valuation of the Company's assets and liabilities is carried out in compliance with the assumption of business continuity and in accordance with the Solvency II regulatory framework, applying measurement criteria consistent with the Fair Value principle. In particular, valuations are based on observable market prices or, failing that, on estimation techniques that maximize the use of market inputs and limit the use of Company-specific assumptions. Technical Provisions are determined as the sum of the Best Estimate and the Risk Margin and reflect the present value of expected future cash flows, discounted on the basis of the risk-free interest rate maturity structure provided by EIOPA, including the application of the Volatility Adjustment. The differences with respect to the statutory financial statements are mainly attributable to the adoption of market-consistent valuation criteria, the processes for discounting future cash flows and the inclusion of the Risk Margin, which result in a different representation of assets, liabilities and Technical Provisions. Overall, the methodologies adopted ensure a prudent, consistent and aligned representation of the economic value of the Company for solvency purposes.

E. Capital Management

The Company manages capital in a manner consistent with the Solvency II regulatory framework, ensuring on an ongoing basis the availability of adequate Own Funds in terms of quality and amount to cover the risks assumed and regulatory capital requirements. The capital management policy, approved by the Board of Directors and integrated into the strategic planning process and the risk management system, is aimed at maintaining a position of solid solvency both from a current and prospective perspective. At the reference date, the available Own Funds, entirely made up of basic Own Funds and correctly classified by tier level, are fully eligible to cover the Solvency Capital Requirement (SCR) and the Minimum Capital Requirement (MCR). The calculation of the SCR is carried out using the Standard Formula, using the Undertaking Specific Parameters (USP) and the Volatility Adjustment, and shows a level of capitalisation well above the regulatory requirements. The Solvency Ratio remained at high levels and improved compared to the previous year, confirming the Company's ability to absorb adverse scenarios. During the year, there were no situations of non-compliance with capital requirements, nor did any significant critical issues emerge in terms of capital management.

AVAILABLE AND ELIGIBLE OWN FUNDS (amounts in EUR thousand)

	2025
Total available own funds to meet the SCR	**907.564**
Total available own funds to meet the MCR	**907.564**
Total eligible own funds to meet the SCR	**907.564**
Total eligible own funds to meet the MCR	**778.853**
SCR	430.089
MCR	193.540
Ratio of Eligible own funds to SCR	211,0%
Ratio of Eligible own funds to MCR	402,4%

Section A
ACTIVITIES AND RESULTS

A.1 Activities

A.1.1 Company Information

HDI Assicurazioni S.p.A., with registered office in Rome, is an insurance company authorised to carry out life and non-life insurance activities by Ministerial Decree no. 19570/1993 and is registered in Section I of the Register of Insurance Companies under no. 1.00022.

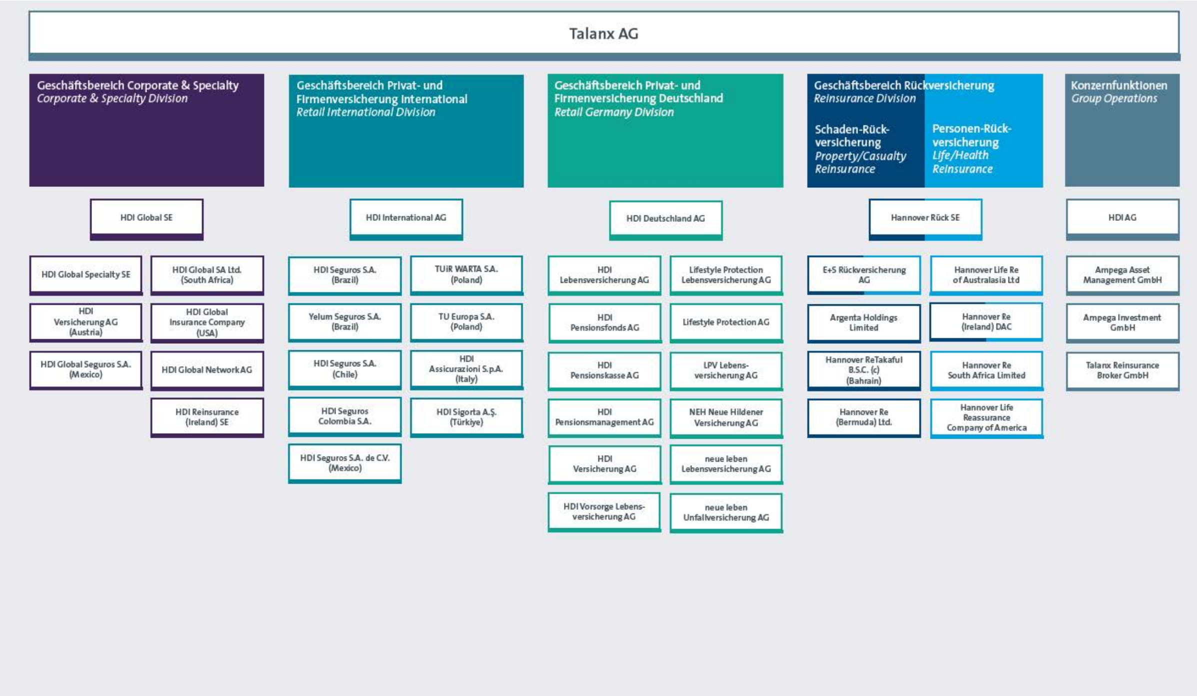
On 15 July 2008, IVASS registered the HDI Assicurazioni Group in the Register of Insurance Groups, assigning it the order number "015".

As of December 31, 2025, the following companies belong to the Group:

- HDI Assicurazioni S.p.A. (Parent Company), with registered office in Rome P.zza Guglielmo Marconi, 25;
- HDI Immobiliare S.r.l., with registered office in Rome, P.zza Guglielmo Marconi, 25, a real estate management company 100% owned by HDI Assicurazioni S.p.A.;
- InLinea S.p.A., with registered office in Rome, P.zza Guglielmo Marconi, 25, a financial and insurance brokerage company, 100% owned by HDI Assicurazioni S.p.A.;
- InChiaro Life dac, an Irish insurance company, based in Dublin, engaged in life insurance activities, 100% owned by HDI Assicurazioni S.p.A.

The Company is part of a large German insurance company present in over 175 countries worldwide, given that the controlling shareholder - as the holder of 100% of the share capital - is HDI International AG whose share capital is wholly owned by Talanx AG.

Talanx AG - the holding company of the HDI VAG Group - is a mutual insurance company - through various companies, operating in the field of direct non-life and life insurance, in the field of non-life, life, health reinsurance, and in financial services.



HDI Assicurazioni S.p.A., as already highlighted, is a multi-class company that operates on the national territory, through a network of General Agencies and with specific agreements with banking institutions and brokers.

The auditing of the accounts of HDI Assicurazioni S.p.A. is carried out by the Independent Auditors PricewaterhouseCoopers S.p.A.

The Mission of HDI Assicurazioni S.p.A. is represented by the claim "By your side, every day", which expresses the Company's desire to stand out through constant proximity to the Customer. This principle translates into a relational model based on values such as attention, service, transparency, honesty and competence.

The Company operates by addressing a defined and selected clientele, mainly belonging to the Retail segment, offering products and services aimed at creating value for policyholders and generating a sustainable competitive advantage.

The origins of HDI Assicurazioni S.p.A. date back to 1881, with the establishment of the "Mutual Aid Society" in Italy by a group of railway workers; An evolutionary path that has led to the current reality. HDI Assicurazioni is today the result of that journey that began more than a century ago.

Since 1997, the company has been part of the Talanx Group in Hanover, one of the leading international insurance groups.

In Italy, HDI can count on a network of over 800 Agents distributed throughout the country, further strengthened by partnerships with leading operators in the banking sector. HDI Assicurazioni ranks 11th in the P&C ranking of insurance groups.

HDI Assicurazioni's strategic vision, in line with the Group's principles, places the customer at the center of the company's activities. The goal is to be an insurance company that is always connected and oriented towards the continuous improvement of the quality of the offer and service, through the differentiation of products and the optimization of rates.

In summary, for HDI Assicurazioni being "By your side, every day" means:

- develop insurance solutions and customised services, tailored to the needs of customers and distributed through dedicated channels;
- operate in accordance with the principles of social responsibility, maintaining constant attention to the community and the context in which the Company is located;
- consolidate over time a relationship based on loyalty, mutual esteem and trust, recognizing the value of insurance as an essential tool for the protection and growth of people's standard of living.

A.1.2 Significant events

With effect from July 1, 2025, the shares held by HINT Europa Beteiligungs AG & Co. KG have been transferred to the parent company HDI International AG, which therefore owns 100% of the shares of HDI Assicurazioni S.p.A.

The Company does not hold treasury shares or shares of the parent company.

A.2 Underwriting Results

The result of underwriting activities, net of reinsurance, broken down by business segment (Business lines), is shown in the following table. The net subscription result differs from the net technical balance in the statutory financial statements prepared in accordance with Italian accounting standards, due to the absence of financial income and expenses and other technical income and expenses. Claims costs include settlement costs, which amount to 55,988 thousand Euros in the non-life business and 1,183 thousand Euros in the life business. P&C management expenses include acquisition costs of 102,260 thousand Euros, administrative expenses of 23,809 thousand Euros and general expenses of 85,138 thousand Euros. Life management expenses include acquisition costs of 1,173 thousand Euros, administrative expenses of 5,267 thousand Euros and general expenses of 13,848 thousand Euros.

UNDERWRITING RESULTS (NET OF REINSURANCE) (amounts in EUR thousand)

Lines of Business	Premiums written	Premiums earned (A)	Claims (B)	Variation of other technical provisions (C)	Management Expenses (D)	Underwriting Result E=A-B-C-D
Medical expense insurance	5.627	5.513	1.927	-	2.370	1.216
Income protection insurance	51.027	52.522	21.603	-	21.493	9.425
Motor vehicle liability insurance	403.183	398.341	281.916	-	91.766	24.659
Other motor insurance	106.080	91.552	60.011	-	33.904	-2.363
Marine, aviation and transport insurance	1.819	2.552	1.021	-	396	1.135
Fire and other damage to property insurance	80.805	72.150	47.007	-	31.511	-6.367
General liability insurance	48.692	48.665	25.529	-	18.288	4.848
Credit and suretyship insurance	27.096	22.928	5.956	-	8.329	8.643
Legal expenses insurance	2.432	1.950	708	-	-1.350	2.591
Assistance	12.408	11.902	2.992	-	3.970	4.941
Miscellaneous financial loss	1.897	2.501	5.187	-	531	-3.217
Total Non Life	741.066	710.575	453.857	-	211.207	45.512
Health insurance	0	0	-	-	-	-
Insurance with profit participation	794.910	794.910	1.074.540	-	17.987	-297.617
Index-linked and unit-linked insurance	71.136	71.136	60.998	-	2.050	8.088
Other life insurance	6.016	6.016	10.242	-	250	-4.477
Total Life	872.062	872.062	1.145.780	-	20.288	-294.006
Total	**1.613.128**	**1.582.638**	**1.599.637**	**-**	**231.495**	**-248.494**

Issued premiums

Gross premiums written for direct business amounted to 1,677,399 thousand Euros, a decrease of -8.1% compared to 1,825,914 thousand Euros in the previous year. Non-life written premiums, amounting to 799,088 thousand Euros, increased by +3.8% compared to 769,556 thousand Euros in the previous year. Life written premiums, amounting to 878,311 thousand Euros, decreased by -16.9% compared to 1,056,358 thousand Euros in 2024.

The percentage composition of total premiums issued shows an increase in non-life classes from 42.1% to 47.6%, while life classes decreased from 57.9% in 2024 to 52.4% in 2025.

The motor classes, with 520,653 thousand Euros, represent 65.2% of the total non-life classes (66.1% in 2024) and compared to the previous year recorded an increase of 11,685 thousand Euros, while the other non-life classes, with 278,435 thousand Euros, represent 34.8% of the total non-life classes (33.9% in 2024) and compared to the previous year recorded an increase of +17,847 thousand Euros (+6.8%).

WRITTEN PREMIUMS (amounts in EUR thousand)

Direct Business	2025		2024		Variazione	
	Amount	%	Amount	%	Amount	%
Motor vehicle liability insurance	403.853	24,1%	408.986	22,4%	-5.133	-1,3%
Other motor insurance	116.800	7,0%	99.982	5,5%	16.818	16,8%
Total Motor segments	520.653	31,0%	508.968	27,9%	11.685	2,3%
Medical expense insurance	5.802	0,3%	5.211	0,3%	591	11,3%
Income protection insurance	52.615	3,1%	50.414	2,8%	2.201	4,4%
Marine, aviation and transport insurance	1.872	0,1%	2.063	0,1%	-191	-9,3%
Fire and other damage to property insurance	94.212	5,6%	85.049	4,7%	9.163	10,8%
General liability insurance	50.932	3,0%	50.618	2,8%	314	0,6%
Credit and suretyship insurance	42.792	2,6%	38.413	2,1%	4.379	11,4%
Legal expenses insurance	7.833	0,5%	7.508	0,4%	325	4,3%
Assistance	20.400	1,2%	19.548	1,1%	852	4,4%
Miscellaneous financial loss	1.977	0,1%	1.764	0,1%	213	12,1%
Total other non-life segments	278.435	16,6%	260.588	14,3%	17.847	6,8%
Total Non-Life	**799.088**	**47,6%**	**769.556**	42,1%	**29.532**	**3,8%**
Health insurance	3	0,0%	3	0,0%	0	0,0%
Insurance with profit participation	794.915	47,4%	976.623	53,5%	-181.708	-18,6%
Index-linked and unit-linked insurance	71.136	4,2%	71.531	3,9%	-395	-0,6%
Other life insurance	12.257	0,7%	8.201	0,4%	4.056	49,5%
Total Life	**878.311**	**52,4%**	**1.056.358**	57,9%	**-178.047**	**-16,9%**
Total direct business	**1.677.399**	**100%**	**1.825.914**	**100,0%**	**-148.515**	**-8,1%**
Total indirect business	**162**		**163**		**-1**	**-0,6%**
Total written premiums	**1.677.561**		**1.826.077**		**-148.516**	**-8,1%**

Premiums written for Motor Vehicle Liability Insurance amounted to 403,853 thousand Euros, representing 50.5% of total non-life classes, while premiums written for Other motor insurance amounted to 116,800 thousand Euros, equal to 14.6% of total non-life classes. The reduction in premiums in the Motor Vehicle Liability Insurance class is mainly linked to lower volumes in the Truck sector and the decrease in the average premium.

Among the other non-life classes, among the most significant classes is the increase in the Fire and other property damage insurance (+9,163 thousand Euros compared to the 2024 figure) and the credit and surety business (+4,379 thousand Euros); the changes recorded by the other non-life classes were more contained, although growing overall.

Within the life business, the reduction in premiums issued, amounting to -178,047 thousand Euros, is mainly attributable to the premium income of the Insurance class with profit sharing, which amounted to 794,915 thousand Euros and decreased by -181,708 thousand Euros (-18.6%), the premium income relating to the Insurance class linked to an index and linked to units recorded a slight decrease and went from 71,531 thousand Euros in 2024 to 71,136 of 2025 (-0.6%). Finally, premiums written in the Other Life Insurance business increased by +49.5% compared to 2024 and amounted to 12,257 thousand Euros.

New business amounted to 789,066 thousand Euros, with a decrease of 18.8% compared to 2024. In particular, single premiums and recurring premiums, with 787,779 thousand Euros, decreased by 18.7%, while annual premiums, with 1,287 thousand Euros, decreased by 28.5%

Technical performance of claims and management expenses

The technical performance of the P&C business – direct business – shows improved results compared to the previous year, with reference to the combined ratio going from 90.62% in 2024 to 89.39% in 2025.

The total claims-to-premium ratio decreased by 1.66 points, from 61.67% to 60.02%.

The cost ratio increased from 28.94% to 29.37%.

The aforementioned ratios are calculated considering the settlement costs in the context of claims charges, in line with the classification in the statutory financial statements.

TECHNICAL PERFORMANCE

	2025	2024	Variation
Total C/P	60,02%	61,67%	-1,66
Cost ratio	29,37%	28,94%	0,43
Combined ratio	**89,39%**	**90,62%**	**-1,23**

The following tables show the data relating to the ratio Total Claims (Claims for the year and previous years) / Accrual premiums and the ratio Management expenses / Accrual premiums, by Solvency II balance sheet class compared with the data of the previous year.

CLAIMS / EARNED PREMIUMS

(amounts in EUR thousand)

Description	2025			2024			Variation
	Claims pertaining to the period	Premiums pertaining to the period	Claims/ Premiums	Claims pertaining to the period	Premiums pertaining to the period	Claims/ Premiums	Claims/ Premiums
Medical expense insurance	1.977	5.772	34,25%	2.134	4.892	43,62%	-9,37
Income protection insurance	22.166	54.871	40,40%	17.727	54.391	32,59%	7,80
Motor vehicle liability insurance	281.852	399.012	70,64%	300.200	403.524	74,39%	-3,76
Other motor insurance	59.590	102.272	58,27%	54.483	88.242	61,74%	-3,48
Marine, aviation and transport insurance	1.035	2.605	39,73%	3.193	1.335	239,18%	-199,44
Fire and other damage to property insurance	48.553	83.740	57,98%	45.395	80.457	56,42%	1,56
General liability insurance	25.124	50.876	49,38%	22.422	51.228	43,77%	5,61
Credit and suretyship insurance	8.695	38.981	22,31%	3.201	35.910	8,91%	13,39
Legal expenses insurance	1.420	7.638	18,59%	1.948	7.490	26,01%	-7,42
Assistance	5.895	19.826	29,73%	5.996	19.611	30,57%	-0,84
Miscellaneous financial loss	5.019	3.075	163,22%	6.246	3.543	176,29%	-13,07
Total	**461.326**	**768.668**	**60,02%**	**462.945**	**750.623**	**61,67%**	**-1,66**

OPERATING EXPENSES INCURRED / EARNED PREMIUMS

(amounts in EUR thousand)

Description	2025			2024			Variation
	Operating expenses incurred	Premiums pertaining to the period	Expenses/ Earned premiums	Operating expenses incurred	Premiums pertaining to the period	Expenses/ Earned premiums	Expenses/ Earned premiums
Medical expense insurance	2.371	5.772	41,08%	2.163	4.892	44,22%	-3,14
Income protection insurance	21.498	54.871	39,18%	20.924	54.391	38,47%	0,71
Motor vehicle liability insurance	92.628	399.012	23,21%	95.237	403.524	23,60%	-0,39
Other motor insurance	33.904	102.272	33,15%	29.233	88.242	33,13%	0,02
Marine, aviation and transport insurance	402	2.605	15,43%	454	1.335	34,01%	-18,58
Fire and other damage to property insurance	33.374	83.740	39,85%	31.484	80.457	39,13%	0,72
General liability insurance	18.338	50.876	36,04%	17.866	51.228	34,88%	1,17
Credit and suretyship insurance	14.564	38.981	37,36%	11.455	35.910	31,90%	5,46
Legal expenses insurance	2.244	7.638	29,38%	2.143	7.490	28,61%	0,77
Assistance	5.895	19.826	29,73%	5.743	19.611	29,28%	0,45
Miscellaneous financial loss	567	3.075	18,44%	546	3.543	15,41%	3,03
Total	**225.785**	**768.668**	**29,37%**	**217.248**	**750.623**	**28,94%**	**0,43**

With reference to the most significant classes of the balance sheet in terms of premiums issued, Motor Vehicle Liability Insurance shows a decrease of approximately 3.76 points in the total S/P ratio (from 74.39% to 70.64%).

The management expenses of direct work as a whole amount to 248,090 thousand Euros (of which 225,784 non-life and 22,306 life). The impact on total premiums, as shown in the table below, increased and stood at 14.8%; in the P&C segment the incidence increased by +0.1 points to 28.3% while in the Life segment it increased by 0.4 points (from 2.1% to 2.5%).

EXPENSES INCURRED (amounts in EUR thousand)

	2025			2024			Variation %		
	Non-Life	Life	Total	Non-Life	Life	Total	Non-Life	Life	Total
Administrative expenses	23.809	5.266	29.075	21.423	4.868	26.291	11,1%	8,2%	10,6%
Acquisition expenses	116.837	3.191	120.028	110.398	2.850	113.248	5,8%	12,0%	6,0%
Overhead expenses	85.138	13.849	98.987	85.426	14.827	100.253	-0,3%	-6,6%	-1,3%
Total operating expenses	225.784	22.306	248.090	217.247	22.545	239.792	3,9%	-1,1%	3,5%
Expenses to premiums ratio	28,3%	2,5%	14,8%	28,2%	2,1%	13,1%	0,10	0,40	1,70
Investment management expenses	2.807	3.309	6.116	7.706	5.253	12.959	-63,6%	-37,0%	-52,8%
Claims management expenses	55.988	1.183	57.171	60.155	1.251	61.406	-6,9%	-5,4%	-6,9%
Total expenses incurred	**284.579**	**26.798**	**311.377**	**285.108**	**29.049**	**314.157**	**-0,2%**	**-7,7%**	**-0,9%**

A.2.1 Areas of activity and substantial geographical areas

The Company carries out its activities exclusively in Italy.

A.3 Investment results

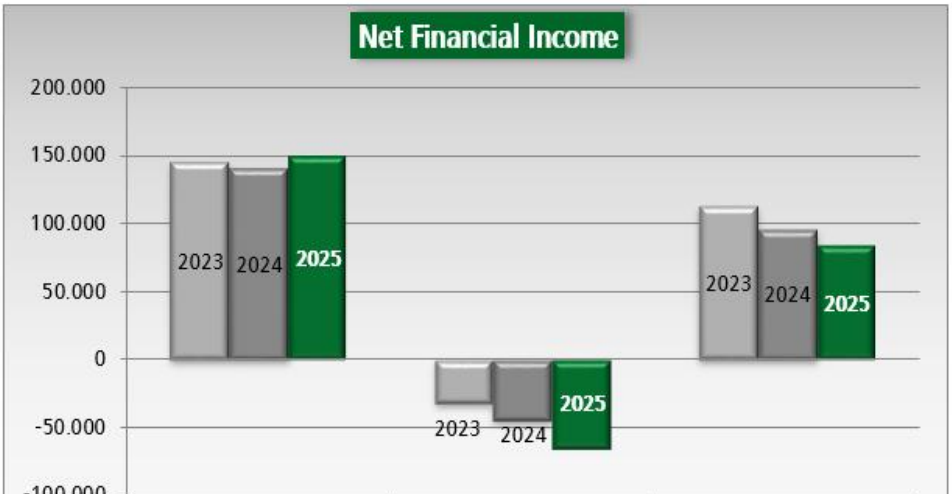
A.3.1 Overall results of investment activities and their components

Investments, excluding assets held for contracts linked to an index and linked to units, amounted to 5,328,578 thousand Euros, down by -156,892 thousand Euros compared to 5,485,470 thousand Euros in 2024; the Fair Value measurement resulted in a lower value in the Solvency II valuation than in the statutory financial statements of 180,625 thousand Euros. It should be noted that, in order to provide a representation of the statutory data consistent with the values of the Solvency II financial statements, the accrued income on interest, which in the statutory financial statements, as required by ISVAP Regulation no. 22 of 4 April 2008, are shown in item G. Accruals and deferrals, have been reclassified under investments.

INVESTMENTS (amounts in EUR thousand)

	2025			2024		
	Solvency II value	Statutory accounts value	Variation	Solvency II value	Statutory accounts value	Variation
Property (other than for own use)	45.338	28.968	16.370	44.506	29.909	14.597
Holdings in related undertakings, including participations	136.242	136.477	-235	137.335	136.288	1.047
Equities	5.970	5.693	278	5.904	5.585	319
Equities - listed	3.961	3.813	148	3.730	3.706	24
Equities - unlisted	2.009	1.879	130	2.174	1.879	295
Bonds	4.882.163	5.083.574	-201.411	5.016.257	5.294.846	-278.589
Government Bonds	3.222.852	3.398.399	-175.547	3.401.974	3.639.930	-237.956
Corporate Bonds	1.602.885	1.624.518	-21.633	1.610.473	1.650.901	-40.428
Structured notes	54.510	58.653	-4.143	-	-	-
Collateralised securities	1.916	2.004	-88	3.811	4.015	-204
Collective Investments Undertakings	258.865	254.492	4.373	281.467	276.636	4.832
Derivatives	-	-	-	-	-	-
Deposits other than cash equivalents	-	-	-	-	-	-
Other investments	-	-	-	-	-	-
Investments (other than assets held for index-linked and unit-linked contracts)	5.328.579	5.509.204	-180.626	5.485.469	5.743.264	-257.795
Assets held for index-linked and unit-linked contracts	729.869	729.869	-	686.670	686.670	-

Net profit from investments at the end of the year amounted to 83,480 thousand Euros, compared to 95,448 thousand Euros in 2024, with a decrease of -11,968 thousand Euros (-12.5%). Net profit from investments in life business amounted to 62,543 thousand Euros (82,978 thousand Euros in 2024, with a decrease of -20,435 thousand Euros), while non-life classes recorded a positive result of 20,937 thousand Euros (12,470 thousand Euros in 2024, with an increase of 8,467 thousand Euros).



	Gross financial income	Financial charges	Net financial income
2023	144.811	-32.595	112.216
2024	140.180	-44.732	95.448
2025	148.554	-65.074	83.480

In particular, in 2025, higher net ordinary income was recorded compared to the previous year for +14,568 thousand Euros, of which +15,116 thousand Euros Life and -548 thousand Euros for Non-Life, lower net valuation income for -27,137 thousand Euros, of which -10,141 thousand Euros for Life and -16,996 thousand Euros for Non-Life and higher net realized income for +601 thousand Euros, of which +3,492 thousand Euros Life and -2,891 thousand Euros non-life.

Extraordinary financial income, net of related charges, shows a positive result of +3,052 thousand Euros, of which +2,111 thousand Euros Life and +941 thousand Euros P&C, recording a better result of +5,390 thousand Euros compared to the 2024 figure, in which a negative result of -2,338 thousand Euros was recorded, of which -1,926 thousand Euros Life and -412 thousand Euros non-life.

INCOME AND CHARGE ON FINANCIAL INVESTMENTS (amounts in EUR thousand)

	2025			2024			Variation		
	Vita	Danni	Totale	Vita	Danni	Totale	Vita	Danni	Totale
a) Income on equities	390	721	1.111	1.114	8	1.122	-65,0%	8912,5%	-1,0%
b) Income on other investments:									
lands and buldings	1.981	-	1.981	2.539	35	2.574	-22,0%	- 100,0 %	-23,0%
debt securities and other fixed income securities	89.650	39.327	128.977	90.044	29.787	119.831	-0,4%	32,0%	7,6%
other income	6.168	270	6.438	6.982	271	7.253	-11,7%	-0,4%	-11,2%
	97.799	**39.597**	**137.396**	**99.565**	**30.093**	**129.658**	**-1,8%**	**31,6%**	**6,0%**
c) Write-backs:									
lands and buldings	-	-	-	-	-	-	-	0,0%	0,0%
equities	386	224	610	892	214	1.106	- 56,7 %	4,7%	-44,8%
debt securities and other fixed income securities	131	219	350	18	92	110	627,8%	+ 138,0 %	218,2%
other financial investments	3.840	-	3.840	2.471	-	2.471	55,4%	0,0%	55,4%
	4.357	**443**	**4.800**	**3.381**	**306**	**3.687**	**28,9%**	**44,8%**	**30,2%**
d) Gains on the realisation of investments:									
equities	2.272	-	2.272	1.392	-	1.392	+ 63,2 %	-	+ 63,2 %
debt securities and other fixed income securities	657	576	1.233	1.227	876	2.103	-46,5%	-34,2%	-41,4%
other financial investments	830	912	1.742	203	2.015	2.218	308,9%	-54,7%	- 21,5 %
	3.759	**1.488**	**5.247**	**2.822**	**2.891**	**5.713**	**33,2%**	**-48,5%**	**-8,2%**
Total Income (A)	106.305	42.249	148.554	106.882	33.298	140.180	-0,5%	26,9%	6,0%
a) Management charges:									
equities	84	52	136	162	54	216	-48,1%	-3,7%	-37,0%
lands and buldings	305	3	308	1.205	103	1.308	-74,7%	- 97,1 %	-76,5%
other financial investments	2.909	1.984	4.893	3.871	1.962	5.833	-24,9%	+ 1,1 %	-16,1%
interest on deposits from reinsurers	-	-	-	-	-	-	0,0%	-	-
general expenses and mortisation	12	767	779	16	5.586	5.602	-25,0%	-86,3%	-86,1%
	3.310	**2.806**	**6.116**	**5.254**	**7.705**	**12.959**	**-37,0%**	**-63,6%**	**-52,8%**
b) Value adjustments:									
lands and buldings	931	11	942	931	11	942	0,0%	-	0,0%
equities	190	738	928	314	-	314	-39,5%	0,0%	195,5%
debt securities and other fixed income securities	29.577	11.265	40.842	3.044	247	3.291	871,6%	4460,7%	1141,0%
other financial investments	3.106	2.310	5.416	11.542	3.784	15.326	-73,1%	- 39,0 %	-64,7%
	33.804	**14.324**	**48.128**	**15.831**	**4.042**	**19.873**	**113,5%**	**254,4%**	**142,2%**
c) Losses on the realisation of investments:									
equities	34	-	34	295	-	295	-88,5%	-	-88,5%
debt securities and other fixed income securities	6.611	4.182	10.793	2.519	9.081	11.600	162,4%	-53,9%	-7,0%
other financial investments	3	-	3	5	-	5	-40,0%	-	-40,0%
	6.648	**4.182**	**10.830**	**2.819**	**9.081**	**11.900**	**135,8%**	**-53,9%**	-9,0%
Total charges (B)	43.762	21.312	65.074	23.904	20.828	44.732	83,1%	2,3%	45,5%
Net financial income (A-B)	**62.543**	**20.937**	**83.480**	**82.978**	**12.470**	**95.448**	**-24,6%**	**67,9%**	**-12,5%**
Extraordinary income (C)	2.839	941	3.780	4.591	1.089	5.680	-38,2%	-13,6%	-33,5%
Extraordinary financial charges (D)	728	-	728	6.517	1.501	8.018	- 88,8 %	- 100,0 %	- 90,9 %
Net extraordinary income (C-D)	2.111	941	3.052	-1.926	-412	-2.338	-209,6%	-328,4%	-230,5%
Total net income from investments	**64.654**	**21.878**	**86.532**	**81.052**	**12.058**	**93.110**	**-20,2%**	**81,4%**	**-7,1%**

Real estate management generated a positive net result of +732 thousand Euros, recording an improvement of +407 thousand Euros compared to 2024.

Securities management generated a positive result of +2,896 thousand Euros in the equity segment (of which 426 thousand Euros is the positive result deriving from group companies), compared to a positive result of +2,794 thousand Euros recorded in 2024 (of which +431 thousand Euros deriving from group companies).

The result of the ordinary management of the bond segment shows a positive result of 74,031 thousand Euros (of which 261 thousand Euros deriving from group companies), compared to a positive result of 101,319 thousand Euros in 2024 (of which 261 thousand Euros deriving from group companies). Finally, other investments generated a positive result of +5,821 thousand Euros, compared to a negative result of -8,990 thousand Euros recorded in 2024.

INVESTMENT INCOME BY TYPE OF MANAGEMENT (amounts in EUR thousand)

	2025			2024			Variation		
	Life	Non-Life	Total	Life	Non-Life	Total	Life	Non-Life	Total
Property	746	-14	732	404	-79	325	342	65	407
Equities	2.740	156	2.896	2.626	168	2.794	114	-12	102
Bonds	51.340	22.691	74.031	81.854	19.465	101.319	-30.514	3.226	-27.288
Other investments	7.717	-1.896	5.821	-1.906	-7.084	-8.990	9.623	5.188	14.811
Total	**62.543**	**20.937**	**83.480**	**82.978**	**12.470**	**95.448**	**-20.435**	**8.467**	**-11.968**

A.3.2 Investments in securitisations

There are no significant investments in securitisations in the portfolio.
Possible exposures will always remain of little magnitude and materiality.

A.3.3 Investment strategy

The Company has defined an investment strategy consistent with its governance system and with the framework of corporate policies approved by the Board of Directors. This strategy is inspired by the prudent person principle and is aimed at ensuring sound, prudent and efficient asset management, in line with the nature, duration and characteristics of the insurance commitments undertaken.

Investment decisions are taken as part of a structured process that involves the relevant corporate functions and a system of controls aimed at ensuring compliance with operational, regulatory and internal limits. The strategy is geared towards stable results, the protection of policyholders' interests and the maintenance of an adequate level of liquidity, also in order to meet contractual obligations in conditions of market stress.

The allocation of assets favours financial instruments characterised by high credit quality, adequate liquidity and transparency, with a prevalence of investments in fixed income instruments. Diversification by issuer, economic sector and geographical area is a central element of investment policy, in order to mitigate concentration risks.

The Company is progressively integrating environmental, social and governance (ESG) factors into its decision-making processes, in line with its sustainability policies and the evolution of the regulatory framework, encouraging investments that contribute to reducing risks in the medium to long term.

The strategic policy is shown below according to the following breakdown of the portfolios:

- Life Portfolio:
  - Separate Management: there are five separate management of the Company: Fondo Futuro, Alfiere, Capitalbank and, for social security purposes, the Approdo and HDI Fondo Pensione managements;
  - Free Living
- P&C Portfolio;
- Unit Linked Portfolio;
- Fondo Pensione Aperto.

The Strategy - Segregation (Alfiere, Futuro, Capitalbank)

The Company aims, broadly speaking, to achieve a gross annual return of more than 2.0% for the Alfiere management in 2026, over 2.30% for Fondo Futuro and more than 3% for Capitalbank. These objectives will be defined in such a way as to strengthen the company's position in the market and preserve both technical balance and stability of results.

The Alfiere portfolio has begun to receive the ESG rating from the provider Mainstreet, as the products of which it represents the underlying are certified art. 8 ex SFDR.

The investment and divestment choices for Alfiere and Fondo Futuro will be influenced by both the return targets and the path to further improve their ESG rating.

Liquidity will be kept at an appropriate level, so that opportunities can be seized in the bond sector and, at the same time, meet any redemption requests.

Any new investments in illiquid or complex instruments will only be considered if they are able to bring additional income, to a marginal extent, in compliance with regulatory limits and with a level of risk that the Company can adequately monitor. The purchase of non-rated securities will take place exclusively after internal analysis and with continuous and structured monitoring.

The Strategy - HDI Pension Fund – Approdo

The Company aims to achieve an indicative gross annual return of between 2.50% and 3.00% for both the Approdo and HDI-Pension Fund Funds. These objectives will be defined with the aim of ensuring compliance with the commitments undertaken, maintaining an adequate level of risk and consolidating the Company's position in the insurance sector.

Fixed income will continue to be the main component of the portfolio; Within this asset class, any reallocations will be driven by the opportunities offered by duration and the progressive normalization of the rate curve. The new investments will be aimed mainly at European Union countries, while exposure to emerging markets will remain minimal compared to government or corporate instruments in euros, characterized by high liquidity and issuers of primary standing.

Duration management will take into account maturities and interest rate sensitivity, with a probable – albeit gradual – lengthening trend. As extraordinary income becomes increasingly rare, the search for ordinary profitability within the fixed income sector will take on a priority role, including through a careful assessment of credit risk and spreads.

The distribution between the different asset classes will depend on both portfolio turnover and the impact of new investments on overall profitability.

No investments in derivative instruments are envisaged. The preference will be oriented towards fixed-rate securities, rather than variable-rate indexed solutions.

The Strategy - Life Portfolio

The strategic asset allocation will be maintained on a stable basis and consistent with the principles of diversification by issuer, economic sector and geographical area.

In the presence of new investments, the management will favor instruments capable of offering higher average yields to maturity, while evaluating a gradual increase in duration, provided that it is compatible with the market rate environment and the volatility observed on the main curves.

The liquidity of the issues will continue to represent an essential requirement in allocation choices, which can be found in the standing of the issuer and in the amount issued.

The preference will remain oriented towards government issues, which form the basis of the derisking strategy launched with the aim of optimizing the absorption of regulatory capital. However, this does not exclude a stable role for corporate bonds of high credit quality, whose overall weight will tend to remain unchanged within the portfolio.

The Strategy – P&C Portfolio

During 2026, the management approach oriented towards a progressive, but selective, lengthening of the duration will continue, with an approach aimed at punctual coverage of the maturities of the passive portfolio. This strategy will have benefits both on the side of growth in yields to maturity and from the point of view of the capital charge, i.e. the absorption of capital.

In the medium to long term, portfolio management is expected to be slightly less conservative, oriented towards broadening diversification and increasing attention to the quality of issuers. At the same time, if the interest rate environment remains attractive and the curve shows signs of gradual normalization with a return of the premium for longer maturities, a reduction in liquidity deposits may be planned.

Implementing such a strategy in the short term would allow the portfolio to benefit from higher returns in the following years, in an environment in which the restrictive monetary policies of central banks could progressively ease.

The focus will continue to be on issues with high liquidity, investment grade ratings and issuers of proven standing. However, the focus will remain on government bonds.

The Strategy - Unit Linked

The Unit Linked will be managed through a two-pronged approach:

- passive management, with selection of "best in class" ETFs, as is already the case with the Multisolution product;
- active management, as in the case of the Multi Value Flex portfolio.

For almost all assets, Unit Linked portfolios will be increasingly inspired by an ESG approach, taking into account the United Nations SDGs objectives, for which the impact report is drawn up on a six-monthly basis.

The Company aims to consolidate the Unit Linked segment as one of the main drivers of future growth, integrating sustainability, product innovation and rigorous financial management. This path will be a pillar of the commercial strategy in the next three years.

The Strategy – Fondo Pensione Aperto

The Fondo Pensione Aperto will maintain an investment strategy in line with previous years, the guidelines of the four lines are shown below:

- Prudent Line: oriented towards capital preservation and stability of returns, with a prevalent exposure to euro bonds, mainly government bonds, with investment grade ratings. The sub-fund's assets are mainly invested in government bonds denominated in euros with a rating of not less than B (Standard & Poor's) and ancillary in other financial instruments denominated in euros that have an average rating of not less than BB (Standard & Poor's) and/or Baa2 (Moody's);
- Balanced Line: the sub-fund aims to balance growth and protection, with an equity component of up to 50% and a strong focus on liquidity, issuer quality and creditworthiness. The assets of the Sub-Fund are invested in financial instruments denominated in euros;
- Dynamic Line: oriented towards long-term capital growth, with a predominantly equity exposure, focused on listed big cap stocks, broadly diversified and with low currency risk;
- Guaranteed Line: its primary objective is capital protection, with a strong bond structure and a marginal equity component, with a limited duration. The equity component also includes UCIs and may not exceed 10%.

A.4 Results of other activities

Other revenues

OTHER REVENUES (amounts in EUR thousand)

	2025	2024	Variation
Interest on cash and cash equivalents	2.314	2.951	-637
Recoveries from third parties for management fees and expenses	441	523	-82
Recovery of foreign claims handling fees	802	775	27
Withdrawal of the provision for doubtful accounts	16.308	30	16.278
Use of funds	4.101	5.725	-1.624
Tax credit income	1.549	205	1.344
Other income	361	656	-295
Interest on receivables	260	246	14
Foreign exchange gains	-	493	-493
Gains on the disposal of furniture	12	3	9
Extraordinary tax income	-	-	-
Non-technical contingent assets	1.949	1.073	876
Total	**28.097**	**12.680**	**15.417**

The use of provisions includes the withdrawal from the company reorganisation provision for 2,018 thousand Euros, from the provision for executive health expenses for 858 thousand Euros and seniority bonus for 8 thousand Euros, from the tax provision for 8 thousand Euros, from the provision for doubtful accounts receivables from agencies, co-insurance companies and reinsurance for a total of 630 thousand Euros. from the provision for fraudulent cheques for 121 thousand Euros, from the provision for litigation intermediaries for 444 thousand Euros and withdrawals from other funds for a total of 14 thousand Euros.

The withdrawal from the provision for doubtful accounts concerns the full use of the provision established in previous years, equal to 100% of the total receivable. As previously reported, this write-down was necessary following the objective difficulty of recovering receivables and the negative outcome of the legal actions undertaken, relating to the obligation to repurchase the shares deriving from the conversion of the bond issued by Veneto Banca for a total amount of Euro 16,308 thousand.

Interest on receivables, amounting to 260 thousand Euros, mainly refers to interest income accrued on receivables from agents for recourse.

Interest on cash and cash equivalents amounted to 2,314 thousand Euros.

Recoveries from other companies for foreign claims management skills amount to 802 thousand euros.

As reported in the report, tax credit income refers to the purchase of tax credits from credit institutions. The receivables have already been fully used in compensation through F24 by the end of the year, obtaining a total economic benefit of 1,549 thousand Euros.

Recoveries from third parties for administrative expenses and charges amounted to 441 thousand Euros and mainly refer to the recovery of the cost of seconded personnel and revenues from administrative services provided to subsidiaries, as shown in the following table.

RECOVERY OF EXPENSES FROM SUBSIDIARIES (amounts in EUR thousand)

	2025	2024	Variazione
InChiaro Life	60	77	-17
InLinea S.p.A.	359	423	-64
HDI Immobiliare S.r.l.	22	22	-
Total	**441**	**522**	**-81**

Non-technical contingent assets amounting to 1,949 thousand Euros increased by 876 thousand Euros compared to 2024, where they amounted to 1,073 thousand Euros.

Other expenses

Other expenses amounted to 38,996 thousand Euros, an increase of 6,269 thousand Euros compared to the previous year; The following table shows the details of other expenses compared with the previous year.

OTHER EXPENSES (amounts in EUR thousand)

	2025	2024	Variation
Other taxes and penalties	264	622	-358
Allowance for doubtful accounts	1.052	385	667
Amortization of goodwill	7.634	7.634	-
Provision for litigation fund	63	-	63
Provision for fraudulent check fund	-	11	-11
Administrative charges to third parties	3.148	3.441	-293
Interest on subordinated liabilities	9.678	11.829	-2.151
Interest expense	187	2.972	-2.785
Losses on receivables	16.505	1.352	15.153
Foreign exchange losses	322	30	292
Miscellaneous charges	1	1	-
Losses on disposal of movable assets	1	4	-3
Impairment of intangible assets	-	115	-115
Contingent liabilities for taxes	1	59	-58
Extraordinary acc. Provision for corporate reorganization	-	4.100	-4.100
Non-technical contingent liabilities	140	172	-32
Total	**38.996**	**32.727**	**6.269**

Administrative charges on behalf of third parties amount to 3,148 thousand Euros and refer to expenses incurred for personnel who manage foreign claims and provide services to subsidiaries; consist of personnel expenses for 2,612 thousand Euros (of which 2,018 thousand Euros consisting of expenses incurred for redundant personnel), general expenses for 495 thousand Euros, expenses incurred on behalf of the UCI for 29 thousand Euros and other expenses for 12 thousand Euros.

Losses on receivables amounted to 16,505 thousand Euros and refer, as previously reported, to the write-down of receivables due from Veneto Banca.

Interest expense on subordinated liabilities amounted to 9,678 thousand Euros and includes interest expense on subordinated loans taken out by the shareholder HDI International for 6,924 thousand Euros, by subsidiaries for 1,698 thousand Euros and by third-party companies for 1,056 thousand Euros.

Interest expense amounted to 187 thousand Euros.

The provision for doubtful accounts amounts to 1,052 thousand Euros and includes the provision made during the year for receivables from agencies.

Finally, other expenses include the portion of goodwill amortization, amounting to 7,634 thousand Euros, of which 3,118 thousand Euros of amortization of goodwill deriving from the merger by incorporation of CBA Vita and InChiaro Assicurazioni into HDI Assicurazioni and 4,516 thousand Euros deriving from the merger by incorporation of HDI Italia into HDI Assicurazioni.

A.4.1 Significant leasing contracts

There are no leased assets and no acquisition transactions have been carried out under finance leases for either real estate or other assets. The Company currently has operating leasing contracts in place as a lessor of buildings (offices, agencies or similar), IT tools and company cars.

With reference to the aforementioned leasing contracts, it should be noted that for the purposes of IFRS 16, the Company has recognised, for all types of leases, an asset that represents the right of use of the asset subject to the lease and, at the same time, the debt relating to the rents provided for in the contract.

A.5 Other information

The 2025 financial year closed with a positive net result of +40,667 thousand Euros, of which -5,755 thousand Euros Life and +46,422 thousand Euros non-Life.

PERIOD RESULT	(amounts in EUR thousand)		
	Life	Non-Life	Total
Profit 2025	-5.755	46.422	40.667

The proposal to the shareholders' meeting provides for the following operations.

- allocation of profit from non-life business, amounting to 46,422 thousand Euros, to the legal reserve for non-life classes for 3,000 thousand Euros and to non-distributable reserve for revaluation of non-life investments for 10 thousand Euros;
- distribution of the residual profit from the non-life business, amounting to 43,412 thousand Euros, and of the extraordinary reserve for the non-life business for 4,288 thousand Euros, so that a total dividend from the non-life business of 47,700 thousand Euros will be distributed;
- allocation of the reserve not available pursuant to IVASS Regulation no. 52 of 30 August 2022 of the non-life classes to the extraordinary reserve for the non-life classes for 10,850 thousand Euros;
- coverage of the loss of life business, amounting to -5,755 thousand Euros through the use of the extraordinary reserve for life classes equal to the same amount;
- allocation of the extraordinary reserve for life classes to a non-distributable reserve for the revaluation of equity investments in life classes for 10 thousand Euros;
- allocation of the non-distributable reserve for foreign exchange gains in the life business to the extraordinary reserve for the life business for Euro 176 thousand;
- allocation of the reserve not available pursuant to IVASS Regulation no. 52 of 30 August 2022 of the life business to the extraordinary reserve of the life business for Euro 23,865 thousand;
- distribution of the extraordinary reserve for life classes for 50,000 thousand Euros.

As a result of the above, the Company's shareholders' equity will be constituted as indicated in the following table, separately for each non-life and life management and with a total summary.

SHAREHOLDERS' EQUITY

(amounts in EUR thousand)

	Life segments			Non-Life segments		
	2025	Variation	Final balance	2025	Variation	Final balance
Share Capital	76.000	-	76.000	275.000	-	275.000
Legal Reserve	15.200	-	15.200	27.000	3.000	30.000
Non-distributable reserve rev. part.	214	10	224	214	10	224
Non-distributable reserve profit on exchange	176	-176	-	-	-	-
Non-distributable reserve Reg.52	23.865	-23.865	-	10.850	-10.850	-
Extraordinary reserve	71.749	-31.724	40.025	42.600	6.562	49.162
Capital injection reserve	-	-	-	5.000	-	5.000
Operating result	-5.755	5.755	-	46.422	-46.422	-
Total	181.449	-50.000	131.449	407.086	-47.700	359.386

(amounts in EUR thousand)

	2025	Variation	Final balance
Share Capital	351.000	-	351.000
Legal Reserve	42.200	3.000	45.200
Non-distributable reserve rev. part.	428	20	448
Non-distributable reserve profit on exchange	176	-176	-
Non-distributable reserve Reg.52	34.715	-34.715	-
Extraordinary reserve	114.349	-25.162	89.187
Capital injection reserve	5.000	-	5.000
Operating result	40.667	-40.667	-
Total	588.535	-97.700	490.835

Section B
GOVERNANCE SYSTEM

B.1 General information on the Governance System

HDI Assicurazioni S.p.A., in accordance with the provisions of IVASS Regulation no. 38 of 3 July 2018, has adopted a "reinforced" corporate governance system, as defined in the IVASS Market Letter of 05 July 2018, considered more suitable to ensure sound and prudent management of the Company.

The corporate governance system of HDI Assicurazioni S.p.A. is structured in accordance with the indications of the IVASS Supervisory Authority and with the principles established by the Solvency II Directive.

The Company applies a traditional governance model, according to Italian legislation, structured as follows:

- the Shareholders' Meeting, the body that expresses the will of the Shareholders in the matters within its competence;
- the Board of Directors, which is responsible for the strategic supervision of the Company and which operates with the support of the Board Committees, which have advisory and propositional functions;
- the Board of Statutory Auditors, responsible for supervising compliance with the regulations and the Articles of Association, the principles of proper administration, as well as the adequacy of the organisational, administrative and accounting structure and effective operation.

The accounting control function is entrusted to an Independent Auditors registered in the appropriate register, appointed by the Company's Shareholders' Meeting, subject to the opinion of the Board of Statutory Auditors.

An essential component of the corporate governance system is also the Top Management, responsible for the implementation, maintenance and monitoring of the policy policies and directives defined by the Board of Directors regarding the Internal Control and Risk Management system.

B.1.1 Structure of the Governance System

Deliberative Bodies: Shareholders' Meeting

The Shareholders' Meeting is the body responsible for expressing, through its resolutions, the will of the company. The decisions taken, in compliance with the provisions of the law and the Articles of Association, are binding on all members, including absentees and dissenters.

Shareholders' Meetings, both ordinary and extraordinary, are convened by the Board of Directors in accordance with the procedures provided for by current legislation, at the Company's registered office or in another place indicated by the Board of Directors, provided that it is located in Italy.

The Shareholders' Meeting, in ordinary session, in addition to establishing the remuneration due to the bodies appointed by it, approves the remuneration policies in favour of the corporate bodies and staff, including remuneration plans based on financial instruments, where applicable.

Administrative Bodies: Board of Directors

Pursuant to Art. 14 of the Articles of Association, the Company is managed by a Board of Directors whose composition, from 7 to 15 Directors, is determined by the Shareholders' Meeting. The Directors may not be appointed for a period exceeding three financial years and may be re-elected.

The Board of Directors - if the Shareholders' Meeting has not done so - elects a Chairman and a Vice-Chairman from among its members; the President represents the Company in relation to third parties.

The current Board of Directors was appointed by the Shareholders' Meeting at its meeting on 29 April 2025 –- for a three-year term and is composed of 9 members, three of whom are independent.

The role of the Administrative Body is defined by the Company's Articles of Association, which in art. 16 states "The Board of Directors has the broadest powers for the ordinary and extraordinary management of the Company, without limitations, with the power to carry out all the acts it deems necessary and useful for the achievement of the corporate purpose, with the exception of those that by law are expressly reserved to the Shareholders' Meeting". The Board of Directors has the ultimate responsibility for the Internal Control and Risk Management System, which it must ensure is constantly complete, functional and effective, also with reference to outsourced activities.

The Board of Directors ensures that the Risk Management System is adequate to identify, assess and control the most significant risks to which the Company is exposed, including those related to regulatory non-compliance.

In particular, the Council:

- approves the draft budget to be submitted to the Shareholders' Meeting;
- approves the half-yearly economic and financial statements;
- defines the strategic guidelines, development and investment plans and the annual budget;
- examines and approves transactions of particular economic and financial importance, with particular attention to those carried out with related parties or those likely to generate potential conflicts of interest;
- promptly reports to the Board of Statutory Auditors on the activities carried out and on the relevant transactions, also through the Chairman or the Chief Executive Officer.

With reference to the organisational structure of the company, the Board of Directors:

- approves the Company's organisational structure and the assignment of tasks and responsibilities to the various operating units, ensuring over time their adequacy and ability to adapt to changes in strategic objectives, operations and the reference context. This structure is formalized in the Company Function Chart/Organization Chart in force from time to time;
- ensures the adoption and formalisation of appropriate decision-making processes, as well as a proper separation of duties. Ensures that tasks and responsibilities are clearly assigned, allocated and coordinated in line with company policies and that this is correctly represented in role descriptions. It also ensures that all relevant tasks are assigned, avoiding unnecessary overlaps and promoting effective collaboration between all staff;
- approves the system of delegation of powers and responsibilities, periodically verifying its adequacy and ensuring that there is no excessive concentration of powers in the hands of a single person. The Council also adopts monitoring tools on the effective exercise of delegated powers;
- defines the directives on the corporate governance system, reviewing them at least annually to ensure their adequacy with respect to the evolution of company operations. Within the framework of these directives, the Board approves the policies relating to the internal control system, the risk management system and internal audit, in accordance with the provisions of Article 30, paragraph 5, of the Insurance Code, as well as the policy relating to the Actuarial Function;
- it also defines and approves the data governance policy that identifies the roles and responsibilities of the functions involved in the assessment of the quality, use and processing of corporate information, ensuring consistency with the statistical information policy (reporting policy);
- is responsible for the choice to use the Undertaking Specific Parameters (USP) for the calculation of the Solvency Capital Requirement according to the Solvency II Directive and, in this sense, resolves on the submission of the application for authorisation to the Supervisory Authority and is responsible for the adoption of the related changes and/or extensions, as well as for the execution of all the obligations required by the regulatory provisions in force;
- verifies that the Top Management correctly implements the indications regarding the development and functioning of the corporate governance system, ensuring that these guidelines are implemented in a manner consistent with the directives given, periodically assessing their functionality and adequacy;
- provides for periodic checks on the effectiveness and adequacy of the corporate governance system and for the most significant critical issues to be reported to it promptly, promptly issuing directives for the adoption of corrective measures, the effectiveness of which it subsequently assess;
- identifies particular events or circumstances that require immediate intervention by the Top Management;
- ensures, through appropriate measures, a continuous professional updating of company resources and members of the body itself, preparing training plans suitable for guaranteeing the necessary wealth of technical skills for the conscious performance of their respective roles, in line with the nature, scope and complexity of the tasks assigned, as well as preserving the required level of knowledge over time;
- carry out, at least once a year, an assessment of the size, composition and effective functioning of the administrative body as a whole, as well as of its committees, expressing guidelines on the professional figures whose presence in the administrative body is deemed appropriate and proposing any corrective actions; ensures that the corporate governance system is subject to internal review at least annually;
- verifies that the corporate governance system is consistent with the strategic objectives, risk appetite and tolerance limits established and is able to capture the evolution of corporate risks and the interaction between them;
- approves the current and prospective risk assessment policy;

- determines the system of risk objectives, defining the risk appetite of the company in line with its overall solvency needs, identifying the types of risk it considers assuming and consistently setting the related risk tolerance limits, which it reviews at least once a year, in order to ensure its effectiveness over time;
- approves the risk management policy and, for the major sources of risk identified, the Emergency plan (so-called "Recovery Plan") in order to ensure business regularity and continuity;
- approves, taking into account the strategic objectives and in line with the risk management policy, the underwriting, reserving, reinsurance and other risk mitigation techniques and operational risk management policies;
- approves the policy on information to be provided to IVASS and on information to the public (so-called reporting policy);
- approves the capital management policy;
- in compliance with the provisions of Article 274 of the Delegated Acts and Article 30, paragraph 5, of the Code, approves the company policy on outsourcing, defining the strategy and processes applicable for its entire duration;
- is responsible for ensuring the information technology security and digital operational resilience of the organization as required by EU Regulation 2022/2554 (DORA);
- in compliance with the provisions of Article 258, paragraph 1, letters c) and d), 273 of the Delegated Acts and 76 of the Code and related implementing provisions, approves the company policy for the identification and assessment of the possession of the requirements of suitability for office, in terms of integrity and professionalism and independence of those who perform administrative functions, management and control as well as, even in the case of outsourcing, of the owners and those who perform fundamental functions and of the additional personnel capable of significantly affecting the risk profile identified by the company. It assesses the existence of the requirements for these subjects at least once a year. In particular, this policy ensures that the administrative body as a whole has adequate technical expertise at least in the field of insurance and financial markets, governance systems including staff incentive systems, financial and actuarial analysis, regulatory framework, commercial strategies and business models;
- approves the Governance policy of the Undertaking Specific Parameters (USP) for the calculation of the Solvency Capital Requirement relating to the non-life area;
- defines and periodically reviews the guidelines for remuneration policies, for the purpose of approval by the Ordinary Shareholders' Meeting, and is responsible for their correct application.

The Board of Directors meets at least nine times a year, according to a calendar of meetings defined and approved by the Board itself, generally in September of the previous year. Further "extraordinary" meetings may be convened by the President whenever the need arises.

Board Committees

In order to increase the efficiency and effectiveness of its action, the Board of Directors has set up specific internal Committees, with advisory and propositional functions, defining their respective tasks.
The following support committees have been established within the Board of Directors:

- Internal Control and Risk Committee with fact-finding, advisory and propositional functions, for the performance of tasks relating to the internal control and risk management system composed of three non-executive and independent directors. In particular, the Committee assists the Board in determining the guidelines of the internal control and risk management system, in the periodic verification of its adequacy and effective functioning and in the identification and management of the main corporate risks. The Internal Control and Risk Committee is convened and directed by the Coordinator and resolves by an absolute majority of those present.
- The Remuneration Committee, whose composition has been defined by the Board of Directors and coincides with the members of the Internal Control and Risk Committee, in accordance with the provisions of the Regulation in Article 43, paragraphs 1 and 2 of the Regulation, carries out the following activities:
  - advice and proposals in the context of the definition of remuneration policies;
  - makes proposals regarding the remuneration of directors vested with special offices;
  - verifies the adequacy of the overall remuneration scheme as well as the proportionality of the remuneration of the executive director with respect to the relevant personnel of the company. To carry out this task, it avails itself of the support of the Human Resources Department;
  - periodically audits the remuneration policies in order to ensure their adequacy, even in the event of changes in the company's operations or in the market context in which it operates;

- identifies potential conflicts of interest and the measures taken to manage them;
- ascertains the fulfilment of the conditions for the payment of the incentives of the relevant staff. To carry out this task, it makes use of the Human Resources Department and the Planning and Management Control structure;
- provides adequate information to the Administrative Body on the effective functioning of the remuneration policies.

Managerial Committees

HDI Assicurazioni, as part of its governance and internal control system, has provided for the existence of the following internal company committees which, depending on the case, are composed of Managers and Heads of structure; in any case, these Committees perform a purely advisory and propositional function:

- Top Management Committee: it brings together the Company's Top Management collectively, as required by the regulatory legislation of the Insurance Market Supervisory Body. The Top Management Committee assists the Chief Executive Officer in the preparation of general guidelines for the achievement of the Group's strategic objectives and in the executive governance of the Company, for the implementation of measures aimed at these objectives (planning, coordination) and for the verification of results. It is responsible for the implementation, monitoring and maintenance of the internal control and risk management system.
- Management Committee: chaired by the Chief Executive Officer and General Manager, it is permanently composed of all the Company's Executives and pursues the objective of:
  - define and set up the concrete guidelines for the achievement of the operational objectives identified in the annual and multi-year strategic planning documents, approved by the Company's top management bodies, with the exception of those of a financial nature;
  - guide all the company's organisational macro-processes by identifying the best decisions for their correct and more efficient functionality and giving a mandate for their implementation;
  - check the effective implementation of what has been decided, discussing and deciding on any corrections to be made.

The Committee meets at the invitation of its President, at regular intervals at least monthly, in any case normally on the occasion of the institutional moments of budget planning and pre-final and final reporting of the activities.

- Risk Committee: assists the Chief Risk Officer in achieving effective and efficient governance of corporate risks, with a view to progressively strengthening the structures in charge of the internal control and risk management system, through:
  - monitoring the Company's exposure to the main risks and compliance with the operating limits set, to ensure alignment with the risk appetite defined by the Board of Directors;
  - the definition of executive activities regarding risk governance, carrying out the integrated assessment of technical, financial and operational risks, analysing possible risk mitigation techniques and bringing them to the attention of top management;
  - supports the Board of Directors in the development of the culture of risk and control within the Company;
  - contributes to the identification of potential future risks for the Company and defines plans for the correct management of the same;
  - supports the Board of Directors in defining risk policies;
  - assesses, in terms of risk, the business strategies envisaged in the strategic plan on the basis of the documentation produced by the Group's Risk Management function;
  - examines the risk reporting prepared by the Group Risk Management function with the support, each for the part of its competence, of the Group Compliance, Anti-Money Laundering Anti-Terrorism and Group Anti-Fraud, DPO and Data Quality management functions;
  - takes note of the Activity Plans of all the Control Functions and continuously verifies their completion;
  - supports the Board of Directors in verifying the compliance of company operations with the Data Governance policy and the related Procedure.

The Risk Committee also approves the Company's Emergency Plan. Specifically:

- examines the contents of the Plan prepared by the Group's Risk Management, providing any observations, feedback and proposals for amendments and/or additions;
- examines the results of the process of reviewing and updating the Plan.

In the event of a crisis situation, the Risk Committee supports the Top Management Committee in selecting the most appropriate actions to be taken (recovery measures) in order to restore the conditions of sufficient solvency and liquidity and, if necessary, proposes the convening of a Board of Directors.

The Risk Committee also performs the functions assigned to the so-called Subscription Committee, carrying out the obligations as established by the Company's current underwriting policy and finally performs the functions assigned to the Crisis Committee, in line with the provisions of HDI Assicurazioni's Emergency Plan. The Risk Committee meets at least once a month and is chaired by the Chief Risk Officer.

- Group Finance-ALM and Sustainability Committee: assists the Chief Executive Officer/General Manager in the operational and tactical management of assets, supporting him in the investment and divestment choices of transferable securities and in the management of liquidity deriving from operating and financial cash flow. The Committee:
    - proposes investment and divestment choices to the Chief Executive Officer and General Manager;
    - verifies the buying and selling transactions carried out during the previous week;
    - analyzes the financial report of the day, the trend of rates, credit spreads and stock exchanges;
    - analyses the existing portfolio in relation to market trends;
    - verifies the market and performance data of the Company (production, redemptions, returns and asset allocation of separate management, open-ended pension fund, other portfolios, etc.) useful for determining the positioning and possible scenarios for the composition of assets and liabilities;
    - carries out the simulations and stress tests necessary to determine investment strategies, ensuring a constant balance between assets and liabilities;
    - evaluates and approves, in agreement with the Chief Executive Officer and General Manager, the Company's sustainable investment (or ESG) guidelines;
    - defines the list of issuers to be excluded from the investable universe;
    - examines further initiatives of the Company on the theme of sustainability.

The Finance-ALM and Sustainability Committee is chaired by the Chief Financial Officer and meets at the invitation of the Chief Financial Officer or the Head of the Treasury and Investments and Sustainability function.

- Surety Committee: pursues the objective of acknowledging the provisions of legal and corporate regulations concerning the management of relations with Public Bodies/Public Administrations and/or Private Entities with particular regard to the implementation of effective control over the technical-underwriting activity of the Credit and Surety Branches. The Surety Committee is chaired by the Head of the Non-Life Insurance Department and meets at least quarterly at the latter's invitation;
- Product Committee: this is the corporate body responsible for analysing and updating the Company's product range, both for the life business and for the P&C business. In this regard, it approves the design of new products/restyling and, in case of need deriving from the monitoring of the products marketed, identifies appropriate remedial actions. In particular, the Committee ensures:
    - research, study and proposal of new insurance products (including the definition of the reference market to which the product is to be allocated as well as the identification of any reference market for which the product is not intended), both individually and collectively, which better meet the needs of the customers of the distribution networks;
    - the analysis, progress and monitoring of the placement of products, to verify that they are sold to the reference market identified during the design/structuring of the product.

The definition of proposals for new products or restyling is the responsibility of the Committee, which assesses their feasibility and assumes the ultimate responsibility for approving, implementing and subsequently revising them.

The Products Committee is chaired by the Deputy General Manager of Sales and meets at least quarterly, and in any case whenever necessary.

- "Data Protection" Committee: supports the Data Protection Officer by providing advice on issues relating to the protection of personal data that have a transversal impact on the areas of activity of the functions involved, with particular regard to the management of data breaches. The Data Protection Committee, chaired by the Data Protection Officer, meets at his or her call whenever it deems it necessary and in particular following extraordinary events.

- Gender Equality Committee: promotes, manages, monitors and organizes activities aimed at ensuring gender equality within the Company, creating an inclusive work environment without discrimination based on gender. The Committee is chaired by the Head of the Human Resources Department and meets periodically at the request of the Head of the Human Resources Department or of the Representative delegated by the Top Management.
- Assumptions Committee, which assesses and updates current and prospective assumptions relating to assets, liabilities, Technical Provisions and, more generally, assumptions that may have material impacts on the Company's economic, financial and technical assessments and its risk profile. In particular, the Committee ensures:
  - the study and verification of the assumptions adopted by the Company that are material according to the defined thresholds;
  - the monitoring of the Expert Judgements applied by the Company;
  - the monitoring of assumptions.

The Committee is chaired by the Head of the Finance & Administrative Services Department and meets at least every six months at the invitation of its Chairman.

It should be noted that the following Committee was established in May 2025:

- The Project Committee oversees and directs the Company's project portfolio, ensuring full alignment with the company's strategy, optimal use of resources and compliance with deadlines, budgets and quality. In particular, it performs the following functions:
  - evaluation and prioritization of strategic projects;
  - monitoring of progress and management of any escalations;
  - analysis of changes to projects with significant impacts;
  - verification of synergies with the activities of the Assumption Committee.

The Committee, chaired by the Head of the Finance & Administrative Services Department, meets at least quarterly or whenever necessary.

Supervisory Bodies: Board of Statutory Auditors

The Board of Statutory Auditors is the body of the Company responsible for monitoring compliance with the law and the Articles of Association, compliance with the principles of proper administration and in particular the adequacy of the organisational, administrative and accounting structure adopted by the Company.

The Board of Statutory Auditors currently in office was appointed on 29 April 2024 and is composed of three standing members and two alternate members appointed by the Shareholders' Meeting, who remain in office for three financial years; at the end of the mandate they may be re-elected.

Auditors, for their appointment, must possess the requirements of professionalism and integrity required by the special legislation in force.

The Board of Statutory Auditors is entrusted with all the tasks and powers provided for by the Civil Code and by special laws, including those necessary to comply with the provisions of Art. 190, paragraph 3, of Legislative Decree 209/05.

The Top Management

In accordance with the directives of the Board of Directors, the responsibility for the implementation, maintenance and monitoring of the internal control and risk management system lies with the Top Management.

In detail, the Top Management:

- defines in detail the organisational structure of the company, the tasks and responsibilities of the basic operating units, as well as the decision-making processes in line with the directives issued by the board of directors; in this context, it implements the appropriate separation of duties both between individuals and between functions, so as to ensure an adequate dialectic and avoid, as far as possible, the emergence of conflicts of interest;
- with reference to the internal assessment of risk and solvency, it contributes to ensuring the definition of operational limits and to ensuring the timely verification of these limits, as well as the monitoring of risk exposures and compliance with tolerance limits;

- implements the policies inherent to the corporate governance system, in compliance with the roles and tasks assigned to it;
- ensures that the overall functionality and adequacy of the organisational structure and the corporate governance system are maintained;
- verifies that the Board of Directors is periodically informed of the effectiveness and adequacy of the corporate governance system and, in any case, promptly, whenever significant critical issues are identified;
- implements the indications of the Board of Directors regarding the measures to be taken to correct the anomalies found and make improvements;
- proposes to the Board of Directors initiatives aimed at adapting and strengthening the corporate governance system.

Supervisory Body, established pursuant to Legislative Decree 231/2001

The Supervisory Body is responsible for supervising the operation and compliance with the Organisational Model 231/2001 and the Code of Ethics adopted by the Company, taking care of their updating. Verifies that the Company's behavioural methods are consistent with the Organisational Model 231/2001 and the Code of Ethics updated on 30 October 2023.

B.1.2 Role and responsibilities of key functions

The Company, in accordance with the regulations, has established the following four Fundamental Functions: Internal Audit, Group Risk Management, Group Compliance and Actuarial Function.

Furthermore, the Anti-Money Laundering, Anti-Terrorism and Anti-Fraud functions are also part of the fundamental functions of HDI Assicurazioni. All the aforementioned Fundamental Functions report directly to the Board of Directors and are separate from the Company's business operating processes, independent and autonomous from an organizational point of view, thus ensuring separation, objectivity and effectiveness within the internal control system.

Group Internal Audit: appointed to the staff of the Board of Directors, she ensures that the Group Companies define an adequate programme of audits, taking care of their implementation, to verify the adequacy and effectiveness of the Internal Control System, the reliability and integrity of data and information, the adherence of conduct to policies, plans, procedures, laws and regulations. It also ensures the development and proposal of any corrective and/or improvement actions, verifying their correct implementation. It ensures adequate reporting to the Board of Directors, the Board of Statutory Auditors and Top Management at least every six months.

Group Risk Management: the Group Risk Management function, which is responsible for the Chief Risk Officer, ensures the effectiveness of the Company's risk management system, ensuring that all material risks are identified, assessed, monitored and managed in a manner consistent with the Risk Appetite Framework approved by the Board of Directors. The Risk Management Function contributes to the definition of the Company's Risk Strategy, Risk Appetite and Risk Budget, as well as to the development and updating of risk management policies. It guarantees the quantification of the capital requirement and the related level of Solvency, both according to the Standard Formula with USP/Market Wide parameters and according to the Internal Model of the Talanx Group.

The Function participates in the definition of the Investment Guidelines and verifies compliance with them through specific reporting activities and participation in the competent Committees, also contributing to the definition of the investment strategy with reference to the capital absorption of financial risks. It also contributes to the definition of the operational risk limits assigned to the operating structures, verifying their consistency with the risk appetite approved by the Board of Directors. It prepares structured information flows to monitor risk exposures and promptly reports any anomalies or exceedances of the limits.

The Function validates the information flows necessary to ensure timely control of risk exposures and immediate detection of any operational anomalies. It reports to the Board of Directors the risks identified as significant, including in potential terms, and reports on specific areas of risk, also with reference to the Tax Control Framework, on its own initiative or at the request of the corporate bodies.

The Risk Management Function prepares periodic reports addressed to the Board of Directors, Top Management and the heads of the operating structures, with reference to the evolution of the risk profile and any exceeding of operating limits. It also collaborates in the definition of staff economic incentive mechanisms, ensuring consistency with the Company's risk profile.

In close collaboration with the relevant departments, he is responsible for coordinating the Company's prospective capital adequacy assessment activities through the estimation of the capital requirement on the basis of the business strategy and the ORSA process, through the preparation of the related report to the Supervisory Authorities and to the Talanx Group.

The function is also responsible for the preparation of the Solvency II Financial Statements and the validation and preparation of the reports required under Pillar III to the National Supervisory Authority, the Talanx Group and the Market.

It periodically reports to the Board of Directors and the Board of Statutory Auditors on the main issues relating to the activities carried out and in progress, preparing specific documentation for this purpose.

He is the contact person for the Parent Company Talanx and HDI International AG for the monitoring and management of the risks to which the Company is exposed in accordance with the Group Guidelines.

The Data Quality function and the CISO (Chief Information Security Officer) function are also located within the Group's Risk Management function. The Data Quality function guarantees the oversight of the Data Quality process, ensuring the definition and implementation over time of the system defined by the company's Data Governance Policy, through the development of tools and the updating of methodologies and operating methods for data quality control

The CISO Function is responsible for monitoring the information security risks and cyber risks to which the Company is exposed, ensuring the protection of the confidentiality, integrity and availability of the company's information and information systems. The Function defines and updates the framework of policies, standards and guidelines on IT security, in line with applicable legislation and the Group Guidelines, and verifies their effective implementation. It contributes to the identification, assessment and monitoring of ICT and cyber risks, ensuring their integration into the Company's overall risk management system. The CISO oversees the management of cybersecurity incidents and coordinates the prevention, detection and response activities to cyber events, collaborating with the relevant business functions. The Function ensures adequate information flows to the corporate bodies, providing periodic reports on the evolution of the cyber risk profile and on the main initiatives in the field of information security.

Actuarial Function[1]: functionally located within the Group's Risk Management structure, it coordinates the calculation and ensures the validation in terms of results, models and underlying databases of the Best Estimate Solvency II reserves. It carries out the assessment of the quality of the data used for the calculation of Technical Provisions.

It expresses an opinion on the appropriateness of the models used in the calculation of the USPs and on the verification of the underlying assumptions and is responsible for validating the database used for the purposes of the calculation according to the specific procedures defined in the relevant policy. Provides an opinion on the overall underwriting policy including an assessment of the consistency of product pricing, an opinion on the main risk factors that will affect the profitability of business, an opinion on the possible financial impact of any planned change in contractual terms and conditions, and an assessment of the degree of variability in the company's expected profitability estimate and its consistency with its propensity to risk. It also expresses an opinion on the adequacy of the reinsurance agreements entered into with respect to the risk appetite of the company, an assessment of the effect of reinsurance on the estimation of Technical Provisions, an opinion on the effectiveness of the reinsurance agreements entered into in mitigating the volatility of Own Funds.

With a specific report, it expresses an assessment of the sufficiency of the Technical Provisions relating to life insurance and compulsory insurance of Civil Liability of Motor Vehicles and Watercraft on the basis of the valuation criteria applicable to the statutory financial statements.

It verifies the consistency of the reserves drawn up on the basis of the valuation criteria applicable to the statutory financial statements with those obtained with the application of the Solvency II criteria and the consistency between the databases and the data quality process adopted.

It contributes to the effective application of the risk management system. Reports directly to the Board of Directors on the results of the evaluations carried out.

Group Compliance Function: ensures on an ongoing basis the identification of the relevant rules for the purposes of the risk of non-compliance applicable to the Company, assessing their impact on corporate processes, providing support and advice

[1] The Actuarial Function reports directly to the Board of Directors and enjoys the necessary independence and separation in the performance of its duties. The Actuarial Function is exercised by an actuary registered in the professional register referred to in Law no. 194 of 9 February 1942, or by persons who have knowledge of actuarial and financial mathematics, appropriate to the nature, scope and complexity of the risks inherent in the company's activity and proven professional experience in the matters relevant to the performance of the task.

to corporate bodies and other corporate functions on matters for which the risk of non-compliance is significant, and monitors the development and periodic review of procedures and governance measures for the insurance products, in order to identify the risks of non-compliance with the obligations provided for by current legislation. It assesses the adequacy and effectiveness of the organisational measures adopted to prevent the risk of non-compliance with the rules; assesses the effectiveness of the organisational adjustments implemented by the Process Owners and/or the working groups set up; prepares adequate information flows on the activities within its competence, directed to the corporate bodies of the Company and to the other structures involved.

Anti-Money Laundering, Anti-Terrorism and Anti-Fraud Function: ensures the ongoing identification of the anti-money laundering and terrorist financing rules applicable to the Company and assesses their impact on internal processes and procedures, proposing the necessary organisational and procedural changes. It prepares the appropriate internal and external information flows on the activities within its competence. It contributes, in collaboration with the other corporate functions in charge, to the creation of an adequate Training Plan aimed at spreading the culture of anti-money laundering. It verifies the reliability of the AUI feeding information system, transmitting aggregated data of the transactions recorded in the AUI on a monthly basis. It ensures the management and supervision of the obligations, including training, provided for by the Anti-Terrorism legislation. It prepares a half-yearly report and an annual report for the Board of Directors and the Board of Statutory Auditors, also containing the results of the self-assessment of the risk of money laundering. It also reports the results of the checks carried out to the Top Management (Top Management Committee).

B.1.3 Communication flows and connection between Control functions

As part of the internal control and risk management system, it is essential that interaction between the Key Functions is ensured, as well as a regular flow of information between these functions and the Corporate Bodies.

The continuous collaboration between the functions and the bodies responsible for control in order to ensure an effective and efficient system of interrelations and collaboration in the field of risk management and internal controls, takes place through a continuous exchange of information that is explained, among other things, in the Risk Report prepared for the Risk Committee.

Within this system, the Fundamental Functions collaborate with each other while respecting their autonomy, using, among other things, a shared network share that allows an adequate exchange of information, especially in the context of the identification and assessment of risks related to business processes. This allows them to adopt a joint approach to the activities of process mapping and analysis, assessment of operational risks and controls, as well as continuous monitoring of any mitigation actions communicated to the operating structures following the analyses carried out by the aforementioned Functions.

The continuous collaboration between the Fundamental Functions is expressed, among other things, by participating in the drafting of the evidence reported by the Risk Committee, and by participating in specific meetings organized by the Board of Statutory Auditors, the Board Committee for Internal Control and Risks and the SB; through information on the annual planning of the activities of the Functions themselves and the information flows that provide for the mutual exchange of the documentation produced by the individual Functions.

The key functions annually submit their business plan to the Board of Directors and the Board of Statutory Auditors, as well as periodically inform them of the activities carried out and any critical issues encountered. The plan of activities is also shared reciprocally in the network share shared between the control functions and the performance of the activities is monitored within the Risk Committee.

The interactions between the fundamental functions and the corporate bodies are set out below, albeit not exhaustively:

- the Group's Risk Management function prepares specific standardised reports for the Board of Directors on corporate risks, the outcome of the stress tests carried out, the related underlying assumptions and the control of exceeding the limits defined by the Board of Directors, as well as the qualitative and quantitative reporting required under Pillar III;
- the Actuarial Function prepares an opinion for the Board of Directors on the overall underwriting policy, on the reinsurance policy for life and non-life classes and on the reliability and adequacy of the Technical Provisions and calculation methods;
- the Group Compliance function prepares a Half-Yearly Report and an Annual Report to the Corporate Bodies illustrating the final status of the activities relating to the monitoring of the risk of non-compliance; the Compliance function also makes available to the corporate structures concerned, for appropriate information, the reports illustrating the results of the controls carried out;

- the Anti-Money Laundering, Anti-Terrorism and Anti-Fraud function reports to the corporate bodies (Board of Directors and Board of Statutory Auditors) and to the Top Management (Top Management Committee), the results of the audits/activities and the related reports;
- the Group Internal Audit function ensures adequate reporting to the Board of Directors, the Board of Statutory Auditors and Top Management at least every six months; moreover, in the presence of particularly serious situations or in the presence of significant findings, it is obliged to report them urgently to the Board of Directors and the Board of Statutory Auditors.

B.1.4 Changes to the Governance System

As of December 31, 2025, there are no changes to the governance system.

B.1.5 Remuneration policy

The primary objective of remuneration policies is to ensure remuneration that meets the criterion of fairness. Fairness means:

- External equity, i.e. the ratio between the remuneration of the individual and the remuneration that the insurance market offers on average for similar positions. In this case, the insurance market means that share of the overall market made up of companies with a volume of Italian Direct Employment (LDI) premium income comparable to that of HDI Assicurazioni.
- Internal equity, i.e. the relationship between the remuneration of the individual and the remuneration that the company offers to employees with similar or equivalent tasks in terms of skills, relevance, responsibility and complexity.
- Individual equity, i.e. the relationship between the individual's salary and his or her own skills.

HDI Assicurazioni's remuneration policy, defined annually by the Board of Directors, also ensures that the remuneration system is consistent with sound and prudent risk management, avoiding incentives that may encourage the various corporate players to take risks that are not consistent with the Company's long-term interests. The alignment of the company's remuneration policies with long-term objectives also contributes to strengthening the protection of shareholders, policyholders and all stakeholders in general.

This objective is concretely pursued through a remuneration policy based on the following principles:

- an adequate balance of the fixed and variable component, with the connection of the latter to predetermined and measurable performance indicators. In particular, the payment of the variable part of remuneration is linked to the achievement of specific objectives such as:
  - shared corporate objectives that reflect the overall performance of the Company and are linked to performance indicators that take into account the risks associated with the results set and the related charges in terms of capital employed;
  - objectives based on non-financial criteria that contribute to the creation of value for the company, such as compliance with internal and external regulations and the efficiency of customer service;
  - structural objectives;
  - environmental, social or governance sustainability objectives, i.e. relating to commitment to the environment, respect for corporate values and principles such as sharing, equity, diversity and inclusion.
- the setting of limits on the payment of the variable component: the maximum amount that can be paid as variable remuneration at the end of the period is predetermined;
- sustainability: 40% of the variable remuneration of executive directors is paid through the contribution of Performance Units, the value of which is determined taking into account company performance parameters. Performance Units are liquidated over a period of five years. In addition, the letters assigning the objectives delivered to the staff contain both "malus" clauses and clauses that allow the company to request the full return of the amounts credited, if these have been disbursed on the basis of results that have proved to be non-lasting or ineffective as a result of ascertained malicious conduct on the part of the employee assigned the objectives.

The members of the Board of Directors and the Supervisory Body are not entitled to any end-of-term severance pay. For this reason, they are entitled to nothing in the event of termination, early and not from the office.

There are no supplementary pension schemes for the members of the Administrative Body, while all employees are given the opportunity to join an Individual Insurance Pension Plan or a Company Pension Fund.

These forms of supplementary pension are funded by voluntary contributions from both the beneficiary and the employer and provide for the provision of supplementary pension benefits at the time of termination of the employment relationship due to retirement.

The pension fund, in particular, offers a plurality of investment options (sub-funds), each characterized by its own combination of risk / return. It is possible to join one of the Lines that the Fund proposes, or to integrate them with each other, dividing the contribution flow and/or the individual position that has already accrued among several compartments. During the course of the investment relationship, it is possible to change the investment choice previously expressed.

Managers and senior staff in key functions are not paid any sum by way of variable remuneration.

The purpose of the remuneration policy for owners and senior staff in key functions is to maintain internal, external and individual fairness. With reference to these principles, the Board of Directors promotes and resolves on any changes relating to the fixed remuneration of personnel in key functions to ensure that it is adequate with the degree of responsibility and commitments associated with the role held and in line with market standards.

B.1.6 Substantial transactions with Stakeholders

During 2025, there were no substantial transactions with stakeholders.

B.2 Requirements of professionalism, fairness, good repute, independence and requirements assessment procedure

In line with the provisions of the legislation, the Company has adopted a framework policy on suitability for office, based on the requirements of professionalism, fairness, integrity and independence that the persons who actually manage the company or who hold other fundamental functions must respect. The fundamental purpose of this policy is to define adequate organizational and procedural safeguards to circumscribe and minimize reputational risk.

In addition to the persons in charge of the administrative, management and control functions, the recipients of the company policy are the subjects belonging to the so-called "relevant personnel" identified as part of the Corporate Governance policy in force. In accordance with the provisions of IVASS Regulation no. 40 in Article 41, the Head of Distribution Activities is also considered the recipient of the policy as part of the relevant personnel. In addition to these subjects, the Head of the Fondo Pensione Aperto/Piano Individuale Pensionistico as well as the owners of an organizational unit carrying out settlement activities within the Claims Department are to be considered recipients of the company policy.

The professional requirements required of the members of the Board of Directors and the Board of Statutory Auditors are those provided for by current legislation, which can be identified to date in Article 7 of Ministerial Decree No. 88 of 2 May 2022 (MiSe Decree), for members of the Administrative Body and in Article 8 of the same Decree for Statutory Auditors. In addition to the professional requirements referred to in art. 7 and 8, company representatives must meet the competence criteria aimed at proving their suitability to take on the office, as provided for by art. 9 of the MiSe Decree, as well as, pursuant to at.9 c 3 of IVASS Provision no. 144 of 4 June 2024, to be in possession of competences in the field of prevention of money laundering and combating the financing of terrorism. In particular, the Director responsible for anti-money laundering must possess skills and experience relating to money laundering risks, anti-money laundering policies, controls and procedures as well as the business model of the company and the sector in which it operates. Failure to meet these requirements will result in ineligibility for office.

In addition to the requirements of professionalism and the criteria of competence, the adequate collective composition of the Bodies must be assessed in accordance with the provisions of art. 10 and 11 of the MiSe Decree. The evaluation is carried out by the competent body.

The professional requirements required of the Head of the Fondo Pensione Aperto/Piano Individuale Pensionistico are those prescribed from time to time by current legislation, until 31 October 2022 identifiable in art. 3 of Ministerial Decree 220/11, which can now be identified in art. 2 c.1 lett.a-f of Ministerial Decree no. 108 of 11 June 2020. Failure to meet these requirements will result in ineligibility for office.

On 5/3/2024, IVASS issued provision no. 142, with which it amended, among other things, IVASS Regulation no. 38/2018 with the aim of coordinating secondary regulations with the provisions of the CAP and the aforementioned MISE Decree 88/2022 and implementing the delegation granted by said Decree to IVASS regarding the composition of the administrative body.

All relevant personnel, as defined, must possess the professional requirements prescribed in the "profiles" drawn up by the Human Resources Department. In particular, individuals belonging to this category must demonstrate that they possess professional qualifications, knowledge and experience appropriate to the position occupied, so as to allow sound and prudent management and ensure the performance of the tasks related to the role held.

The holders of the fundamental functions must also meet the competence criteria aimed at proving their suitability to take on the office, as provided for by art. 19 paragraph 2 of the MiSe Decree.

That said, it is possible to identify a core of knowledge "common" to all relevant personnel. These can be detailed as follows:

- level of professional qualification in terms of knowledge and experience in the financial sector and the main players;
- knowledge of the insurance market in terms of products, business characteristics, distribution networks;
- knowledge of the roles, responsibilities and decision-making powers constituting the Corporate Governance System;
- knowledge of business models in terms of organization and commercial strategies;
- ability to use conclusions drawn from actuarial and financial analyses;
- knowledge of primary and secondary legislation and their impact on business activities;
- knowledge of the Internal Control System adopted by the Company;
- knowledge of the English language;
- experience in insurance and/or financial companies;
- experience in the planning, organization and management of projects and human resources;
- adequate knowledge of the issues related to the risk management of an insurance company;
- adequate knowledge of information technology issues for an insurance company.

All personnel holding an organisational unit carrying out settlement activities within the Claims Department, in addition to the specific skills required by the role, must instead possess the following core of skills:

- knowledge of the insurance market in terms of products, business characteristics, distribution networks;
- knowledge of the roles, responsibilities and decision-making powers constituting the Corporate Governance System;
- knowledge of business models in terms of organization and commercial strategies;
- ability to use conclusions drawn from actuarial and financial analyses;
- knowledge of primary and secondary legislation and their impact on business activities;
- knowledge of the Internal Control System adopted by the Company;
- adequate knowledge of the issues related to the risk management of an insurance company;
- adequate knowledge of information technology issues for an insurance company.

The concept of good repute, on the other hand, concerns the personal integrity that must characterize all the recipients of the policy. These persons must carry out the activities under their responsibility conscientiously and with an appropriate level of diligence. Integrity consists in the reputation and trust that a person enjoys in relation to the fact that he or she is always able to take into account the legitimate interests of the other actors involved in business processes and in his or her ability to comply with external and internal regulations, as well as corporate rules and practices of conduct. It is therefore essential that the persons with key roles have not shown that they are unsuitable as a result of the occurrence of one of the cases provided for by art. 3 of the MiSe Decree. Key actors must also not engage in activities that could lead to conflicts of interest or the appearance of conflicts of interest.

To meet the requirement of good repute, the Head of the Fondo Pensione Aperto must not be in any of the cases provided for by art. 6 cc.3 and 4 of Ministerial Decree no. 108 of 11 June 2020.

The members of the Board of Directors, the Board of Statutory Auditors, the owners and those who work in the fundamental functions must meet the criteria of correctness referred to in art. 4 of the MiSe Decree. In particular, should one of these persons find themselves in one of the situations provided for in the aforementioned article, it will be the task of the competent body (the body of which the member is a member and, for the Control Functions, the body that confers the office) to assess his or her suitability to hold the office assigned. The evaluation, which must take into account the objectives of sound and prudent management as well as the safeguarding of the company and the trust of the public, must be conducted according to the principles and evaluation criteria referred to in art. 5 of the MiSe Decree.

The independence requirement guarantees the absence of offices/assignments in potential conflict of interest. Failure to meet this requirement will result in ineligibility/forfeiture of office. The persons in charge of the administrative, managerial and control functions must meet the requirements of art. 12 of the MiSe Decree, with regard to the directors, the Chief Executive Officer and the General Manager and the requirements referred to in art. 13 of the same MiSe Decree with regard to mayors. The persons in charge of the administrative, managerial and control functions must also not be in those situations of incompatibility provided for by art. 36 of Law no. 214/2011.

The current Articles of Association provide that at least one quarter of the members of the administrative body must meet the requirements of independence and be devoid of executive powers, bringing professionalism such as to guarantee a high level of internal dialectic and guarantee a significant contribution to the formation of the will of the body. If the value of the quarter share is not a whole number, it approximates the lower integer if the first decimal place is equal to or less than five; otherwise, it approximates the upper whole.

The Company is also required to ensure that the less represented gender in the administrative body is present on a continuous basis in the percentage indicated by the regulations applicable from time to time, thus guaranteeing a system of appointment and replacement that ensures it. Failure to meet these requirements will result in ineligibility/forfeiture of office. Non-executive directors are considered independent if the cases provided for in art. 12 of the MiSe Decree.

The procedure for assessing the possession of the eligibility requirements for office by the recipients is differentiated according to the category of subjects evaluated:

- *Persons in charge of administration, management and control functions:*
  the members of the Board of Directors and the Board of Statutory Auditors declare their status in writing with reference to the requirements; this documentation is issued at the time of appointment, with the obligation to promptly communicate any changes in status; the Board of Directors, on the basis of the aforementioned documentation, assesses the existence of the requirements at least annually, or whenever it receives communications of change of status.
- *Persons who are part of the relevant staff and holders of settlement units within the Claims Department:*
  the assessment of the possession of the requirements for suitability for office by the persons who are part of the Relevant Personnel is carried out by the Board of Directors on an annual basis and with the support of the Human Resources Department.
  In the event of the appointment of new persons holding key functions, an ad hoc assessment will be carried out prior to the appointment. In this case, it is necessary to ask the candidate for a detailed curriculum vitae that contains the following information for each position held during his or her professional career: name of the position, start and end of activity in that position, office name of the company in which he or she worked and type of business model of the company in which this position was held, place where this position was held. The evaluation of the candidate will be based on a profile, drawn up by the Human Resources Department, which will include the minimum requirements as well as any specific requirements for the function to be filled. If the candidate does not fully meet the requirements of the profile, it will be necessary to provide immediate countermeasures to allow the gaps highlighted before the appointment takes place (e.g. implementation of specific training courses). If, at the time of the assessment, there are no significant changes in the characteristics of the person holding one of the identified roles (e.g. new information regarding the person's specialist qualifications or new knowledge relating to the integrity and honesty of the person) or in the elements characterising the role (e.g. extension of the scope of responsibility related to the position or change in the professional requirements necessary for the adequately hold the position), the Board of Directors may decide to consider the last assessment carried out valid.

The Board of Directors will carry out ad hoc assessments if there are significant changes in personal characteristics or in relation to the role which, in the opinion of the Administrative Body, make it necessary to investigate the existence of the requirements of professionalism and integrity for the person affected by such changes.

The Administrative Body as a whole must possess adequate technical skills for the correct performance of its function. To this end, it is necessary that this Body at the collective level (i.e. not referred to each individual member of the same) possess the following competences:

- knowledge of the insurance market in terms of products, business characteristics, distribution networks;
- knowledge of the roles, responsibilities and decision-making powers constituting the Corporate Governance System;
- knowledge of business models in terms of organization and commercial strategies;

- ability to use conclusions drawn from actuarial and financial analyses;
- knowledge of primary and secondary legislation and their impact on business activities;
- knowledge of the Internal Control System adopted by the Company.

The Administrative Body, on the basis of a report completed by each member, annually carries out a self-assessment of suitability.

Pending the appointment of the new members of the Board of Directors in April 2025, the Board on the same date assessed the suitability of the Board of Directors as a collegial body and as an individual member and IVASS took note of this by not requesting the forfeiture of any of the appointees, the same assessment by IVASS with regard to the suitability of the 4 fundamental Functions, evaluated by the Board of Directors at the March 2025 meeting and at the October 2025 meeting.

B.3 Risk Management System, including internal risk and solvency assessment

B.3.1 Risk Management System

The Risk Management System represents the set of strategies, processes, methodologies and tools that allow you to identify, analyze, assess, monitor, manage and report risks on an ongoing basis.

To this end, the Company has adopted a Risk Management System in full compliance with current Italian and European legislation.

The risk management process is governed by the Risk Management Policy of HDI Assicurazioni, approved by the Board of Directors and periodically updated. The same Policy defines and formalises the roles and responsibilities of the parties involved in the Risk Management System and is updated in order to promptly reflect any organisational changes in the Company. The Risk Management System has a strategic direction defined by the interaction between Business Strategy and Risk Strategy and is composed of strategic processes and operational processes.

In particular, the risk strategy, developed starting from the corporate strategy in line with the strategic constraints of the Talanx AG Group, defines the meaning that the term "risk" assumes specifically for HDI Assicurazioni, establishing the strategic objectives relating to risks and describing the tools used for their management. The risk strategy is subject to an ongoing review process.

The reference framework of the Risk Management System consists of the following strategic processes:

- the definition of the Risk Appetite Framework – RAF;
- the execution of the Internal Risk and Solvency Assessment or Own Risks and Solvency Assessment – ORSA;
- the definition of the Emergency Plan.

The following operational processes derive from strategic processes:

- the identification of the categories of risk to which the Company is exposed;
- the assessment of risks and their respective significance, for the purposes of the Company's RAF;
- monitoring and treatment of significant risks;
- risk reporting.

HDI Assicurazioni, through a structured methodological process attributable to the Second Pillar of Solvency II, annually defines its Risk Appetite Framework (RAF), which represents the reference framework for determining risk appetite. This reference framework is developed in line with the Group RAF, the Strategic Plan and the Business Plan and in consideration of the following elements: the Company ensures that the Risk Strategy is consistent and integrated with the Business Strategy, while verifying the effectiveness of the internal control systems, the adequacy of corporate governance and the effectiveness of risk monitoring and reporting processes.

The Own Risks and Solvency Assessment - ORSA is a process aimed at assessing the Company's risk and solvency profile from a current and prospective perspective, in line with the time horizon set out in the Strategic Plan.

The Emergency Plan is a plan drawn up by the Company aimed at defining the ways in which it can be able to manage crisis situations related to the major sources of risk identified.

The Group's Risk Management function is responsible for risk management in terms of identification, assessment, monitoring, treatment and reporting as well as the development of tools and methodologies for quantifying it. The function provides the Top Management and the Board of Directors with all the reports and information necessary for efficient risk control and management.

The process underlying HDI Assicurazioni's Risk Management System is divided into the following phases:

- Risk identification: the process is aimed at ensuring that all significant risks to which the Company is exposed are adequately identified. This process involves identifying the sources of risk, events and their causes, as well as possible consequences. The risk identification process may involve the use of historical data, theoretical analyses, expert opinions and is carried out on a basis of at least one year under the coordination of the Risk Management function. The results obtained and the methodologies used are brought to the attention of the Company's Risk Committee, Top Management and Board of Directors.
- Risk assessment: the process is aimed at quantifying the impact of the risks to which the Company is exposed and determining their significance. The measurement methodologies adopted are defined according to the nature, extent and complexity of the risks inherent in HDI Assicurazioni's business.
- In particular, for the risks included in the Standard Formula (Pillar I), the Company applies the methodologies provided for by the Solvency II framework, after verifying their adequacy, while for risks not included in Pillar I, qualitative and quantitative assessment methodologies are adopted. The Company has also defined a structured methodology for identifying significant risks, based on significance thresholds updated at the assessment date, which makes it possible to identify the risks to be subject to priority monitoring. For risks identified as significant, the assessment process also includes the execution of stress test and sensitivity analysis, aimed at assessing the resilience of the Company's solvency profile with respect to adverse scenarios and changes in the main risk factors. These analyses are conducted at least annually and, where necessary, also from a prospective perspective as part of the ORSA process, according to the methods and frequencies defined in the relevant company policies. Finally, the risk assessment process includes the requirements of current legislation, in particular with reference to the application of the Volatility Adjustment and the use of the risk-free interest rate maturity structure for the purpose of calculating the Best Estimate of Technical Provisions.
- Risk monitoring: the risk monitoring process is part of the broader system of line controls and allows continuous verification of compliance with the operational limits to risk by the operating functions, in line with company procedures and processes. As part of the Risk Management System, monitoring is activated at least for risks assessed as significant and is divided into two levels. The first-level monitoring, applied to Solvency and Liquidity risks, is based on the calculation of specific key risk indicators (KPIs) defined in the Risk Appetite Framework – Limit and Threshold System, aimed at promptly identifying potentially critical situations and activating, where necessary, the escalation process envisaged by the Emergency Plan. Second-level monitoring, referring to other significant risks, provides for the calculation of additional KPIs to support the analysis of the Risk Management Function, in order to identify the main determinants of risk, without directly activating the Emergency Plan. Monitoring activities are carried out by the Group's Risk Management Function, with the support of the relevant corporate functions (Risk Owners), and are a prerequisite for subsequent decisions on risk treatment.
- Risk treatment and escalation processes: the risk treatment process includes all activities aimed at accepting, mitigating, transferring or eliminating risks, in line with the Company's risk appetite. On the basis of the results of the monitoring activities and in the event that the limits defined in the Risk Appetite Framework – Limit and Threshold System are exceeded , the Company proceeds to identify and implement the most suitable remedial actions, after assessing their effectiveness and activating the necessary authorisation procedures. The treatment methods differ according to the level of monitoring:
  - for risks subject to first-level monitoring, exceeding the limits involves the immediate activation of the escalation process provided for in the Emergency Plan;
  - for the risks subject to second-level monitoring, exceeding the limits results in the start of an in-depth analysis process to support Risk Management assessments, without direct activation of the Emergency Plan.

  Treatment actions and escalation methods are regulated in the Company's Emergency Plan.
- Risk reporting: risk reporting is the form of communication intended to inform specific stakeholders, both internal and external, by providing them with information on the current state of the risk and its management, also with specific ad hoc reports. The objective of risk reporting is to provide the Board of Directors, Top Management, the Risk Committee and the other corporate functions involved with systematic, uniform and timely information on risks and their potential

effects, providing an overview of the development of risks and the success of any mitigation measures adopted. The responsibility for risk reporting lies with the Group Risk Management function of HDI Assicurazioni. The risk reporting system currently in place at HDI Assicurazioni provides for the preparation of specific reports that meet the information needs of the various recipients. In accordance with the laws and regulations, adequate information is also provided to the Supervisory Authority. The report also contains the results of the Internal Risk and Solvency Assessment (ORSA) process. The main reporting on solvency is the ORSA report, coordinated by the Group's Risk Management function, which aims to provide an internal assessment of risks and global solvency needs on a current and prospective basis. The ORSA process ensures the continuous assessment of the Company's solvency position in line with the process inherent in the management of its strategic plan and with the capital management plan. The results of the assessments contained in the ORSA Report are sent to the Supervisory Authority after approval by the Board of Directors.

B.3.2 Own Risk and Solvency Assessment (ORSA)

The term ORSA (Own Risk and Solvency Assessment) refers to the internal risk and solvency assessment process to which the Company is exposed, which integrates the controls of the Risk Management System with a prospective assessment consistent with the time horizon of strategic planning. The purpose of the ORSA is to verify the Company's ability to continuously meet the capital requirements of the Solvency II regulations, as well as to ensure an adequate level of resilience and ability to react even in the presence of adverse scenarios.

The Company has adopted a structured ORSA process, which is divided into the following main phases: definition of the basic assumptions, collection and validation of data according to predefined quality standards, assessment of the adequacy of the calculation models, determination of the capital requirement from a current and prospective perspective, execution of stress test and scenario analyses, assessment of capital adequacy, sharing of results and preparation of reports.

The prospective assessment of the capital requirement provides for the "stand-alone" quantification of the individual risks included in the Standard Formula; these assessments are then aggregated using the correlation matrix provided for by the Solvency II framework, in order to determine the diversified total capital requirement. The projection of risks is carried out through methodologies consistent with the nature and materiality of the same, including analytical and scaling methodologies.

The ORSA process and the strategic planning process constitute an integrated and iterative cycle, which ensures the coherence and mutual sustainability of the Business Strategy and the Risk Strategy in the medium to long term, preventing the assumption of levels of risk that are not consistent with the approved risk appetite or with the Company's prospective capital endowment.

The results of the ORSA are fully integrated into the strategic decision-making processes and allow for a continuous assessment of the risk profile and overall solvency needs, in relation to the Company's financial position and going concern objectives. At the end of the process, the ORSA Report is submitted to the Risk Committee, the Top Management and the Board of Directors for approval and is subsequently transmitted to the Supervisory Authority in accordance with the procedures and timing provided for by current legislation.

Frequency

The internal risk and solvency assessment is carried out at least once a year (regular ORSA). Any significant changes in the risk profile, resulting from internal factors or external events, lead to the activation of an extraordinary ORSA assessment (non-regular ORSA). The main circumstances that may give rise to an extraordinary ORSA include, among other things, extraordinary transactions, significant shocks in the financial markets or catastrophic events, significant regulatory changes, substantial changes in the business model or emergency situations with significant impacts on the Company's risk profile.

B.3.2.1 Integration of the Risk Management System into the organisational structure and decision-making processes of the company

The current and prospective assessment of risks and solvency is closely integrated into the Company's governance system and takes into account, in particular, the risk strategy and the Risk Appetite Framework, the process for identifying and assessing significant risks, the current Strategic Plan, the qualitative assessments of risks that are not fully quantifiable, the results of second and third level control activities, as well as backtesting analyses and capital projections and capital allocation criteria.

The ORSA oversees, in particular: the assessment of the risk profile and the overall solvency needs in relation to the available Own Funds; the verification of the Company's ability to maintain adequate solvency levels from a prospective and business continuity perspective; support for the definition and validation of the thresholds and limits of the Risk Appetite Framework.

The entire ORSA process is based on rigorous Data Quality safeguards, defined in the company's Data Governance Policy, which guarantee the accuracy, completeness, integrity, traceability and timeliness of the data used in risk, capital and solvency assessments.

B.4 Internal Control System

The internal control system of HDI Assicurazioni, defined by the Board of Directors, consists of the set of rules, procedures and organizational structures aimed at ensuring the proper functioning and good performance of the Company and which aim to guarantee:

- the efficiency and effectiveness of business processes;
- the identification, assessment, including prospective assessment, management and adequate control of risks, in line with the strategic guidelines and risk appetite of the company also in a medium-long term perspective;
- the reliability and integrity of accounting and management information;
- the protection of heritage;
- the compliance of the Company's activities with current legislation, directives and company procedures.

The system represents an aggregation of all monitoring measures, whether integrated into processes or independent of processes (internal controls and organizational measures), which ensure the proper functioning of the organizational system. It applies to all levels of the company and focuses on process risks and the controls implemented to monitor them.
The system is an integral part of the company's management and contributes to the achievement of business objectives efficiently, in compliance with regulations and risk prevention.

It is divided into three levels according to the purposes pursued by the control activity:

- first-level controls, which represent the first "line of defence"; they are carried out by individual users during the performance of the operational processes pertaining to them and by the managers of the operational structures. The managers of the operating structures are responsible for identifying, assessing, processing and monitoring the risks inherent in business processes;
- second-level controls, which represent the second "line of defence", consisting of the functions that ensure adequate application of the system at a higher level and assist the operational functions; they include the Group Risk Management function, which also includes the Data Quality and Chief Information Security Officer functions, the Group Compliance function, the Anti-Money Laundering, Anti-Terrorism and Anti-Fraud function and the Actuarial Function. In addition, the Data Protection Officer and the Tax Risk Officer are also to be considered control functions;
- third-level controls, which represent the third "line of defence" and, as independent and objective, are the responsibility of the Internal Audit function. Internal Audit observes the effectiveness and efficiency of the Internal Control System as a whole using the related audit activities. Third-level controls also include those carried out by the Supervisory Body, established pursuant to Legislative Decree 231/2001.

B.4.1 Group Compliance Function

The Compliance function is set up in the form of a specific organisational unit, in compliance with the principle of separation between operational and fundamental functions, in order to guarantee its independence, autonomy and objectivity of judgment.

The Compliance function reports directly to the Board of Directors, through a half-yearly report and an annual report, highlighting the activities carried out, the checks carried out, the assessments carried out, the results that have emerged, the critical issues identified and the recommendations made for their removal.

The mission of the Compliance function is to prevent the risk that the company incurs judicial or administrative sanctions, financial losses or reputational damage, as a result of violations of laws, regulations or measures of the Supervisory Authorities or self-regulatory rules.

Therefore, HDI's Compliance policy is characterized by an eminently preventive and proactive approach, aimed at preventing, through continuous monitoring and systematic prudential assessments carried out ex ante, the occurrence of episodes of discrepancies, so as to safeguard the stability, assets and reputation of the company.

The policy is implemented through the promotion of a widespread and pervasive system of management of the risk of non-compliance, based on the involvement and accountability of every person operating for the company and entrusted to the ultimate supervision of the Board of Directors, as the strategic and organizational body.

All operators are required to ensure effective monitoring of the risk of non-compliance at every level of their work, keeping themselves constantly updated on the regulatory requirements relating to the specific role, function or task of competence as well as complying with these requirements in their daily operations.

The non-compliance risk management system implemented in HDI provides in any case for a first-level control, entrusted to the Heads of the Organisational Units and the so-called "Institutional Regulatory Owners". Owners are identified as corporate roles in charge of independently governing the evolution and application of a specific legal area, ensuring compliance with it in daily operations.

On the other hand, it is the responsibility of the Compliance function, as the specialist structure responsible for supervising and coordinating compliance oversight as a whole, to provide first-level controls, where required, with its own consultancy assistance support and assess the adequacy of the compliance management process supervised by the Head of the Organisational Unit or by the Owner, reporting any deviations from the dictates of the forecasts and accompanying this report with recommendations relating to the adoption of the appropriate organisational and procedural improvements suitable for ensuring a timely containment of the risk of discrepancies detected.

In detail, the Compliance function carries out its prudential control over the Company's compliance through the following different types of activities:

- Key activities:
    - identification on a continuous and evolutionary basis of the regulatory perimeter relevant to the company;
    - analysis of the regulatory sources falling within the aforementioned perimeter with reporting of the obligations envisaged therein in terms of requirements and specific expected behaviours, accompanied by evidence of the policies, procedures and business processes impacted;
    - assessment of the compliance of the organisational structure in place as well as of the policies, procedures and processes in force, compliance with the rules relating to the governance and control process of insurance products, the management and prevention of conflicts of interest, the transparency and fairness of conduct towards policyholders and injured parties, pre-contractual and contractual information, the correct execution of contracts, with specific reference to the management of claims and, more generally, the protection of policyholders and other beneficiaries of insurance benefits through checks aimed at detecting any misalignments or situations of incomplete transposition of binding regulatory obligations and to give evidence of the level of risk associated with each vulnus identified;
    - simultaneous proposal of corrective actions suitable for ensuring effective monitoring of the risk of non-compliance found;
    - monitoring over time of the areas found to be most sensitive in terms of exposure to the risk of non-compliance;
    - follow-up checks aimed at checking the adequacy, timeliness and effectiveness of any corrective measures taken by the operational functions in implementation of the recommendations made during the compliance assessment;
    - annual preparation of a document to formalise the planning of the activities to be carried out in the year in question and its presentation to the Corporate Bodies, subject to notification to Top Management;
    - drafting and transmission of adequate information flows to the Corporate Bodies and other corporate structures concerned;
    - annual drafting of the report pursuant to Article 46 of IVASS Regulation no. 40/2018, to be submitted to the administrative body for approval and forwarded to IVASS, illustrating the monitoring actions carried out for the purpose of verifying the correct implementation of the policies and procedures adopted and the related results;

any critical issues detected and the measures adopted or deemed necessary; the proposed solutions for changes to policies and procedures; the elements relating to the checks and analyses carried out in relation to the obligations referred to in Article 30-decies of the Code and related implementing provisions, functional to the correct control of distribution.

- Complementary activities:
  - consultancy support and assistance to the Corporate Bodies, Top Management and operational functions regarding organisational and management choices related to issues of alignment with regulatory requirements;
  - collaboration with the Top Management in the design of training interventions on the risk of non-compliance, control culture and regulatory updating.

B.5 Internal Audit Function

HDI Assicurazioni's Internal Audit function carries out constant monitoring of the internal control system to assess its effectiveness, efficiency and the need for updating, also through support and consultancy activities to other corporate functions.

The Function Chart of HDI Assicurazioni S.p.A. assigns the following purposes to the function:

" *It ensures the definition of an adequate programme of audit interventions, taking care of their implementation, to verify the adequacy and effectiveness of the internal control system, the reliability and integrity of data and information, the adherence of conduct to policies, plans, procedures, laws and regulations. It also ensures the development and proposal of any corrective actions and/or improvements, verifying their correct implementation. It ensures adequate reporting to the Board of Directors, the Board of Statutory Auditors and Top Management at least every six months* ".

The Internal Audit verifies:

- management processes;
- organizational procedures;
- the regularity and functionality of information flows between company sectors;
- the adequacy of the information systems and their reliability so that the quality of the information on which the top management bases its decisions is not affected;
- the compliance of administrative-accounting processes with criteria of correctness and regular bookkeeping;
- the efficiency of controls on outsourced activities.

The dedicated structure is adequate in terms of human and technological resources to the nature, scope and complexity of the company's activity and to the development objectives that it intends to pursue.

The staff of the structure possess specialized skills, also through an organic professional updating and training plan.

In line with the dedicated structure, audit assignments are rotated in order to allow a more complete knowledge of the processes being audited and their verification methods, also ensuring greater interchangeability in the activities to be carried out, always respecting the independence of the function.

B.5.1 Independence and objectivity of the Internal Audit function

The Internal Audit activity is independent; the function is functionally subordinate to the Board of Directors. Consequently, the Board of Directors has the task of:

- appointment and revocation of the Head of Internal Audit;
- approval of the Audit mandate;
- approval of the Audit plan;
- approval of the budget and the Internal Audit resource plan;
- receipt of the results of the Audit interventions carried out and communications relating to any other problems that emerged during the year;
- approval of the remuneration of the Head of Internal Audit;
- carrying out any appropriate in-depth studies with the Management and the Head of Internal Audit.

Furthermore, in order to strengthen the independence of the Internal Audit, the structure of its remuneration policy must not expose the Internal Audit to any conflict of interest and must comply with the recommendations of the Supervisory Authorities as well as national and international institutions.

B.6 Actuarial function

The Actuarial Function, as a second-level control function, has its own organisational structure and carries out its activities completely independently of the first-level operating structures, as it is free from operational tasks, including with regard to the calculation of Technical Provisions. The Actuarial Function, like the other second-level functions, guarantees a constant flow of information to the Board of Directors.

The tasks of the Actuarial Function established by the Board of Directors, and also described in the specific Policy approved in November 2025, in compliance with regulatory and business requirements, are summarised below:

- the preparation of the technical report on the financial statements on the Life reserves, the technical report on the financial statements on the reserves of the Motor and Boat liability classes and the report on the vector of foreseeable returns;
- the obligation to report significant events to the Board of Directors and the supervisory body which, where the conditions are met, communicates them to IVASS (ISVAP Regulations no. 22/2008 and no. 7/2007, as amended and supplemented by IVASS provision no. 53 of 6/12/2016);
- the assessment of the sufficiency and quality of the data used in the calculation of the Solvency II Technical Provisions (art. 30-sexies par 1 c) of the CAP); the coordination of the calculation of the Solvency II Technical Provisions (Article 30-sexies par 1 a) of the CAP) and the certification of the guarantee of adequacy of the methodologies and models used, as well as the assumptions underlying the calculation of the Solvency II Technical Provisions (Article 30-sexies par 1 b) of the CAP);
- supervising the calculation of Solvency II Technical Provisions in cases where the company, not having sufficient data of adequate quality for the application of a reliable actuarial method, uses appropriate approximations for the calculation of the Best Estimate (Article 36-sexies, par. 1, d) and 1 f) of the CAP);
- the release of an opinion on the company's global underwriting policy (art. 30-sexies par 1 g) of the CAP) that provides an independent assessment, analyzing the risk factors that may have an influence on the Company's results in line with the strategic objectives, based on continuity, financial solidity, sustainable and profitable growth, consequently focusing on the creation and increase of value over time. In addition to verifying the consistency of the "Target Markets" defined for the products (IDD Regulations), this document also contains, in the appendix, a specific analysis of the Nat-Cat product that the Company markets pursuant to the provisions of Law No. 213 of 30 December 2023 (Budget Law 2024), as amended by Decree-Law 27 December 2024, no. 202, converted with amendments by Law no. 15 of 21 February 2025 (Milleproroghe Decree 2025), and by Decree-Law no. 39 of 31 March 2025, which introduced the obligation for all Italian companies to take out insurance against damage caused by disasters;
- the issuance of an opinion on the adequacy of the company's reinsurance agreements (Article 30-sexies par 1 h) of the CAP), in order to verify the adequacy with the risk profile, with the risk containment strategy and portfolio balance. The Actuarial Function also formulates an opinion on the provisions on the governance and control of insurance products (POG);
- the expression of an opinion on the correctness of the calculation of the USP parameters (consistency with the data used in the process of calculating Technical Provisions, verification of the incremental database, appropriateness of the models used in the calculation and verification of the assumptions underlying the calibration);
- the expression of an opinion in the context of the application of the method for the calibration of the "reserve risk" for the calculation of the USPs, in the event of differences of opinion between the P&C Actuarial function and the Risk Management function in order to identify the actions to be implemented and eliminate the elements of divergence.

The Actuarial Function also:

- contributes to the effective application of the risk management system, in particular with regard to the risk modelling underlying the calculation of solvency capital requirements and the internal risk and solvency assessment (ORSA) (Article 30-sexies par 1 i) of the CAP);

- contributes, with the support of the relevant functions, to the selection and evaluation of the methods and assumptions adopted by the Company to demonstrate the extent and recoverability of the loss-absorbing capacity of deferred tax assets (LAC DT);
- monitors all areas of risk that could affect the correct and effective management of risks within the scope of his mandate, even if not included in ordinary planning;
- carries out follow-up checks on the process for calculating Technical Provisions, the underwriting policy and the adequacy of reinsurance agreements;
- in the event that the so-called "Expert Judgement" is used in the context of the various business processes, the Actuarial Function examines and validates it. The Expert Judgement is also monitored and updated in case there is new information or changes over time.

The activities carried out by the Actuarial Function and the related controls and results are documented in the reports of the Actuarial Function addressed to the Board of Directors and the Board of Statutory Auditors, through the Internal Control and Risk Committee; the same is also transmitted to the Risk Committee for information.

It should be noted that, in order to further safeguard the independence of the function, the reports for which the Actuarial Function is responsible are transmitted to the Board of Directors by law.

The absence of conflicts of interest between calculation and verification activities is ensured by:

- full independence and autonomy of second-level control over Technical Provisions, underwriting and reinsurance policy;
- the clear organizational separation from business activities;
- the existence of a structure of controls to ensure the completeness and accuracy of the information, the transparency of the assumptions, the accuracy of the results, and the technical adequacy of the models;
- the adoption of processes that allow an open comparison and review of the results.

B.7 Outsourcing

The Company adopts a structured and prudent approach to the management of outsourcing, in line with Solvency II regulations, IVASS Regulation no. 38/2018 and the Parent Company's guidelines. The outsourcing of functions and activities is aimed at achieving benefits in terms of operational efficiency, flexibility and access to specialized skills, without prejudice to the principle that the ultimate responsibility for the outsourced activities remains with the Company.

Outsourcing is classified by distinguishing between core functions, essential or important functions or activities, and other activities, based on risk and materiality criteria. In particular, an activity is qualified as essential or important if its failure or incorrect performance could compromise regulatory compliance, business continuity, financial soundness or the quality of services rendered to policyholders.

Before proceeding with an outsourcing, the Company carries out a prior assessment of the associated risks (including operational, ICT, legal, concentration, reputational and sustainability risks), formalised through a specific checklist and shared between the Risk Owner and the Group Risk Management Function. The outsourcing of essential or important functions or activities and fundamental functions are subject to an approval process consistent with the Company's governance system, which provides for the involvement of the competent bodies and compliance with the information and authorisation obligations towards the Supervisory Authorities, where required by applicable legislation.

The selection of suppliers is based on criteria of professionalism, integrity, technical and financial capacity, as well as the absence of conflicts of interest. Outsourcing relationships are governed by written contractual agreements that provide, among other things, service levels (SLAs), performance indicators (KPIs), audit rights, disclosure obligations, oversight of sub-outsourcing and withdrawal clauses.

The Company ensures continuous monitoring of outsourced activities, proportionate to the level of risk, also through the periodic control of SLAs and KPIs and the assessment of concentration risk. For essential or important outsourcing, emergency plans and exit plans are also defined, tested periodically, in order to ensure business continuity and the possibility of re-internalization or replacement of the supplier in the event of criticality.

As of the date of this report, the Company is outsourcing mainly concerning operational support activities and ICT services.

During the period, no significant critical issues or service interruptions emerged that could compromise business continuity or the protection of policyholders.

The following is information relating to the service providers to whom the essential or important operational functions or activities of HDI Assicurazioni have been outsourced:

Supplier Name	Supplier's registered office	Description of Outsourcing
EUROP ASSISTANCE ITALIA S.p.A.	Via del Mulino 4, 20057 Assago (MI)	Claims management for hospital medical expense reimbursements.
AXA FRANCE IARD S.A. (già AXA PARTNERS e FINANCIAL INSURANCE COMPANY Ltd)	Corso Como 17, 20154 Milano (MI)	Claims management for Mortgage & Loan / Pecuniary Loss (PPI) – Genworth Service Contract.
DEDA CLOUD SRL	Viale Fulvio Testi 280/6– 20126 Milano	IT Services Contract
BUCAP SPA	Via Innocenzo XI, 8 – 00165 Roma	Document scanning, data entry, indexing and retrieval.
ONEWELF SRL	Via Emilia 272 – San Lazzaro di Savena (Bo)	Other Business Consulting Activities and Other Administrative-Management and Corporate Planning Consulting Services
BANCA SELLA	Piazza Gaudenzio Sella 1 - 13900 Biella (BI)	Management of IT Facilities and Equipment – Hardware / Housing Services
PALLAS REINSURANCE COMPANY Ltd.	Compass Administration Services Ltd, Rosebank Centre, 5th Floor, 11 Bermudiana Road, Pembroke, HM 08 Bermuda	Claims management for run-off medical malpractice policies.
Datlas SPA	Viale della Resistenza 47, 42018 S. Martino in Rio (RE)	Management of Policy and Claim Scanning and Indexing

B.8 Other information

The Company's Board of Directors examined the adequacy of the organizational, administrative and accounting structure and in particular of the Internal Control and Risk Management System of HDI Assicurazioni on the basis of the periodic reports of the Internal Control and Risk Committee and the corporate control functions.

On the basis of the results of the activities indicated above, there are no deficiencies in the internal control and risk management system during the 2025 financial year.

In the self-assessment process identified by virtue of the IVASS Letter to the market of 5 July 2018, the Company has adopted a strengthened corporate governance as it jointly exercises the life and non-life classes: it therefore adopted - in 2019 - the organisational solutions referred to in the aforementioned IVASS letter to the market.

In particular:

- the Chairman of the Board of Directors has a non-executive role and does not perform management functions;
- two internal Board Committees have been established: the Internal Control and Risk Committee and the Remuneration Committee.

Collaborative Compliance and Tax Control Framework

As part of the initiatives aimed at strengthening transparency and reliability in relations with the Tax Authorities, the Company has adhered to the collaborative compliance regime, established in order to promote a relationship of mutual trust between taxpayers and the Tax Authority and to increase the level of certainty in relation to the main tax issues, through preventive and continuous dialogue.

Having matured the dimensional requirements provided for by the reference legislation, HDI Assicurazioni started the process of adhering to the collaborative compliance regime in 2024, proceeding at the same time with the implementation of a Tax Control Framework (TCF). The TCF represents a structured system of principles, tools, organisational structures and business rules aimed at supporting an orderly and informed management of tax issues and encouraging the emergence and timely assessment of potentially relevant cases from a tax point of view.

In this context, the Company promotes a corporate culture based on the correct, punctual and responsible application of tax legislation. To this end, the Board of Directors has approved a specific Tax Strategy, which defines objectives, principles and reference values in the management of the tax variable; This document was made public on the company website as part of the sustainability and transparency initiatives.

On 31 December 2025, the Company received the provision of admission to the collaborative compliance regime, with retroactive effect starting from the 2024 financial year, the year in which the application was submitted. The admission took place following the preliminary activity carried out by the Tax Administration, which verified the existence of the requirements provided for by current legislation and the applicable implementing provisions.

As part of the regime, the Company is required to complete the certification process of its Tax Control Framework within the terms provided for by the applicable transitional regulations, in line with the commitments undertaken and with the aim of ensuring the full operation of the system in the medium term.

Section C
RISK PROFILE

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This section provides qualitative and quantitative information relating to the Company's risk profile, separately for all the following risk categories:

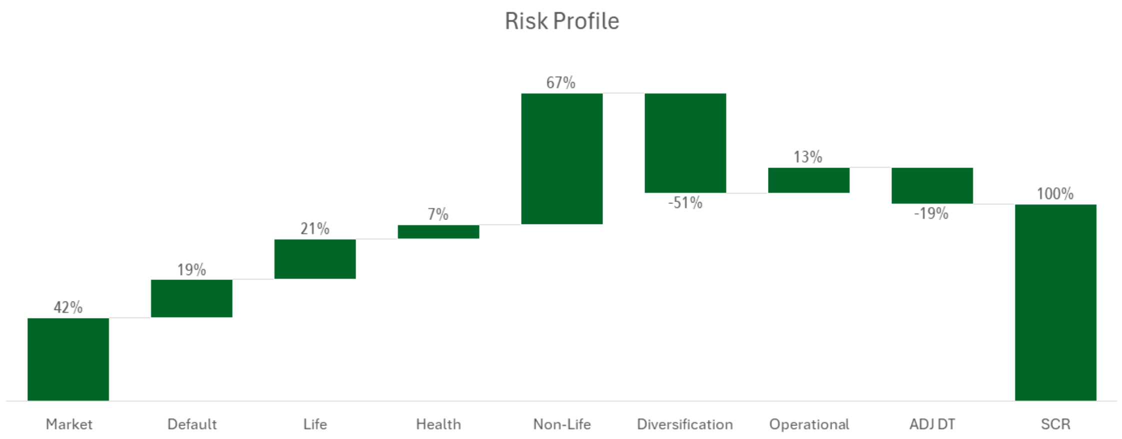
- Subscription Risk;
- Market Risk;
- Credit Risk;
- Liquidity Risk;
- Operational risk;
- Other substantial risks.

For the assessment of quantifiable risks, the metrics of the Standard Formula are applied, supported by specific analyses aimed at justifying their adequacy in fully representing the Company's risk profile.

The Company for the quantification of risk, specifically, has:

- applied the Volatility Adjustment to the maturity structure of risk-free interest rates for the purpose of calculating the Best Estimate of Technical Provisions, pursuant to art. 77 quinquies, paragraph 1, of Directive 2009/138/EC;
- used, in accordance with art. 45-sexies of the CAP, the Undertaking Specific Parameters (USP), replacing the subset of parameters defined in the Standard Formula for the calculation of the Solvency Capital Requirement for pricing and reserve risks in the following segments:
  - Insurance and proportional reinsurance on civil liability resulting from the use of motor vehicles;
  - Other motor insurance and proportional reinsurance;
  - Insurance and proportional reinsurance against fire and other property damage;
  - Proportional insurance and reinsurance on general civil liability.

The following figure shows the Company's risk profile as at 31/12/2025 with an indication of the relative weight of each risk determined with respect to the total capital requirement net of the absorption capacity of Technical Provisions.



Net BSCR	+	Op	+	Adj dt	=	SCR

With regard to operational risks, in addition to the quantification shown in the previous figure, the Company also carries out an assessment of exposure to these risks carried out through an annual self-diagnosis process (Risk Self Assessment, RSA).

In addition to the quantifiable risks mentioned above, a number of substantial additional risks have also been identified, the consequences of which may undermine the Company's solvency and constitute a serious obstacle to the achievement of the strategic objectives. For these risks, the Company has carried out qualitative/quantitative analyses as they are not included in the calculation of the capital requirement (SCR). Therefore, the assessment of these risks is essentially aimed, rather than quantifying the possible loss, at verifying the effectiveness of the control measures in place and the proper functioning of the management and monitoring processes.

In more detail, the following paragraphs describe and analyse the main risks to which the Company is exposed, comparing the results obtained in the current year with those obtained in the previous year.

The Company does not transfer risks to special purpose vehicles.

C.1 Underwriting Risk

Article 13(30) of Directive 2009/138/EC defines underwriting risk as the risk of loss or unfavourable change in the value of insurance liabilities due to inadequate pricing and reserve assumptions.

The identification and assessment of underwriting risks is part of the risk management system described in section B.3.1.La underwriting policy defines the rules and principles to be followed by the Company in the underwriting process in the various insurance classes, and includes the underwriting limits, established by the Board of Directors.

As part of the risk control process, the Risk Management function supports the Board of Directors in defining/reviewing operating limits and checks that they are respected on a monthly basis. In addition to the control process, the function monitors, at least monthly, the underwriting risk through the use of specific KPIs, including, for example, the monitoring of settlements concluded by surrender, claim and maturity and by type of channel, comparing these results with what is forecast in the budget.

The results of the monitoring and verification of the limits are reported to the Risk Committee, the Top Management, the Board of Directors and the Supervisory Body.

Technical Life Insurance Risks

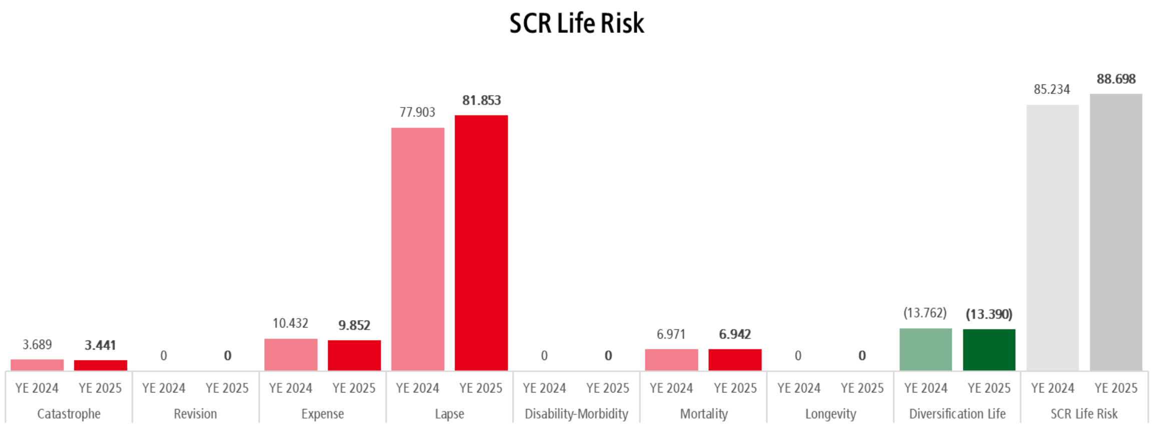
Life insurance underwriting risk reflects the risk arising from life insurance obligations, taking into account the insured risks covered and the procedures used in the course of business.

The technical life risks from a Solvency II perspective to which the Company is exposed are:

- Mortality risk: risk of loss or adverse change in the value of insurance liabilities, resulting from changes in the level, trend or volatility of mortality rates, where an increase in the mortality rate results in an increase in the value of insurance liabilities;
- Life insurance expense risk: the risk of loss or adverse change in the value of insurance liabilities, resulting from changes in the level, trend or volatility of expenses incurred in connection with insurance or reinsurance contracts;
- Early termination risk: the risk of loss or adverse change in the value of insurance liabilities, resulting from changes in the level or volatility of the rates of early terminations, withdrawals, renewals and surrenders of policies;
- Life insurance catastrophe risk: the risk of loss or adverse change in the value of insurance liabilities, resulting from the significant uncertainty of pricing and reserve assumptions in relation to extreme or sporadic events.

Valuations are made net of reinsurance sales.

The graph below shows the analytical details of the risk sub-modules on the total Life underwriting risk, together with the comparison with the valuations made in the previous year:



Exposure to life underwriting risks is substantially unchanged compared to the previous year with a slight increase in Lapse risk The application of the reinsurance treaty on the Lapse Mass risk (non-traditional treaty in force from Q1 2024) will remain in force until the third quarter of 2026.

Technical Risks Insurance Damage

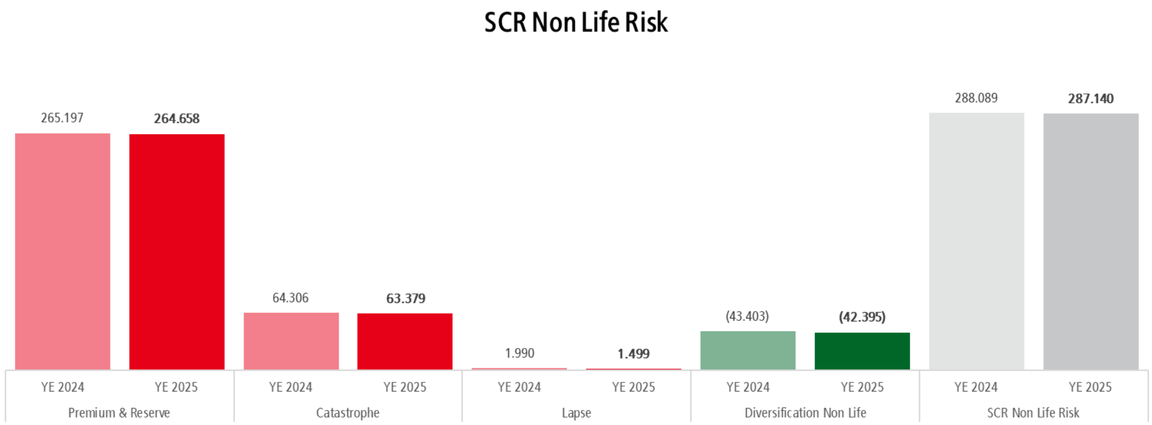
Underwriting risk for non-life insurance reflects the risk arising from non-life and health insurance obligations, taking into account the hazards covered and the procedures used in the course of business.

The technical risks of damage and illness from a Solvency II perspective to which the Company is exposed are:

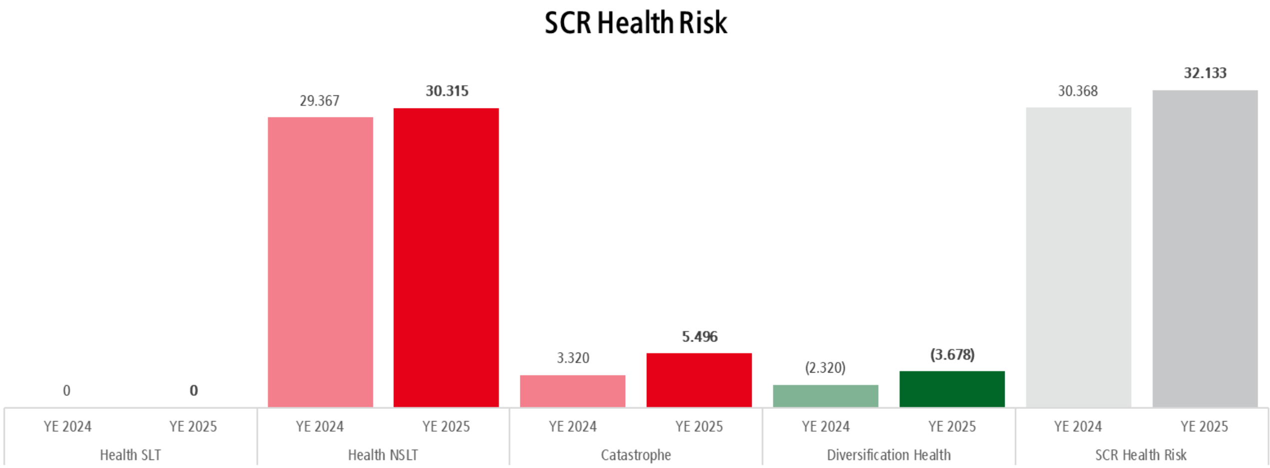
- Pricing and reservation risk: the risk of loss or unfavorable change in the value of insurance liabilities, deriving from fluctuations in the time of occurrence, the frequency and severity of the insured events as well as the time of occurrence and the amount of claims settlements;
- Early repayment risk: the risk of loss or unfavourable change in the value of insurance liabilities, deriving from the use of the options exercisable by the policyholder that significantly affect the commitments arising from the contract;
- Catastrophe risk: the risk of loss or adverse change in the value of insurance liabilities, resulting from significant uncertainty in pricing and reserve assumptions in relation to extreme or exceptional events, as well as major epidemics or unusual accumulation of risks occurring in such extreme circumstances.

Valuations are made net of reinsurance sales.

The graph below shows the analytical details of the risk sub-modules on the total P&C underwriting risk, together with the comparison with the valuations made in the previous year:

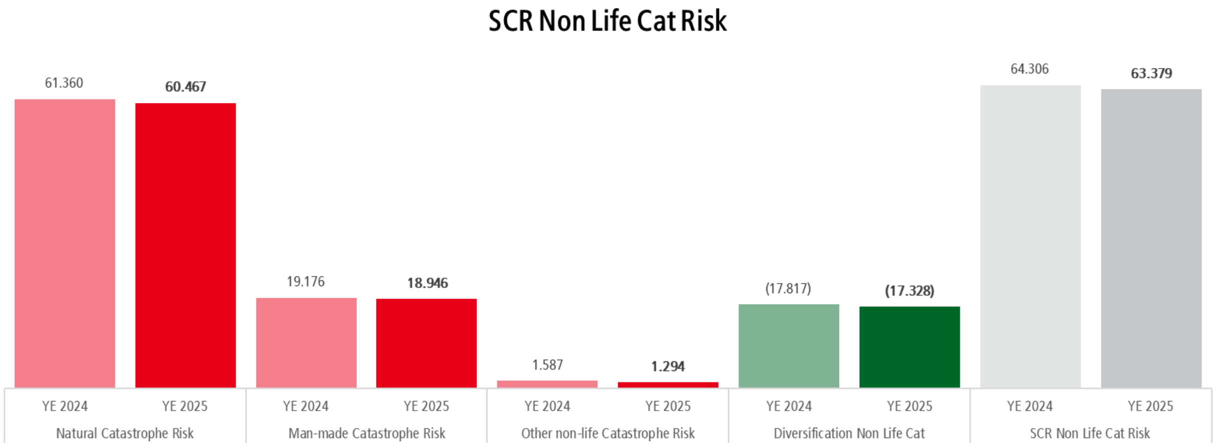


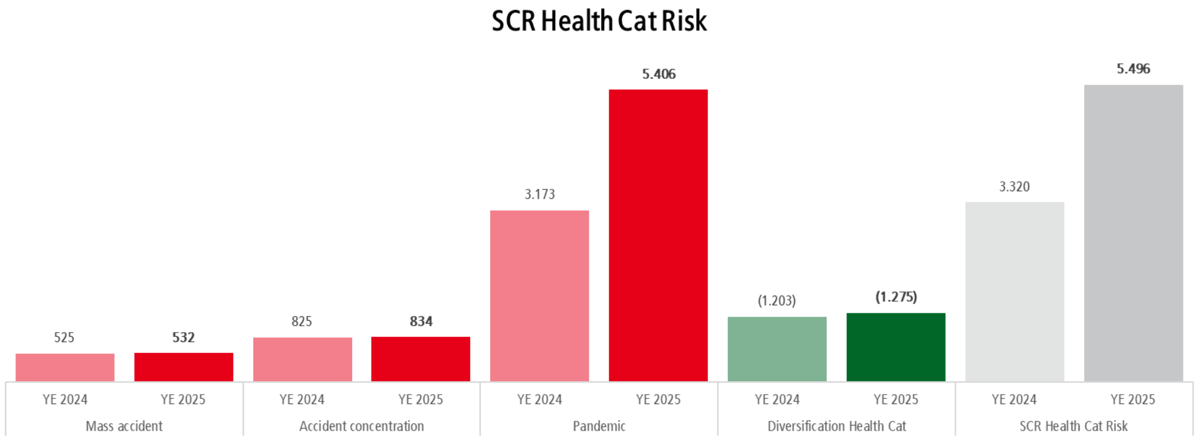
While the results for health underwriting risks are shown in the chart below:



Compared to the previous year, the exposure to non-life underwriting and health risks was substantially unchanged compared to the previous year.

The results for catastrophe risks are shown in the graphs below:





The capital requirement for Non-Life Cat risk as at 31 December 2025 was substantially stable compared to the previous year.

During 2025, the market context was characterized by the introduction, by the 2024 Budget Law (art. 1, paragraphs 101 et seq., Law no. 213/2023), of the obligation for all Italian companies to have insurance coverage against damage resulting from natural disasters. In this context, the Company has started marketing the dedicated product "Catastrophic Risks Company HDI", resulting in an increase in the exposures insured for earthquake, flood and hail guarantees largely offset by the mitigation effect of reinsurance. The Company monitors the evolution of this risk on a weekly basis.

With regard to the capital requirement for Health Cat risk, there was an overall increase of approximately 2,176 thousand Euros compared to the previous year. This change is mainly attributable to the increase in the capital requirement for Pandemic risk, attributable to an increase in the average cost of claims.

Risk concentration

The following table shows the percentage incidence of technical risk sub-modules on the total SCR[2] gross of correlation effects and gross of deferred tax benefits.

SCR Life	
Mortality risk	0,8%
Longevity risk	0,0%
Disability-morbidity risk	0,0%
Lapse risk	9,5%
Life expense risk	1,1%
Revision risk	0,0%
Life catastrophe risk	0,4%

SCR Health	
Health SLT	0,0%
Catastrophe	0,6%
Premium & Reserve	3,5%
Lapse	0,1%

SCR Non Life	
Premium & Reserve	30,8%
Lapse	0,2%
Catastrophe	7,4%

Risk mitigation techniques

With regard to underwriting risk mitigation techniques, the Company uses risk transfer techniques (reinsurance instruments) defined in the reinsurance guidelines, in a mandatory and/or optional form, with the aim of mitigating unfavourable technical trends, increasing its underwriting capacity, while maintaining the amount of exposure to the individual insured risks within predefined levels and realising, in this way, an adequate homogenization of the portfolio of risks to which it is exposed.

As required by the Reinsurance policy and the Company's additional risk mitigation techniques, for life classes there is currently a non-traditional treaty, approved by the Supervisory Board to cover the "Lapse Mass" risk, which provides for the transfer of part of the surrender risk borne by the Company to a reinsurer, specifically in Hanover King Ireland.

For life classes, from an analysis of the risk portfolio, considering the characteristics of the products marketed, the reinsurance forms that best suit the characteristics of the portfolio are:

- EXCESS (at Risk Premium);
- QUOTA (Commercial Premium);
- SHARE SHARING (at Risk Premium);

In addition, other types of reinsurance coverage are provided such as optional and catastrophic risks.

For non-life classes, with the exception of the Surety, Legal Protection, Assistance classes and some specific forms of insurance related to the Accident and Health classes, the coverage that best suits the Company's balance needs tends to be Non-Proportional. With regard to the specific NatCat product, the coverage is proportional. Nevertheless, when non-life coverage is linked to life insurance coverage or related to mortgages or other loans, proportional coverage is also sought.

[2] The percentage weight is calculated on the Solvency Capital Requirement before diversification defined as the sum of the individual risk sub-modules expressed in absolute value, which include not only the modules in this table but also the sub-modules of market risks, counterparty and operational risk.

Stress Test and Sensitivity Analysis

The Company has carried out sensitivity analyses on significant risks, deriving from the process of identifying risks on consolidated data. Specifically, these sensitivities affected:

- an increase of +10 p.p. in the S/P index for the year in relation to the 6 main SII Lobs: Income, Medical, MOD, MTPL, Fire and GTPL;
  The analysis led to a decrease in the Company's Solvency Ratio of approximately 18 percentage points.
  This deterioration in the SR is due to the increase in reserves, which is reflected in both the calculation of Own Funds (with a deterioration) and the SCR, leading to an increase in risk modules based on the volume of BELs.;
- with regard to the risk of underwriting and health, moreover, the scenario was tested without the application of Undertaking Specific Parameters (USP) to the MVL, OMI, FODP and GLI segments. In this context, with the use of the Market Wide parameters on the segments for which the Company adopts the USP parameters, there was a deterioration in the Solvency Ratio of approximately 35 percentage points;
- Inflation: the Best Estimate Liability has been considered to be an inflationary increase in line with the ECB's forecasts, in addition to that already present in the base scenario, indexing cash flows over the various calendar years up to run-off. This would lead to a reduction in the Company's Solvency Ratio of approximately 6 p.p.;
- an instant increase in surrenders on the Life business of 40%. This analysis led to a decrease in the Company's Solvency Ratio of approximately 7 p.p..

C.2 Market Risk

Article 13 of Directive 2009/138/EC, in point 31), defines market risk as the risk of loss or unfavourable change in the financial situation deriving, directly or indirectly, from fluctuations in the level and volatility of the market prices of assets, liabilities and financial instruments.

The identification and assessment of market risks is part of the risk management system described in section B.3.1.

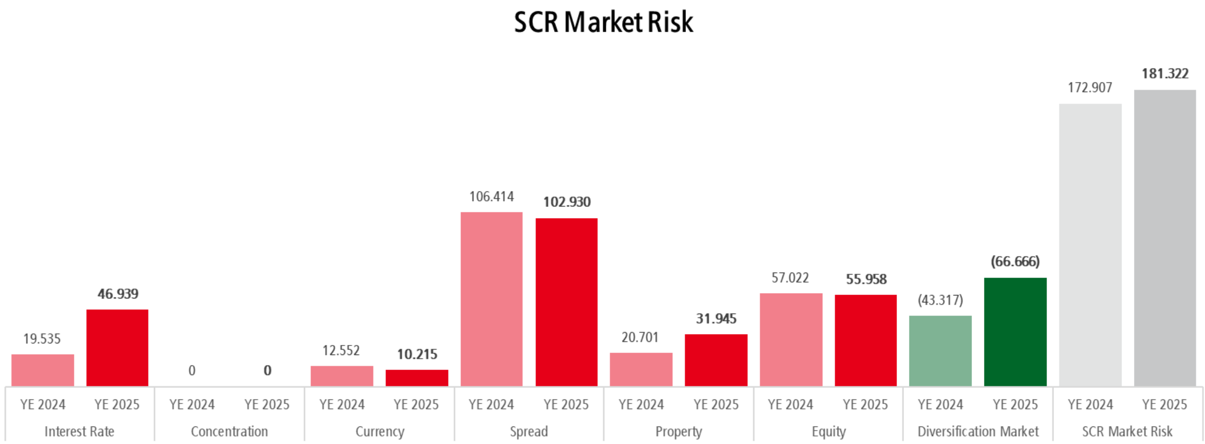
The framework resolution on investments, in line with the provisions of IVASS Regulation 24 of 6 June 2016 and subsequent amendments, defines the rules and principles to be followed by the Company as part of the investment process and includes the operating limits established by the Board of Directors.

As part of the risk control process, the Risk Management function supports the Board of Directors in defining/revising the framework resolution and therefore the operational limits that, at least monthly, it checks to be respected. In addition to the control process, the function monitors, with the same frequency, market risk through the use of specific KPIs and, with a specific process, also the so-called "Complex" assets. The results of the monitoring and verification of the limits are reported to the Risk Committee, the Top Management, the Board of Directors and the Supervisory Body.

Specifically, the market risk, from a Solvency II perspective, to which the Company is exposed are:

- Interest Risk: is the risk deriving from the sensitivity of the value of assets, liabilities and financial instruments to changes in the structure by maturity of interest rates;
- Spread Risk: is the risk deriving from the sensitivity of the value of assets, liabilities and financial instruments to changes in the level or volatility of credit spreads compared to the structure for maturities of risk-free interest rates;
- Concentration Risk: additional risks for the insurance or reinsurance undertaking arising from the lack of diversification of the portfolio of assets or from large exposures to the risk of default by a single issuer of securities or a group of related issuers;
- Currency Risk: is the risk deriving from the sensitivity of the value of assets, liabilities and financial instruments to changes in the level of volatility of currency exchange rates;
- Property Risk: is the risk deriving from the sensitivity of the value of assets, liabilities and financial instruments to changes in the level or volatility of the market prices of real estate;
- Equity Risk: is the risk deriving from the sensitivity of the value of assets, liabilities and financial instruments to changes in the level or volatility of the market prices of equity instruments.

The graph below shows the analytical details of the risk sub-modules on the total market risk, together with the comparison with the valuations made in the previous year:



The prevailing risk is the Spread, whose SCR is equal to approximately 42% of the total non-diversified Market Risks.

Compared to the previous year, the SCR Market Risk increased by approximately 8,415 thousand Euros as a result of the increase due to interest risk. This increase is attributable both to the interest rate curve, which is higher than that used in the end-2024 assessment, and to the new Best Estimate assumptions, which led to a reduction in the duration of liabilities.

Risk concentration

With regard to market risk, the framework of the limits envisaged, on the basis of which the Company's financial portfolio is invested, provides for specific limits for each counterparty and for each geographical area that mitigate the risk of particular concentrations. The counterparty with the greatest exposure is the Italian State. This exposure is in any case consistent with the investment policy and liquidity risk policy adopted.

The following table shows the percentage incidence of technical risk sub-modules on the total SCR[3] gross of correlation effects and gross of deferred tax benefits.

SCR Market	
Interest Rate risk	5,5%
Equity Risk	6,5%
Property Risk	3,7%
Spread risk	12,0%
Concentration	0,0%
Currency Risk	1,2%

Risk mitigation techniques

In order to maintain a balanced risk profile consistent with the risk strategy, the Company adopts various risk mitigation strategies, as better defined in the investment framework resolution, which also includes the ALM risk management policy and the liquidity risk management policy, which prefer the diversification of investments as the main tool to mitigate risks and the definition of limits on the financial portfolio that allow for the ensure a risk profile in line with the Company's risk appetite set out in the Risk Appetite Framework (RAF).

Depending on the nature, extent and complexity of the risks inherent in the company's activities, the Company defines investment policies consistent with the prudent person principle (provided for in Article 132 of Directive 2009/138/EC) and with the risk portfolio of liabilities held, in order to ensure the continued availability of eligible and sufficient assets to cover the

[3] The percentage weight is calculated on the Solvency Capital Requirement before diversification defined as the sum of the individual risk sub-modules expressed in absolute value, which include in addition to the modules in this table also the sub-modules of underwriting risks, counterparty and operational risk.

liabilities, as well as the security, profitability and liquidity of investments, providing for their adequate diversification. In the event of a conflict of interest in the investment activity, the company undertakes to ensure that the investment is made in the best interests of policyholders and beneficiaries.

The Board of Directors of HDI Assicurazioni defines the rules and principles that the entire Company must comply with for the operational management of financial risks, also following the results of the Strategic Asset Allocation and Asset Liability Management models, including any limits and thresholds relating to risk measures such as Asset Management VaR, Asset Liability Management VaR, Liquidity and monitoring of the ESG rating of investments.

In addition, the Risk Management function has put in place a process that provides for the monitoring of the main market risks identified, also carried out by monitoring the main risk drivers that could be identifying anomalous market trends such as, for example, the Italian government bonds. With this in mind, the Company has adopted a first and second level framework for monitoring and controlling investments in so-called complex assets, although this category of securities is a residual part of the overall portfolio.

Immediate information is provided on these analyses to the ALM Finance and Sustainability Committee and monthly to the Risk Committee. The Board of Directors is also informed at each Board meeting.

The Company may also use additional risk mitigation strategies, such as the use of derivative instruments, in compliance with defined procedures and guidelines.

Stress Test and Sensitivity Analysis

For market risk, the Company has carried out sensitivity analyses on significant risks, deriving from the risk identification process.

Specifically, the analyses concerned the main risks of the Market module of Standard Formula.

In this context, the following stresses were tested:

- Interest Down: decrease of 50 basis points (-50bp) on the risk-free rate curve, which led to an increase in the Company's Solvency Ratio of approximately 1.7 p.p.;
- Interest Up: increase of 50 basis points (+50bp) on the risk-free rate curve, which led to a decrease in the Solvency Ratio of almost 3.3 p.p.;
- Spread Risk: increase of 50 basis points (+50 bp) in the Spread for corporate bonds with a Solvency Ratio that led to a decrease of approximately 8 p.p..

Prudent Person Principle

HDI Assicurazioni has defined detailed investment guidelines that represent guidelines for the management of assets and liabilities, as well as for the tools for controlling the risk profile and have the purpose of defining the best combination between the objective of reducing risks and that of obtaining reasonable returns on investments.

HDI Assicurazioni's investment policy is inspired first and foremost by the principles of security and preservation of assets and, secondly, by the principles of profitability. This policy is based on compliance with the prudent person principle and is consistent with the risk portfolio of liabilities held, in order to ensure the continuous availability of assets suitable and sufficient to cover liabilities, as well as the safety, profitability and liquidity of investments, providing for their adequate diversification and dispersion. Asset management has the primary objective of solvency and business continuity, therefore, investment choices are made with a view to guaranteeing the future of the Company by supporting the financial activity to the company's results, managing the portfolio to support the company even in stress scenarios. As a complementary activity to the insurance business, asset management activities are carried out in harmony with the technical and commercial requirements as well as with the commitments undertaken by the Companies.

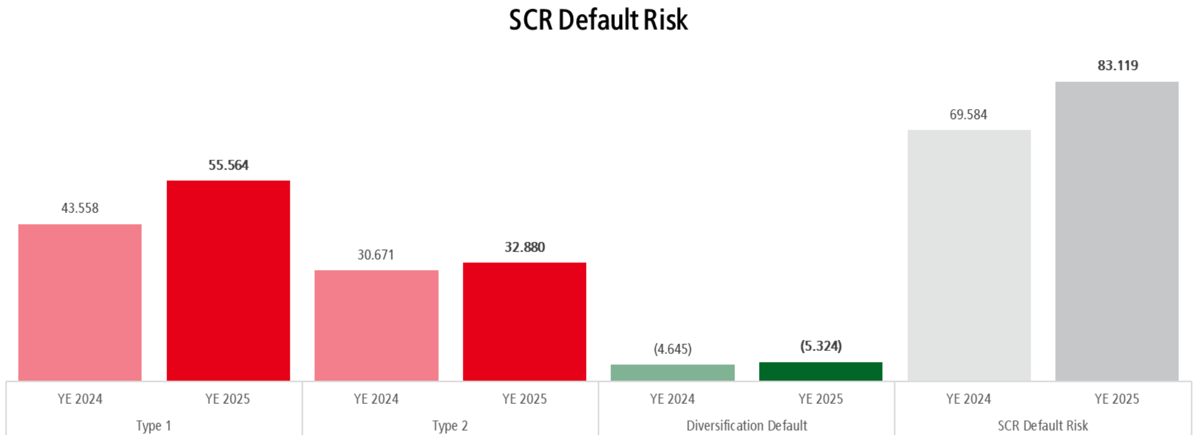
In the event of a conflict of interest in the investment activity, the Company undertakes to ensure that the investment is made in the best interests of policyholders and beneficiaries. The guidelines set out the framework for an investment strategy with the aim of achieving a combination of investments that reduces risks and makes a reasonable profit, while taking into account insurance industry conditions, the market and the organisational framework.

C.3 Credit Risk

Article 13 of Directive 2009/138/EC, in point 32), defines credit risk as the risk of loss or adverse change in the financial situation resulting from fluctuations in the creditworthiness of issuers of securities, counterparties and debtors to which the insurance or reinsurance undertaking is exposed, in the form of the risk of default of the counterparty, of risk of spreads or concentrations of market risk.

The counterparty's default risk module shall reflect the possible losses due to the unexpected default or deterioration in the creditworthiness of counterparties and debtors of insurance and reinsurance undertakings over the next twelve months. The counterparty default risk module shall cover risk mitigation contracts, such as reinsurance arrangements, securitisations and derivatives, as well as claims on intermediaries and any other exposures not hedged in the spread risk sub-module. The module shall take appropriate account of collateral or other collateral held by or on behalf of the insurance or reinsurance undertaking and the risks associated therewith.

The graph below shows the analytical details of the risk sub-modules on the total credit risk, together with the comparison with the valuations made in the previous year:



Compared to the previous year, credit risk increased by approximately 13,535 thousand Euros. This change is mainly attributable to the increase in type 1 risk, while type 2 risk has seen a more moderate increase. The increase in type 1 risk is mainly due to a different distribution of exposures to reinsurance counterparties, with a higher incidence of exposures to counterparties with a higher risk profile than in the previous year.

Risk concentration

As regards the risk of default of the counterparty, there are no particular concentrations.

The contributors to the default risk of the Type 1 counterparty are mainly exposures to banks and reinsurers.

The following table shows the percentage incidence of technical risk sub-modules on the total SCR[4] gross of correlation effects and gross of deferred tax benefits.

SCR Default	
Type 1	6,5%
Type 2	3,8%

[4] The percentage weight is calculated on the Solvency Capital Requirement before diversification defined as the sum of the individual risk sub-modules expressed in absolute value, which include in addition to the modules in this table also the sub-modules of underwriting risks, market and operational risk.

Risk mitigation techniques

A first safeguard adopted to mitigate this risk is represented by the partner selection process, mainly based on the assessment of creditworthiness and diversification.

In particular, for the selection of reinsurance partners, specific limits and procedures established in the Reinsurance policy and the additional Risk Mitigation Techniques approved by the Board of Directors are approved, in line with IVASS Regulation no. 38 of 3 July 2018.

The verification of the consistency of risk mitigation through the defined reinsurance strategies and the criteria used for the selection of reinsurers is an integral part of the Company's risk management system, whose ultimate responsibility is the Board of Directors in terms of completeness, functionality and effectiveness.

Risk Management carries out annual monitoring of the approved limits.

The Actuarial Function expresses its opinion at least annually, through a written report, in accordance with the obligations laid down, formulating an opinion on the adequacy of the reinsurance arrangements.

Stress Test and Sensitivity Analysis

A simulation was carried out considering a downgrading of all reinsurers. This led to a decrease in the Company's Solvency Ratio of approximately 0.8 p.p..

C.4 Liquidity Risk

Article 13 of Directive 2009/138/EC, in point 34), defines liquidity risk as the risk that the insurance or reinsurance undertaking will not be able to liquidate investments and other assets to settle its financial obligations when the latter fall due.

Liquidity risk, therefore, means the risk that the Company may incur when it has to meet cash commitments (expected or unexpected) and the available liquidity is not sufficient.

The occurrence of these conditions could generate costs both for the forced realization of capital losses, given the need to sell investments, and for access to the credit market at unfavorable conditions.

Timeliness and adequacy in meeting economic commitments must be ensured both in ordinary administration conditions and under the event of stress.

The identification, management and monitoring of liquidity risk play a key role in the Company's business processes as they directly affect other business processes, such as, for example, investment management, treasury management and planning and control activities.

In accordance with the Solvency II approach proposed by the Standard Formula, liquidity risk is partially modelled in the credit risk module, as presented in the previous paragraph, with regard to the insolvency of bank counterparties.

The Company has implemented a system that provides:

- monitoring the level of liquidability of each individual investment;
- the measurement and monitoring of the liquidity profile in the short (3 months), medium and long term (12 months), through:
  - the Cash Flow Ratio, an indicator aimed at measuring the Company's ability to cope with expected outflows through inflows and the buffer of liquid and liquidable assets. The indicator is calculated in the baseline scenario, and represents the Company's ordinary ability to honour its commitments with the liquidity generated by core operations and the investment portfolio;
  - The Liquidity Coverege Indicator, an indicator that measures the resilience of the Company in conditions of stress. The indicator is calculated in a combined stress scenario, in order to represent the Company's solidity in adverse market and business conditions;
  - The Provisioning Ratio of Technical Provisions, defined as the ratio between the value of eligible assets and the amount of Technical Provisions.

The monitoring of liquidity indicators as part of the Company's periodic assessment is based on the verification of compliance of the observed values with respect to the defined tolerance thresholds, identified as Risk Appetite, Risk Tolerance (Trigger 1) and Risk Limit (Trigger 2). These thresholds represent the alert levels, aimed at ensuring continuous monitoring of the company's liquidity position and indicate the Company's ability to cope with a negative financial result due to insufficient liquidity resources. In addition, the defined escalation process guarantees the restoration of capital solidity in a short period.

On 5 June 2020, IVASS, in collaboration with EIOPA, launched a survey to monitor the evolution of liquidity by collecting an information flow on a representative sample of companies.

The request was made following the effects deriving from the COVID-19 epidemiological emergency which, if prolonged over time, may also negatively affect the liquidity position.

To this end, the Company monitored liquidity developments quarterly in 2025.

Finally, it should be noted that the Supervisory Authority subsequently announced that the frequency of this monitoring will no longer be quarterly, but annual.

Expected earnings included in future premiums (EPIFP)

The amount of expected profits included in future premiums is shown below.

EPIFP	amounts in EUR thousand
Total Life	41.951,31
Total Non-Life	9.115,22

Risk concentration

As far as liquidity risk is concerned, there are no significant concentrations.

Risk mitigation techniques

The fundamental principles on which the liquidity risk management model is based, defined in the Liquidity Risk Management Policy included in the "Framework Resolution on Investments", can be summarised in the following points:

- management of short-term liquidity in order to maintain the balance between short-term inflows and outflows and an adequate level of activity in bank deposits and readily liquidable securities;
- medium-term liquidity management by maintaining a situation of balance between assets and liabilities, optimizing cash-flow matching both in Best Estimate and stress conditions.

Furthermore, on a monthly basis, in compliance with IVASS Regulation no. 24 of 2016, the Company verifies compliance with the limits set out in the Investment Guideline for the liquidity held, applied to all assets without distinction of portfolio. The results are then brought to the attention of the Risk Committee, the Top Management and the Board of Directors.

Stress Test and Sensitivity Analysis

The Liquidity Coverage Indicator as described in the previous paragraphs is calculated in combined stress scenarios in order to verify a possible negative result due to insufficient liquidity resources.

The stresses applied have been defined on the basis of internal historical analyses and prudential considerations and are presented below:

- reduction in the market value of assets;
- reduction of premiums collected;
- increase in redemptions compared to expected levels;
- increase in the accident rate.

The results showed that, even in the event of stress, the Company obtains levels of Liquidity coverage indicator higher than Risk Tolerance.

KPI Monitoring as of	31/12/2025
LCI 3M	427%
LCI 12M	198%

C.5 Operational Risk

Pursuant to art. 13, point 33), of Directive 2009/138/EC (Solvency II), operational risk is defined as the risk of losses resulting from the inadequacy or dysfunction of internal procedures, human resources or systems, or from external events.

From a Solvency II perspective, the Company calculates the capital requirement for operational risk on a quarterly basis through the application of the Standard Formula, the value of which is a function of premiums and reserves.

Exposure to operational risk does not present significant criticalities in terms of coverage of the basic capital requirement, nor are there significant concentrations.

As at 31 December 2025, the SCR for operational risk amounted to 55,969 thousand Euros.

Operational Risk Management and Monitoring

To protect operational risk, in accordance with the provisions of IVASS Regulation no. 38/2018 – Chapter II, art. 17, the Company has defined a structured operational risk management system, consistent with the relevant legislation and the Group's guidelines, which allows the identification, assessment, monitoring and mitigation of significant operational risks.

The identification and assessment of operational risks is mainly carried out through the Risk Self Assessment (RSA), a self-assessment process conducted with the involvement of the Company Structures and with the support of the Risk Management Function, aimed at identifying potential operational risk events, assessing their impact and expected frequency and verifying the adequacy of existing control measures.

The analysis follows the methodological approach based on the cause-event-effect chain and is carried out annually.

In addition to the RSA, the Company carries out a process of collection and analysis of operating losses (Loss Data Collection), aimed at recording historical events of operational risk and related losses, in order to support the monitoring of risk exposure and the strengthening of control controls.

Operational risk events are classified according to a taxonomy articulated on three levels, which distinguishes seven macro-categories of first-level risk, including fraud, interruptions of operations and system malfunctions, business practices, external events and deficiencies in executive processes.

Evolution of risk exposure

With reference to the 2025 financial year, the assessment and monitoring activities did not reveal any significant critical issues in relation to the operational risk categories considered.

Risk concentration

As far as operational risk is concerned, there are no significant concentrations.

Risk mitigation techniques

The process of identifying operational risks involves identifying mitigation techniques for the identified risks.
The greatest risks are also monitored every six months, at the same time analyzing the effectiveness of mitigation measures. In order to control the risks that may constitute a danger to business continuity, materiality and risk reporting thresholds have been defined that make it possible to identify any critical issues and consequently to identify further mitigation measures and provide the necessary information to the Risk Committee, Top Management and the Board of Directors.

Stress Test and Sensitivity Analysis

Given the nature of the risk, the Company does not carry out specific stress tests and sensitivity analyses.

C.6 Other material risks

The substantial risks not reported in the previous paragraphs include Risk associated with investing in government securities, Strategic Risk, Risk related to Group Membership or Contagion, Reputational Risk, Emerging Risks, ESG Risks, Non-Compliance Risk, Pension Fund Risks, ICT Risk and Tax Risk.

Risk associated with investing in government securities

The Risk associated with investing in government securities is a significant risk to the Company. For this reason, at least quarterly, the indicators associated with this risk are monitored, in order to promptly identify any critical issues that may influence, directly or indirectly, the performance of the solvency and liquidity indicators.

Strategic Risk

Defined under European legislation as the actual or potential risk of an impact on revenues or capital deriving from incorrect business decisions, improper implementation of such decisions or poor responsiveness to changes in the reference sector.

Strategic risk management involves the following steps:

- identification of possible sources of risk, both internal and external, that could lead to the emergence of a strategic risk for the Company, with the involvement of the Risk Owners and the examination of any supporting documentation;
- definition of indicators (Key Risk Indicators) that can highlight the onset of risk;
- analysis of the potential effects deriving from the identified sources of risk;
- qualitative assessment of the strategic risk identified, also making use of the opinion of experts;
- development of mitigation activities that can lead to a reduction in the probability of occurrence or can minimize the economic loss;
- reporting by the Risk Management function to the Risk Committee, Top Management and the Board of Directors as part of risk reporting.

By way of example but not limited to, risk control is ensured by monitoring the following:

- profitable growth targets;
- market share analysis;
- achievement of planned economic results;
- Maintaining an adequate product portfolio mix.

Risk related to belonging to the group or risk of contagion

Article 19 of IVASS Reg. no. 38 defines the risk associated with belonging to the group as the risk of "contagion", understood as the risk that, as a result of the relationships between the company and the other companies in the group, difficult situations that arise in a company of the same group may spread with negative effects on the solvency of the company itself".

As part of the risk identification process, the management of the risk of contagion or belonging to the Group in HDI Assicurazioni involves the following activities:

- identification of possible sources of risk, which may lead to the emergence of a risk of contagion or belonging to the Group for the Company, with the involvement of the Risk Owners and the examination of any supporting documentation;
- definition of indicators (Key Risk Indicators) that can highlight the onset of risk;
- analysis of the potential effects deriving from the identified sources of risk;

- qualitative assessment of the risk of contagion or belonging to the identified Group, also making use of the opinion of experts;
- development of mitigation activities that can lead to a reduction in the probability of occurrence or can minimize the economic loss;
- reporting by the Group's Risk Management department to the Risk Committee, Top Management and the Board of Directors as part of risk reporting.

Reputational Risk

Reputational risks are risks that are linked to possible damage to the reputation of a company, as a consequence of a negative public perception (e.g. among customers, business partners, shareholders, authorities, etc.). Reputational risks often emerge in combination with other risks, but they can also occur individually.

Article 19 of IVASS Regulation no. 38/2018 defines reputational risk as:

"the risk of deterioration of the corporate image and increased conflict with policyholders, also due to the poor quality of the services offered, the placement of inadequate policies or behavior during sales, after-sales and liquidation".

The deterioration of the Company's reputation is therefore mainly due to a negative perception of the corporate image by its stakeholders.

In quantitative terms, the main impacts deriving from a lack of identification and assessment of reputational risk can be traced back to:

- financial losses deriving from an increase in disputes with customers;
- lost revenues related to both the loss of customers and any strategic opportunities;
- increase in costs linked, for example, to the need for advertising campaigns to recover reputation on the market.

The impacts can be divided into direct (fines and penalties, court costs, reduced revenues, etc.) and indirect (reduced share price, loss of strategic relationships/agreements, rating downgrades, etc.).

Reputational risks can emerge as a consequence of other risks that can be considered original factors such as:

- operational risks: such as, but not limited to, the temporary interruption of customer service, the customer/sales unit relationship, the quality of the products offered on the market, etc.
- legal risks: such as, again by way of example, the violation of the Code of Ethics, the increase in lawsuits, any sanctions from the Authorities that have an echo on the market;
- strategic risks: such as, again by way of example, unfair business practices, errors in commercial policies.

Therefore, it is evident that the action of some variables that are not purely reputational can trigger a process capable of changing the judgment and reputation of the company.

To assess reputational risk, the Risk Management function uses Key Risk Indicators that can highlight the onset of risk. The main indicators used are: complaints, information from a Media Monitoring service and other events.

With regard to complaints, the function calculates the ratio between the number of complaints received in the six-month period per million premiums and compares the result with the average of the Italian insurance market for the same period. The data used for the calculation are those made available by IVASS.

A further indicator to which the function uses is the ratio between the number of complaints received and the number of contracts in place at the date in question. In particular, the trend of this indicator over the years is analyzed both for the overall portfolio and separately for the life and non-life business. In addition, the trend of the indicator for the RCA branch alone is also considered. If the trend remains almost constant, the risk is in the "Low" risk range, otherwise the function investigates the cause of change by assessing the risk according to the results that emerged from the analysis.

With regard to the information deriving from the Media Monitoring service, the function quarterly monitors the trend of the use of the word "HDI" on websites and social media in negative terms. On the basis of the information that has emerged, it investigates the causes and carries out a risk assessment on the basis of this, making use of expert judgement if necessary.

With reference to other events, events of various kinds that may have an impact on the Company's reputation are taken into consideration for the evaluation. Examples include high fines by the Supervisory Authority, fraud that has an impact on the media or the press, solvency margin below a certain limit for an extended period of time, and significant legal actions against the Company. The risk assessment of the occurrence of this type of event is carried out using expert judgment.

Emerging Risks

Emerging risks are attributable to new future risks for which neither the extent nor the effects of the risk are known with certainty and can therefore be difficult to assess. These kinds of risks evolve over time from "weak signals" to clear trends with high risk potential. Therefore, it is important to identify, evaluate, and manage these signals promptly.

The last few years have shown how the world can change quickly and in unexpected directions. It is therefore essential to think quickly and outline possible future scenarios to deal with what is not yet known. In this changing environment, adaptability and preparedness are two key elements. Therefore, insurance companies must turn their gaze towards the future, looking beyond the events of the present and analyzing the external environment to anticipate those emerging risks that may not be evident today, but which, on the other hand, could significantly affect tomorrow. The Talanx group is also very attentive to emerging risks and during 2025 you sent the Risk Management of HDI Assicurazioni a request to assess what are currently the emerging risks that according to HINT cause the greatest concern:

- Geoeconomic comparisons and changing political environment: risk arising from the intensification of geopolitical and geoeconomic tensions (e.g. sanctions, trade/technology restrictions, reorientation of alliances) that can affect markets, value chains and access to capital, increasing macro-financial volatility, regulatory uncertainty and business continuity risks.
- Global Financial Instability: risk associated with phases of high uncertainty in international financial markets (volatility of rates, currencies and asset prices, liquidity and credit stress, debt crisis) with potential effects on the profitability and value of the investment portfolio, cost of capital and the ability of the system to absorb shocks.
- Skills shortage: a risk that originates from the difficulty of finding and retaining qualified professionals (in particular on digital, analytical and risk/actuarial skills), as well as from the delay in the training of the workforce, with potential impacts on the effectiveness of processes, the quality of technical assessments and the speed of transformation/innovation.
- Climate Change – physical and transition risks: risk attributable to both physical events (greater frequency/severity of extreme events, heat waves, floods) and transition risks (regulatory, technological and market preference evolution towards a low-emission economy), with possible impacts on claims, business continuity and value/attractiveness of investments (in particular on assets exposed to "stranded risk").
- Pandemics and Antimicrobial Resistance: risk related to the large-scale spread of new pathogens (pandemics) and/or the increasing ineffectiveness of antibiotics and antimicrobials (AMR), with potential effects on mortality/morbidity, health system capacity, economic stability and business operations (e.g. staff absences, peaks in demand and market volatility).
- Natural Resources Crisis and Biodiversity Loss: risk associated with ecosystem degradation, scarcity/pressure on natural resources (e.g. water, soil, raw materials) and biodiversity loss, which can reduce natural "protection capacity" and amplify environmental damage and supply chain disruptions, affecting physical risks (natural events, new spread of diseases) and transition risks (legislation/reputational contestability).
- Cyber security and data risks: risk of cyber attacks, compromise or loss of data and unavailability of systems (in a context of increasing digitalisation and dependence on ICT suppliers/services), with potential impacts on business continuity, process integrity, compliance (privacy and digital resilience) and customer trust.
- "Eternal" and hazardous substances (PFAS and others): risk related to exposure, use and liability related to persistent and/or hazardous substances (e.g. PFAS, microplastics, endocrine disruptors, nanomaterials), which can generate regulatory developments and litigation, as well as possible impacts on civil/environmental liability claims, health and the value of investments in issuers exposed to these supply chains.
- Infrastructure Vulnerability and Energy Risks: risk related to interruptions or criticalities in essential infrastructures (energy, transport, communications, data centers) and in the availability/cost of energy, including as a result of climatic events, geopolitical tensions or cyber attacks, with potential effects on business continuity, the operation of digital channels and supply chains.
- Adverse Regulatory Developments: risk of increased regulatory complexity and/or severity (e.g. in the areas of sustainability/ESG, technology and data, consumer protection, AI and disclosure), with possible impacts on compliance costs, organizational requirements and reporting, as well as risks of temporary non-compliance and consequent operational sanctions/limitations or competitive disadvantages between jurisdictions.

The results of the process of identifying and assessing emerging risks are reported in the reports of the Risk Management function to the Parent Company, the Risk Committee and the Board of Directors of the Company.

ESG (Environmental, Social and Governance) Risks

The insurance sector plays a key role in the sustainable transition, acting as:
- an investor, as its investment activities enable it to channel financial resources toward more sustainable economic activities, and
- provider of guarantees and risk manager, assessing, managing, and protecting against the adverse effects of sustainability risks—climate risks in particular—which would otherwise fall entirely on the public.

In light of this dual role, the insurance sector is at the center of recent regulatory developments regarding sustainability, and supervisory authorities at the European and national levels are urging companies to integrate sustainability risks into their risk management frameworks.

In this context, the Risk Management department at HDI Assicurazioni, launched an initiative in 2023 aimed at ensuring an adequate process for identifying and assessing all risks and opportunities arising from sustainability factors affecting the Company, to foster a better understanding of actual risk exposure and to disseminate throughout the organization adequate knowledge and awareness of the implications of risks and opportunities related to ESG factors.

The fundamental element on which the approach is based is the Risk Inventory, the tool that defines and compiles the ways in which ESG risks manifest themselves through transmission channels and impact the Company’s financial statements in the short to medium term (horizon to 2030) and in the long term (horizon to 2050).

In 2023, the Risk Inventory was developed with a focus on the risks and opportunities arising from climate change.

In line with the Company’s initial intentions, in 2024 the Risk Inventory was expanded to include additional sustainability risks (such as biodiversity loss risks and social risks), thereby providing an even more comprehensive overview and enabling an assessment of the interconnections between different types of risks.

In addition to expanding the Risk Inventory and updating the assessment of risks and opportunities, in 2024 the Company supplemented its work by conducting a scenario analysis of its liabilities to assess the impact of physical climate risks on the portfolio’s vulnerability to a range of perils particularly affected by climate change, within a selection of climate scenarios.

Results of the Assessment of Sustainability Risks and Opportunities

This section presents the results of the identification and assessment of sustainability risks and opportunities with a focus on 2025. The results of the analysis of individual risk drivers revealed that the business areas with the potentially most significant impacts in the short-to-medium term or long term are: Real Estate (Investments), Government Bonds (Investments), Motor Vehicle Liability (Non-Life), Other Motor (Non-Life), Fire and Other Damage to Property (Non-Life), Technology (Operations), and Regulations (Operations).

The analysis showed that in the short term, the impacts of transition risks are greater, manifesting through the transmission channels of technology, policy, and human behavior. In the long term, however, experts generally assessed the impact of physical risks as more significant. All drivers assessed as having a high impact relate to the ESG topic “E1. Climate Change,” with the exception of the LoB “Fire and Other Damage to Property,” for which the drivers “Natural Disasters” and “Degradation of Ecosystem Services” were assessed as significant.

In terms of opportunities, the business areas with the most significant potential in the short to medium term or in the long term are: Government Bonds (Investments), Corporate Bonds (Investments), Motor Vehicle Liability (Non-Life), Other Motor (Non-Life), Fire and Other Damage to Property (Non-Life), Technology (Operations), and Regulations (Operations).

The analysis reveals that experts consider the opportunities for the Company to be most significant in the long term and in relation to the transmission channels of technology, human behavior, and policy. All drivers assessed as having a high impact relate to the ESG topic “E1. Climate Change.”

In addition, the Group’s Risk Management function has conducted specific quantitative analyses to assess the impact of climate change on the vulnerability of its liability portfolio with respect to the perils of flooding, hail, and wildfires. For each of the three perils indicated, the function has developed a methodological approach for applying prospective climate change scenarios over a long-term time horizon (through 2100).

The methodological approach developed is based on the recommendations of the Intergovernmental Panel on Climate Change, which suggests modeling physical risk as a combination of three elements: the hazard component—the risk derived from climate models, generally defined through risk maps or risk coefficients; the exposure component—exposure, generally identified in terms of value, insured value, and location, relative to the Company's portfolio (buildings, vehicles, people, etc.), the vulnerability component – the degree to which a particular type of exposure is impacted by a specific hazard, generally defined as a function of the hazard's intensity and the proportion of damage relative to the exposure.

The Company will continue to develop its sustainability risk management framework over time, in line with the evolution of the regulatory environment and market best practices.

Risk of Non-Compliance

It represents the risk of incurring judicial or administrative sanctions, of suffering losses as a result of non-compliance with laws, regulations or measures of the Supervisory Authority or self-regulatory rules.

To monitor this potential risk, the Company has established a specific function (Compliance Function) since 2008.

For this type of risk, a qualitative assessment is used through expert judgment.

According to the assessments carried out, these "Other material risks" do not lead to an increase in the required solvency requirements from a prospective perspective.

Furthermore, given the nature of the risks, the Company does not carry out specific stress tests and sensitivity analyses.

Risks associated with the Pension Fund

In terms of risks, the Company is required to identify, due to its organisation and the size, nature, scope and complexity of the activity related to the management of the open-ended pension fund, the risks to which the open-ended pension fund is exposed and those that weigh on members and beneficiaries, assessing which risks in the list referred to in paragraph 4, of art. 5 ter of Legislative Decree no. 252/200, are relevant and the additional risks are relevant, also taking into account the provisions of paragraph 5 of the same article.

The Risk Management Function carries out the risk assessment for the Fondo Pensione Aperto by preparing an ad hoc document for the Fund, which contains an assessment of the materiality of the risks that persist on the Fondo Pensione Aperto and the criteria for the assessment, management and reporting associated with the Fondo Pensione Aperto for the risks identified as significant, borrowing the methodologies already used at the Company level. This detailed assessment is carried out at least every three years or following significant changes in the risk profile. A simplified report is in any case produced annually.

ICT risk

Cyber risk concerns potential losses deriving from threats affecting the Company's information systems, technological infrastructures and corporate data, such as, by way of example, cyber attacks, system unavailability, data breaches, IT operational errors and malfunctions or defaults of technology suppliers. Such events may occur in the normal course of business activities and affect business continuity and the provision of services.

In recent years, the attention of Supervisory Authorities and Insurance Companies towards IT risk has grown significantly, also in relation to the evolution of the technological and geopolitical context, the increase in digitization, the greater dependence on ICT infrastructures, and the important role played by third parties in the production cycle. In this context, IT risk represents an important mode of operational risk manifestation.

In order to oversee IT risk, the Company has defined and adopted a specific framework and methodology dedicated to the qualitative and quantitative assessment of ICT risk.

The ICT risk assessment methodology examines the relevant business processes and, for each process, identifies the supporting IT assets and the data processed. On this basis, the potential impacts deriving from the loss of confidentiality, integrity and availability (RID) of the data, the main threats to which the assets are exposed and the controls in place of an organizational, procedural and technological nature, aimed at mitigating the probability of occurrence and/or the impact of risk events, are analyzed. Following a standardized approach, the methodology provides for the determination of both gross ICT risk and net ICT risk, the latter assessed taking into account the effectiveness of the controls implemented. The qualitative assessment is accompanied by a quantitative assessment of ICT risk, which takes into consideration, on the one hand, the costs associated with the loss of availability of the systems, estimated by the risk owners, and, on the other hand, the costs associated with the loss of integrity and confidentiality of the data, determined on the basis of the sanctions imposed by the Authorities and the market data relating to the costs of data breaches published by leading companies operating in the ICT sector.

The Company uses the framework and methodology defined to carry out, at least annually, the qualitative and quantitative assessment of ICT risk, determining the related risk indicators, including value at risk and expected loss, the results of which are shared with the Parent Company.

In light of the analyses conducted, ICT risk is considered significant but adequately monitored and does not have a significant impact on the Company's solvency profile

Tax risk

Tax risk is defined as the risk of losses, including those of a sanctioning or reputational nature, deriving from an incorrect interpretation or application of tax legislation or from deficiencies in the processes for fulfilling tax obligations.

The Company oversees tax risk through a formalized Tax Control Framework (TCF) integrated into the internal control system, consistent with the guidelines of the Revenue Agency and based on the principles of the COSO framework. The TCF provides for the monitoring of interpretative tax risks, for which assessment criteria are defined in terms of relevance, certainty and materiality, and a structured mapping of tax risks, the identification of the related control controls and a periodic monitoring system based on Test of Design and Test of Effectiveness, as well as on follow-up activities of any remediation actions.

The monitoring activities carried out during the period did not reveal risk profiles that could significantly affect the overall risk profile of the Company or its solvency position.

C.7 Other information

No other material information about the Company's risk profile is reported.

Section D
SOLVENCY ASSESSMENT

HDI ASSICURAZIONI

D.1 Evaluation of Activities

Assets and liabilities are valued on the basis of the going concern assumption, as indicated in art. 7 of Reg. Del. 2015/35. Furthermore, according to art. 9 of Reg. Del. 2015/35, the valuation of assets and liabilities (excluding Technical Provisions) is carried out, unless otherwise provided, in accordance with the international accounting standards adopted by the Commission pursuant to Regulation (EC) No. 1606/2002 (IAS/IFRS), when they provide for measurement at "Fair Value"; this is because they are considered a good approximation of the valuation principles provided for by the Solvency II Directive.

In the event that the valuation required by international accounting standards is not at fair value, valuation principles consistent with Article 75 of the Directive have been applied. As defined by Article 10 of Reg. Del. 2015/35, the valuations of assets and liabilities were carried out as follows:

- according to the "mark to market" approach, i.e. on the basis of prices quoted on an "active" market;
- in the event that it is not possible to obtain market prices as defined in the previous point, the prices recorded on active markets for similar assets and liabilities shall be used; the values thus identified are adjusted to take into account any differences; the definition of "active market" to be considered is that provided for by IAS/IFRS and approved by the European Commission, in accordance with Regulation (EC) No. 1606/2002 (IAS/IFRS);
- in the event that the criteria identifying an active market, defined in point 2, are not met, the Company shall use alternative valuation methods, provided that they are consistent with the principles set out in Article 75 of the Directive; alternative valuation methodologies maximize the use of market data and limit the use of Company-specific inputs as much as possible.

The starting point for determining the Market Consistent Balance Sheet is represented by the financial statements prepared on the basis of local accounting standards and the value adjustments for the determination of the IAS/IFRS value.

The following tables show, for each category of assets and liabilities, the value determined in accordance with Solvency II principles, the value determined in accordance with national accounting standards and the difference in value.

SOLVENCY II BALANCE SHEET

(amounts in EUR thousand)

Assets	Solvency II value	Statutory accounts value	Variation
Goodwill	0	22.580	-22.580
Deferred acquisition costs	0	0	0
Intangible assets	0	22.622	-22.622
Deferred tax assets	9.916	99.853	-89.938
Pension benefit surplus	0	0	0
Property, plant & equipment held for own use	41.752	1.862	39.890
Investments (other than assets held for index-linked and unit-linked contracts)	**5.328.579**	**5.509.204**	**-180.626**
Property (other than for own use)	45.338	28.968	16.370
Holdings in related undertakings, including participations	136.242	136.477	-235
Equities	**5.970**	**5.693**	**278**
Equities - listed	3.961	3.813	148
Equities - unlisted	2.009	1.879	130
Bonds	**4.882.163**	**5.083.574**	**-201.411**
Government Bonds	3.222.852	3.398.399	-175.547
Corporate Bonds	1.602.885	1.624.518	-21.633
Structured notes	54.510	58.653	-4.143
Collateralised securities	1.916	2.004	-88
Collective Investments Undertakings	258.865	254.492	4.373
Derivatives	0	0	0
Deposits other than cash equivalents	0	0	0
Other investments	0	0	0
Assets held for index-linked and unit-linked contracts	729.869	729.869	0
Loans and mortgages	**11.809**	**12.658**	**-848**
Loans on policies	443	443	0
Loans and mortgages to individuals	0	0	0
Other loans and mortgages	11.366	12.215	-848
Reinsurance recoverables from:	**151.416**	**211.883**	**-60.467**
Non-life and health similar to non-life	**157.503**	**208.511**	**-51.008**
Non-life excluding health	155.450	200.825	-45.375
Health similar to non-life	2.053	7.686	-5.633
Life and health similar to life, excluding health and index-linked and unit-linked	**-6.142**	**3.372**	**-9.514**
Health similar to life	191	191	0
Life excluding health and index-linked and unit-linked	-6.332	3.182	-9.514
Life index-linked and unit-linked	**55**	**0**	**55**
Deposits to cedants	0	0	0
Insurance and intermediaries receivables	136.130	136.130	0
Reinsurance receivables	26.186	26.186	0
Receivables (trade, not insurance)	127.962	127.962	0
Own shares (held directly)	0	0	0
Amounts due in respect of own fund items or initial fund called up but not yet paid in	0	0	0
Cash and cash equivalents	206.983	206.983	0
Any other assets, not elsewhere shown	10.294	10.294	0
Total assets	**6.780.895**	**7.118.086**	**-337.191**

The total assets of the Solvency II financial statements amounted to 6,780,895 thousand Euros and compared to the 7,118,086 thousand Euros of the statutory financial statements, they show a lower value of -337,191 thousand Euros.

SOLVENCY II BALANCE SHEET

(amounts in EUR thousand)

Liabilities	Solvency II value	Statutory accounts value	Variation
Technical Provisions - non life	**1.349.016**	**1.601.454**	**-252.438**
Technical Provisions - non life (excluding health)	**1.292.919**	**1.526.458**	**-233.539**
Technical Provisions calculated as a whole	0	1.526.458	-1.526.458
Best estimate	1.249.941	0	1.249.941
Risk margin	42.978	0	42.978
Technical Provisions - health (similar to non-life)	**56.097**	**74.996**	**-18.899**
Technical Provisions calculated as a whole	0	74.996	-74.996
Best estimate	54.418	0	54.418
Risk margin	1.679	0	1.679
Technical Provisions - life (excluding index-linked and unit-linked)	**3.463.224**	**3.813.814**	**-350.591**
Technical provisions - health (similar to life)	**231**	**231**	**0**
Technical Provisions calculated as a whole	0	231	-231
Best estimate	228	0	228
Risk margin	3	0	3
Technical Provisions - life (excluding health and index-linked and unit-linked)	**3.462.993**	**3.813.584**	**-350.591**
Technical Provisions calculated as a whole	0	3.813.584	-3.813.584
Best estimate	3.423.265	0	3.423.265
Risk margin	39.728	0	39.728
Technical Provisions - index-linked and unit-linked	**691.740**	**729.869**	**-38.129**
Technical Provisions calculated as a whole	0	729.869	-729.869
Best estimate	685.318	0	685.318
Risk margin	6.423	0	6.423
Other technical provisions	0	0	0
Contingent liabilities	0	0	0
Provisions other than technical provisions	9.389	9.389	0
Pension benefit obligations	7.498	7.613	-115
Deposits from reinsurers	33.099	33.099	0
Deferred tax liabilities	32.300	0	32.300
Derivatives	0	0	0
Debts owed to credit institutions	**0**	**0**	**0**
Financial liabilities other than debts owed to credit institutions	**43.513**	**0**	**43.513**
Debts owed to non-credit institutions	43.513	**0**	43.513
Insurance & intermediaries payables	43.647	43.647	0
Reinsurance payables	19.650	19.650	0
Payables (trade, not insurance)	49.081	49.081	0
Subordinated liabilities	**167.419**	**188.460**	**-21.041**
Subordinated liabilities not in BOF	0	0	0
Subordinated liabilities in BOF	167.419	188.460	-21.041
Any other liabilities, not elsewhere shown	33.473	33.473	0
Total liabilities	**5.943.050**	**6.529.551**	**-586.501**
Excess of assets over liabilities	**837.845**	**588.535**	**249.311**

The total liabilities of the Solvency II financial statements amount to 5,943,050 thousand Euros and compared to 6,529,551 thousand Euros of the statutory financial statements, show a lower value of -586,501 thousand Euros.

Overall, therefore, the excess of assets over liabilities in the Solvency II financial statements amounts to 837,845 thousand Euros and compared to 588,535 thousand Euros in the statutory financial statements, it shows a higher value of 249,310 thousand Euros.

D.1.1 Goodwill and Intangible Assets

The Company, in line with regulatory provisions, values both goodwill and intangible assets at zero, as it does not consider it possible to identify and separate them from the business context, nor to attribute a precise market value to them. In the statutory financial statements, the respective values are equal to 22,580 and 22,622 thousand Euros and therefore there is a difference in valuation compared to the Solvency II financial statements of the same amount.

D.1.2 Deferred tax assets

Deferred tax assets (DTAs) other than those arising from unused tax losses and tax credits and deferred tax liabilities (DTLs) are calculated on the basis of differences between the values of assets and liabilities measured in accordance with Solvency II and the corresponding amounts for tax purposes.

DTAs are only eligible if it is probable that there will be a future taxable profit against which deferred tax assets can be used, taking into account legal or regulatory requirements on the terms for carrying forward unused tax losses or tax credits.

Deferred and deferred tax assets are measured separately for IRES and IRAP purposes on the basis of the tax rates expected to be applied in the year in which the temporary differences will be cancelled.

As a result of the application of the Solvency II valuation rules, item "Deferred tax assets" in the statutory financial statements, amounting to 99,853 thousand Euros, decreased by 89,937 thousand Euros, reaching a total value of 9,916 thousand Euros.

The following table shows the deferred tax assets and liabilities calculated on Solvency II adjustments; the balance is represented in this case by deferred taxes and amounts to a total of 122,238 thousand Euros, of which 89,388 thousand Euros for IRES purposes and 32,850 for IRAP purposes recorded net of the corresponding DTAs in the DTLs.

The rate applied to value adjustments is 32.82%; thiscalculation is made on the basis of the rates in force at the time the temporary differences are reversed and therefore at 24% with reference to IRES, while with reference to IRAP the increase in the rate from 6.82% to 8.82% provided for by Budget Law no. 199/2025 of 30 December 2025 for the three-year period 2026-2028 has been taken into account.

On value adjustments relating to positive equity investments, in application of tax legislation, the aforementioned rate was applied to 5% of the revaluation, while on negative value adjustments no deferred taxes were calculated, given that the legislation provides for the non-relevance for tax purposes of the aforementioned capital losses.

SOLVENCY II ADJUSTMENTS (amounts in EUR thousand)

	Gross amount	IRAP	IRES	Net amount
Intangible assets	-45.202	3.987	10.848	-30.367
Property	16.370	-1.444	-3.929	10.997
Investments	-197.609	17.429	47.426	-132.754
Technical provisions attributable to non-life reinsurer	-51.008	4.499	12.242	-34.267
Technical provisions attributable to life reinsurers	-9.459	834	2.270	-6.355
Non-life technical provisions	252.439	-22.265	-60.584	169.590
Life technical provisions	388.720	-34.285	-93.293	261.142
Subordinated liabilities	21.041	-1.856	-5.050	14.135
IAS 19	115	-10	-28	77
IFRS 16	-3.623	320	870	-2.433
Adjustment participations	-235	-59	-160	-454
Total	**371.549**	**-32.850**	**-89.388**	**249.311**

D.1.3 Property, plant and equipment for own use

This item includes furniture, plant, machinery and equipment, real estate used for the operation of the business as well as the recognition, in accordance with IFRS 16 – Leases, of the right of use of leased property. In the statutory financial statements, tangible fixed assets are recorded at cost and systematically depreciated on a straight-line basis on the basis of the residual usability from the time they are ready for use. On the other hand, according to Solvency II principles, real estate and other tangible assets must be measured at fair value. In particular, for real estate, the revaluation at Fair Value was calculated with reference to the appraisal report for the determination of the current value as at 31 December 2025 requested from a qualified professional, in accordance with the criteria set out in art. 20 of ISVAP Regulation no. 22 of 4 April 2008. The determination of the Fair Value of real estate is carried out using two different estimation procedures, based on the type of property to be valued: the market comparison method, known as MCA (Market Comparison Approach) and the discounted cash flow method, known as DCFA (Discounted Cash Flow Analysis). For each property, the specific characteristics are taken into consideration, such as the type of real estate and architecture, the intended use, the size, the location, the type of use, the possibility of renting or selling, the type of occupation and all other factors that are significant for the purposes of market segmentation and the choice of the valuation method.

This item includes other tangible fixed assets, the value of which in the statutory financial statements, amounting to 1,862 thousand Euros, has been considered representative of the Fair Value.

In addition, this item includes the value of the right of use of lease payables, calculated in accordance with IFRS 16, amounting to 39,890 thousand Euros.

D.1.4 Real estate (not for own use)

The article is entirely composed of the three properties in Rome, via Abruzzi 10, Rome via S. Angela Merici 90 and Galatina, via Caracciolo 34. The difference between the Solvency II value (45,338 thousand Euros) and the statutory value (28,968 thousand Euros) is equal to 16,370 thousand Euros. The criteria for determining the Fair Value are set out in the previous paragraph.

D.1.5 Equity investments

According to art. 13 of Reg. Del. 2015/35, shareholdings are valued on the basis of the following hierarchy of methods:

- using market prices quoted in active markets;
- using the adjusted equity method;
- using market prices quoted in active markets for similar assets and liabilities with adjustments to reflect differences, provided that valuation pursuant to points (a) and (b) is not possible and the undertaking is not a subsidiary within the meaning of Art. 212, paragraph 2 of Directive 2009/138/EC.

By way of derogation from this hierarchy of methods, holdings are valued at zero if they are excluded from the scope of group supervision because they are located in a third country where there are legal obstacles to the transfer of the necessary information or if they are deducted from Own Funds eligible for group solvency (if the supervisors do not have the information necessary for the calculation of group solvency).

The adjusted equity method consists of valuing the investment on the basis of the share held by the investee company, the excess of assets over the liabilities of the investee company measured according to Solvency II principles.

Alternatively, the IFRS equity method may be used, if the valuation of individual assets and liabilities in accordance with Solvency II is not practicable, but in any case the value of goodwill and other intangible assets that would be valued at zero pursuant to art. 12 of Reg. Del. 2015/35.

The shareholdings held by HDI Assicurazioni are all related to unlisted companies; the valuation was carried out on the basis of the adjusted equity method, and therefore on the basis of the portion held in the equity of the investee determined according to the Solvency II principles as provided for in Article 75 of the Directive.

HOLDINGS IN RELATED UNDERTAKINGS (amounts in EUR thousand)

	Solvency II value	Statutory accounts value	Variation
HDI Immobiliare S.r.l.	102.019	115.552	-13.533
InLinea S.p.A.	2.197	2.210	-13
InChiaro Life Dac	31.116	17.805	13.311
Assi90 S.r.l.	13	13	-
Novias S.r.l.	897	897	-
Total	**136.242**	**136.477**	**-235**

D.1.6 Equity securities, bonds, mutual funds and other investments

A comparison between the Solvency II balance sheet values and the statutory balance sheet values shows differences in value with reference to equity instruments of +278 thousand Euros, while there is a difference of -201,411 thousand Euros with reference to bonds and +4,373 thousand Euros with reference to mutual funds.

In the statutory financial statements, equity instruments, debt securities and mutual funds are recorded on the basis of whether they belong to the durable or non-durable sub-fund. Non-current securities, whether listed or unlisted, placed against long-term commitments and intended to remain in the Company's assets until redemption, are measured at purchase or contribution cost, adjusted for accrued issue and trading haircuts and write-downs deriving from impairment losses. Listed and unlisted securities recorded in the non-durable segment are valued at the lower of the book value, adjusted for the accrued issue haircuts, and the market value, determined on the basis of the average of the prices for the December stock market month, considered representative of the presumed realisable value. With regard to securities for which the reasons for the write-downs made have disappeared, the impairment is restored within the limits of cost.

The valuation of investments in the solvency balance sheet is carried out at fair value and, in the event of unavailability of market prices detectable on an active market (mark to market), following the valuation hierarchy established by Solvency II principles and reported in paragraph D.1 - Valuation of Assets.

The Company has therefore used fair value as defined by IFRS 13, i.e. "the price that would be received for the sale of an asset", as it is considered a consistent option for the purposes of the Solvency II assessment. The following tables provide details of the investments classified according to the Fair Value hierarchy, as required by IFRS 7 - Financial Instruments, which requires that the Fair Value hierarchy be established for the classes of financial assets and liabilities measured at Fair Value, with the definition of three levels:

- Level 1: prices quoted in active markets;
- Level 2: input data other than the quoted prices referred to in level 1, which are observable for assets or liabilities both directly (as in the case of prices) and indirectly (i.e., as derived from prices); this category includes Fair Value measured on the basis of valuation techniques that take as a reference parameters observable on the market, other than the prices of the financial instrument on an active market;
- Level 3: Input data related to the asset or liability that is not based on observable market data (unobservable data); this category includes Fair Value measured on the basis of valuation techniques that take as a reference parameters that cannot be observed on the market or which, although starting from level 2 market data (i.e. different from the prices recorded on an active market), nevertheless require a significant discretionary adjustment based on data that cannot be observed on the market.

INVESTMENTS - FAIR VALUE LEVELS (amounts in EUR thousand)

	Level 1	Level 2	Level 3	Total
Equities - listed	3.961	-	-	3.961
Equities - unlisted	-	-	2.009	2.009
Government Bonds	3.222.852	-	-	3.222.852
Corporate Bonds	1.531.787	51.660	19.438	1.602.885
Structured notes	-	-	54.510	54.510
Collateralised securities	-	-	1.916	1.916
Collective Investments Undertakings	37.298	-	221.567	258.865
Derivatives	-	-	-	-
Deposits other than cash equivalents	-	-	-	-
Other investments	-	-	-	-
Loans on policies			443	443
Other loans and mortgages	-	-	11.366	11.366
Total	4.795.898	51.660	311.249	5.158.807

D.1.7 Assets held for index-linked and unit-linked contracts

The valuation is carried out at Fair Value and, in the case of market prices on an active market (mark to market) that are not available, following the valuation hierarchy established by Solvency II principles and reported in paragraph D.1 - Valuation of Assets. This item amounts to 729,869 thousand Euros and includes investments that are indicated in class D in the statutory financial statements, i.e. investments for the benefit of life insurance policyholders who bear the risk and derive from the management of pension funds. In this case, the valuation criterion of the statutory financial statements is the same as that of Solvency II and therefore there are no differences in value.

The following tables show the details of the investments classified according to the Fair Value hierarchy:

INVESTMENTS – FAIR VALUE LEVELS (amounts in EUR thousand)

	Level 1	Level 2	Level 3	Total
Assets held for index-linked and unit-linked contracts	677.393	4.377	48.099	729.869
Total	677.393	4.377	48.099	729.869

D.1.8 Mortgages and loans

This item amounts to a total of 11,366 thousand Euros and consists of infrastructure investments in the form of private debt for 11,023 thousand Euros (recording a lower value than the statutory financial statements of 849 thousand Euros).

In addition, the item consists of policy loans, which amount to 443 thousand Euros, and loans to agents, employees and former employees, which amount to 343 thousand Euros. In the financial statements, these items are recorded at nominal value. The amount recorded in the solvency balance sheet is the same, taking into account the insignificant changes in the Fair Value in the face of maturities that are generally close in time.

D.1.9 Technical Provisions payable by reinsurers

The valuation of the Technical Provisions payable by reinsurers was carried out using the criteria described below and led to a lower value than the figure in the statutory financial statements of -51,009 thousand Euros with reference to non-life reserves and -9,514 thousand Euros with reference to life provisions.

D.1.10 Adjustment for ceded Best Estimate provision

The adjustment for losses due to the counterparty's default linked to the Best Estimates transferred is calculated in accordance with Article 61 of Reg. Del. (EU) 2015/35, taking into account the probability of default of that counterparty over the next 12 months, the amounts recoverable from the reinsurance contracts with that counterparty, or the Best Estimates discounted at the base rate and the duration of those amounts.

In the Company's assessments, the adjustment is calculated for each business line and not for the individual counterparty.

To this end, the quantities involved in the calculation that refer to a specific counterparty (the probability of default) are aggregated in order to consider the set of reinsurers with which contracts are signed for the following 12 months and the related rating, which in turn corresponds to a predetermined probability of default. Starting from this probability of default, the odds ratio per rating is calculated.

The adjustment for the default of the counterparty to be made to the Best Estimate of the claims provision sold for the total non-life business is equal to 3,757 thousand Euros while the adjustment for the default of the counterparty to be made to the Best Estimate of the premium provision sold for the total non-life business is equal to 53 thousand Euros.

The adjustment for the default of the counterparty to be made to the Best Estimate sold for the total life business is equal to approximately 0.3 thousand Euros and does not apply to health guarantees.

D.1.11 Other assets

Other asset items mainly refer to insurance and reinsurance receivables, other receivables, mainly composed of receivables from the Treasury for advance payments on taxes and cash and cash equivalents.

These items are recorded in the statutory financial statements on the basis of their estimated realisable value or on the basis of their nominal value. In the Solvency II financial statements, the amount recorded is the same, taking into account the insignificant changes in the Fair Value in the face of maturities that are generally close in time.

D.2 Valuation of Technical Provisions

In accordance with the Directive, the Technical Provisions are determined as the sum of the Best Estimate and the Risk Margin.

The Best Estimate therefore represents the expected present value of future cash flows discounted using the risk-free rate curve at the valuation date provided by EIOPA. The Risk Margin is calculated by determining the cost of establishing an amount of eligible Own Funds, equal to the Solvency Capital Requirement necessary to meet the insurance and reinsurance obligations throughout their lifetime, and thus such as to ensure that the value of the Technical Provisions is equivalent to the amount that insurance and reinsurance undertakings would need to assume and honour the obligations of insurance and reinsurance insurance and reinsurance.

D.2.1 Non-Life Technical Provisions

The evaluations of the Best Estimate of the claims reserve and the premium reserve are carried out separately, as established by Article 36 of Reg. Del. 2015/35.

D.2.1.1 Calculation methodologies and main assumptions

The Company applies the Chain Ladder method for the Best Estimate of the claims reserve (hereinafter Claims Provision), after verifying the assumptions underlying the method itself (test for calendar year effect, test for linear correlation).

In the assessment of the Claims Provision, all "cash outs" (outflows) relating to claims that have occurred (including IBNRs) and the related expenses are taken into account. In particular, settlement costs not attributable to the individual claim, so-called ULAE (Unallocated Loss Adjustment Expenses) are assessed separately, as required by art. 68 of IVASS Regulation no. 18. Furthermore, as indicated by Article 31 of Reg. Del. 2015/35, Investment Management Expenses are among the expenses to be taken into account in the calculation of the Best Estimate. The "cash in" relating to the Claims Provision is instead represented by the estimate of the amounts recovered, the Best Estimate of which is assessed separately. Therefore, the Claims Provision is obtained as the algebraic sum of the Best Estimate of the claims reserve net of the ULAE, the Best Estimate of the ULAE, the Best Estimate of recoveries and the Best Estimate of investment management expenses.

With reference to the premium reserve (hereinafter Premium Provision), the cash flow projections consider claims that will occur after the valuation date and relate to contracts in place at the valuation date.

For its estimate, the simplification for the premium reserve contained in Annex 6 of IVASS Regulation no. 18 is applied.

The "cash in" relating to the premium provision is represented by future premiums relating to annual, multi-year and posthumous policies in the portfolio at the valuation date and by the recoveries considered in the ratios involved in the simplified calculation.

The calculation of the premium provision also includes the estimation of Investment Management Expenses.

In accordance with Articles 77 and 81 of the Directive, the Best Estimate is calculated gross of the amounts recoverable from reinsurance contracts, which are calculated separately. An adjustment is applied to these amounts to take account of any default of the reinsurers.

A separate assessment of the risks assumed by indirect insurance (accepted proportional reinsurance business) is carried out for both premium provisions and claims provisions.

In the valuations relating to 31 December 2025, no unbundling of the contracts in the portfolio were carried out.

Volatility Adjustment measures were used, while the fairness measure referred to in Article 30-bis, paragraph 6) letters a), b) and c) of the Code (Legislative Decree No. 74 of 12 May 2015 and subsequent amendments and additions) was not applied.

D.2.1.2 Input data

For the estimation of the Claims Provision, in order to carry out an appropriate actuarial analysis, historical data aggregated in triangular matrices (run-off triangles) are considered, in which the rows represent the years in which the claim occurred (year of occurrence) and the columns represent the years in which the claim was paid or reserved (year of development).

With regard to the Premium Provision, the input data used were taken, in part, from the Company's plan, and were appropriately aggregated into homogeneous risk classes, according to the classification into lines of business (LoB) referred to in Annex 1 of Reg. Del. 2015/35.

The "Accident" and "Health" classes have been reclassified by Solvency II business lines in consideration of the insured risks.

For the LoB MTPL (Motor Third Part Liability), in identifying the homogeneous risk groups, the CARD and NO CARD claims were considered separately, in compliance with the provisions of the Supervisory Authority in IVASS Regulation no. 18.

D.2.1.3 Settlement costs

Settlement costs are divided into two macro-categories: expenses attributable to the single claim "Allocated Loss Adjustment Expenses" (ALAE) and expenses not attributable to the single claim "Unallocated Loss Adjustment Expenses" (ULAE).

D.2.1.4 Claims Provision

As described in the previous paragraphs, the amount of the Claims Provision is made up of the algebraic sum of the individual components of the cash out and cash in.

The evaluations are carried out by the Company through the use of the ResQ software.

D.2.1.4.1 Best Estimate of Claims Reserve (BEL) – direct business

For the valuation of the claims reserve, HDI Assicurazioni uses the Chain Ladder method on the triangles of the paid gross only of the expenses attributable to the single claim (ALAE).

The result obtained from the projection is the ultimate cost of claims from which the undiscounted Best Estimate of the claims reserve (UBEL) is derived.

The BEL gross of reinsurance sales, for each LoB, is obtained by discounting the expected future payments of the gross UBEL with the reference rate curve.

The discounting assumes that payments will be made in the middle of the year.

Evaluations are made separately for each lob.

The value of the UBEL claims reserve (net of ULAE expenses) for the total non-life business amounts to 1,110,178 thousand Euros, while the corresponding discounted value is equal to 1,006,513 thousand Euros.

D.2.1.4.2 Best Estimate ULAE

As for the estimation of the Claims Provision gross of ALAE expenses only, the Chain Ladder method is also used for the estimation of the Best Estimate of ULAE expenses following the same evaluation steps.

The value of the UBEL of the ULAE for the total non-life business amounts to 26,685 thousand Euros, while the corresponding discounted value is equal to 25,230 thousand Euros.

D.2.1.4.3 Best Estimate of recoveries

The evaluation of the Best Estimate of recoveries presupposes a preliminary analysis of the triangles of the amounts recovered, in order to assess the numerical consistency of the information necessary to be able to apply the actuarial methodology rather than the simpler statistical methodology.

The BEL of recoveries, for each LoB, is calculated by discounting the expected future payments of the UBEL with the reference rate curve.

The value of the UBEL of recoveries for the total non-life business amounts to 33,623 thousand Euros, while the corresponding discounted value is 28,320 thousand Euros.

D.2.1.4.4 Best Estimate – Business subject

The BEL of the claims reserve of risks assumed in reinsurance, for each LoB, is calculated by discounting the expected future payments of the UBEL measured in the Local GAAP financial statements, with the reference rate curve.

Since at that date only lob General Liability Insurance was involved in this business, the Best Estimate Undiscounted amounted to 653 thousand Euros and the Best Estimate Discounted amounted to 583 thousand Euros.

D.2.1.4.5 Claims Provision – Business sold

The BEL of the reinsurance assignments of the claims reserve, for each LoB, is calculated by discounting the expected future payments of the UBEL sold with the reference rate curve. The operating method used to determine and discount the cash flows sold is similar to that of the direct business.

The level of granularity used for the calculation of Technical Provisions corresponds to the Business Lines.

The value of the UBEL of the claims reserve sold for the total non-life business amounts to 171,375 thousand Euros, while the corresponding discounted value is equal to 154,864 thousand Euros.

An adjustment is applied to these Best Estimates to take into account any default of the reinsurers, the amount of which is reported in section D.1.10.

D.2.1.5 Premium Provision

The UBEL of the Premium Reserve is valued in accordance with the provisions of Annex 6 of IVASS Regulation No. 18 of 15 March 2016 and the related Annex "Clarifications on IVASS Regulation No. 18 concerning the application rules for the determination of Technical Provisions in the Solvency II regime".

D.2.1.5.1 Premium Provision – Direct Business

The Premium Provision is set aside to cover future claims and expenses relating to existing contracts. The UBEL relating to the Premium Reserve is calculated for each LoB, through the sum of three components:

- claims component that can be estimated by applying the estimate of the loss ratio calculated as an interpolation of the loss ratios of the last five years to the UPR (Unearned Premium Reserve) and FP (Future Premium);
- expenditure component that is obtained by applying the estimates of the indicators of the prospective plan relating to expenses (acquisition cost ratio and expense ratio) to the UPR and FP;
- premium reimbursement component, relating to the portion of the premium not used due to the early termination of the contract.

Starting from the UBEL thus obtained, the BEL of the premium provision for each LoB is calculated by discounting the expected future payments of the UBEL (cash flow) with the reference rate curve.

The value of the UBEL of the premium provision for the total non-life business amounts to 330,597 thousand Euros, while the corresponding discounted value is 297,725 thousand Euros.

D.2.1.5.2 Present Value Future Premium – Direct Business

For the determination of future premiums, the policies in the portfolio which, at the valuation date, have unpaid risks and therefore a premium reserve are considered. For these policies, the premiums that the company expects to collect after the valuation date are estimated. The value of premium futures for the total non-life business amounts to 78,203 thousand Euros, while the corresponding discounted value is 77,040 thousand Euros.

D.2.1.5.3 Premium Provision – Risks assumed

The BEL of the risk-taking premium reserve, for each LoB, is calculated by discounting the expected future payments of the UBEL measured in the Local GAAP financial statements with the reference rate curve.

At that date, only lob General Liability Insurance was involved in this business. The Best Estimate Undiscounted is equal to 51 thousand Euros and the Best Estimate Discounted is equal to 44 thousand Euros.

D.2.1.5.4 Premium Provision – Risks transferred

The Company evaluates the UBEL of the Transferred Premium Reserve by applying the same methodology for calculating the direct business.

The value of the UBEL of the premium reserve sold for the total non-life business amounts to 7,344 thousand Euros while the corresponding discounted value is 6,450 thousand Euros.

An adjustment shall be applied to these Best Estimates to take into account any default of the reinsurers described in section D.1.10.

D.2.1.5.5 Present Value Future Premium – Risks sold

To determine the future premiums sold, an estimate was made on the basis of future premiums from the direct business.

At the valuation date, the value of premium futures sold for total non-life business amounted to 6,001 thousand Euros, while the corresponding discounted value amounted to 5,905 thousand Euros.

D.2.1.6 Investment Management Expenses

The total amount of UBELs of Investment Management Expenses amounted to 2,918 thousand Euros, while the corresponding discounted value amounted to 2,583 thousand Euros.

D.2.1.7 Discounting

The Best Estimate represents the expected present value of future cash flows discounted using the relevant risk-free interest rate maturity structure with Volatility Adjustment, provided by EIOPA. The Volatility Adjustment was used to determine the Technical Provisions for which it was considered in all the values reported in the tables.

D.2.1.8 Risk Margin

In the calculation of the Risk Margin, it is assumed that the insurance company transfers its entire portfolio to a reference company (OR: Reference Undertaking). This fictitious company has neither insurance contracts nor its Own Funds, so it can be considered "empty".

The Risk Margin can be interpreted and calculated as the cost of establishing an amount of eligible Own Funds, equal to the Solvency Capital Requirement necessary to meet the insurance and reinsurance obligations throughout their lifetime.

The approach used to calculate the Risk Margin is Cost of Capital (CoC).

It should be noted that the Volatility Adjustment is not applied to the discount factor, just as the Best Estimate Liabilities and the SCR reported in the Risk Margin formula are calculated without the Volatility Adjustment.

The Risk Margin of total P&C business as at 31 December 2025 amounted to 44,657 thousand Euros.

D.2.1.9 Comparison with the statutory financial statements

The table below shows the values of non-life Technical Provisions calculated according to Solvency II principles relating to the YE 2025 valuation compared with the values of statutory Technical Provisions.

NON-LIFE TECHNICAL PROVISIONS (amounts in EUR thousand)

	Solvency II value	Statutory accounts value	Variation
Technical Provisions - non life	1.349.016	1.601.454	-252.438
Technical Provisions - non life (excluding health)	1.292.919	1.526.458	-233.539
Technical Provisions calculated as a whole	-	1.526.458	-1.526.458
Best estimate	1.249.941	-	1.249.941
Risk margin	42.978	-	42.978
Technical Provisions - health (similar to non-life)	56.097	74.996	-18.899
Technical Provisions calculated as a whole	-	74.996	-74.996
Best estimate	54.418	-	54.418
Risk margin	1.679	-	1.679

The difference between the Solvency and statutory reserves is mainly due to:

- a different aggregation of risks by Business Lines;
- a different aggregation of input data provided for separately in the Local GAAP and Solvency II standards;
- the actuarial reserve model used to calculate the Best Estimates of the claims reserves of the direct business;
- the impossibility of considering in the Local GAAP financial statements, the present value of the foreseeable amount for the future settlement of claims and of making other forms of deduction or discounts (Art. 26 ISVAP Regulation no. 16/2008);
- the different criterion for calculating the Best Estimates of premium reserves, which, unlike local assessments, takes into account claims and expenses arising from existing contracts at the time of valuation, obtained from the plan indicators, and future premiums on existing contracts, as well as the lapse rate;
- the other Technical Provisions provided for by Local GAAP regulations, such as the ongoing risk reserve, the equalisation reserve and the senescence reserve;
- the Best Estimates of the amounts recovered provided for by Solvency II regulations;
- the amount of the Risk Margin provided for by Solvency II regulations;
- the counterparty default adjustment made to the reserves transferred in the Solvency II balance sheets.

D.2.1.10 Level of uncertainty associated with the value of Technical Provisions

The level of uncertainty associated with the value of Technical Provisions depends on factors endogenous to the triangles used for the estimates and external factors such as the transposition of new regulations, weather events, social phenomena, inflation, rates of return, etc.

Regarding the claims provision, the enactment of new laws and regulations can affect the amounts of compensation. The mere deferral in the timing of payment of claims, due for example to legal disputes, can create inflationary effects that lead to higher payments than estimated.

In the case of the MTPL class, an economic crisis could lower the frequency of claims, or vice versa an economic recovery can increase it. The worsening of climatic conditions, with exceptional events, may lead to an increase in the frequency of claims in the MTPL, MOD and Fire classes and for the latter two the occurrence of catastrophic claims (not necessarily related to climatic conditions).

With reference to the premium provision, the estimate takes into account the assumptions used in the context of the Company's strategic planning as well as the characteristics of the portfolio of the individual classes in terms of contract durations and any possible conduct of the policyholders.

D.2.2 Life Technical Provisions

The evaluations of the Best Estimate are calculated as established by Article 35 of Reg. Del. 2015/35.

D.2.2.1 Calculation methodologies and main assumptions

The Fair Value of the Best Estimates is the probability-weighted average of future cash flows, taking into account the time value of money (expected present value of future cash flows) based on the relevant risk-free interest rate term structure.

The projection assumptions used are the Best Estimate Assumptions, with regard to the technical risks component, the Economic Scenarios and the Management Actions for the modeling of market assumptions.

D.2.2.2 Best Estimate hypothesis

The calculation of the Best Estimate hypotheses is carried out using actuarial and statistical techniques suitable for the Lapse and Mortality risks, starting from a study of the time series of the two phenomena. As regards the calculation of the Best Estimate hypotheses of the Expenses, the model used is analytical and based on data from the Company's Balance Sheet.

D.2.2.2.1 Market assumptions

The projection model, used for the calculation of the Best Estimate Liabilities, is dynamic and stochastic. The Asset-Liability approach is made explicit, on a monthly basis, by retrocession of the return of the Segregated Accounts, calculated on the basis of the funds' accounting principles and linked to the projected cash flows of liabilities.

D.2.2.3 Best Estimate

The calculation of the Best Estimates is based on up-to-date and credible information and realistic assumptions and is carried out using appropriate actuarial and statistical methods.

The Best Estimate represents the market value of future commitments to policyholders. The cash flow projection used in the calculation of the Best Estimate takes into account all the income and expenses necessary to settle the insurance and reinsurance obligations, throughout their contractual term.

- Cash in Flow:
  - Future Premium: additional unique premiums, recurring unique premiums, constant and revaluable annual premiums.
- Cash out Flow:
  - Benefits: benefit paid at the end of the contract; amount paid in the event of the death of the insured; amount paid in the event of surrender of the policy.
  - Acquisition commissions: commissions on initial awards as provided for in the mandate.
  - Renewal commissions: commissions relating to single recurring premiums and annual premiums; Management Fee for one-off premiums.
  - Initial and renewal expenses: expenses incurred by the Company attributed to each policy.

The Best Estimate is therefore given by the present value of the flows described above plus the present value of the portfolio still outstanding at the end of the projection period.

D.2.2.3.1 Reinsurance

The amounts recoverable from reinsurance contracts are equal to approximately -0.15% of the total Gross Best Estimates. Reinsurance Recoverables are calculated as the difference between Gross and Net BELs and adjusted according to a factor that takes into account the probability of default of the reinsurer.

D.2.2.4 Risk Margin

In the calculation of the Risk Margin, it is assumed that the insurance company transfers its entire portfolio to a reference company (OR: Reference Undertaking). This fictitious company has neither insurance contracts nor its Own Funds, so it can be considered "empty".

The Risk Margin can be interpreted and calculated as the cost of establishing an amount of eligible Own Funds, equal to the Solvency Capital Requirement necessary to meet the insurance and reinsurance obligations throughout their lifetime.

The approach used to calculate the Risk Margin is Cost of Capital (CoC).

It should be noted that the Volatility Adjustment is not applied to the discount factor, just as the Best Estimate Liabilities and the SCR reported in the Risk Margin formula are calculated without the Volatility Adjustment.

The Risk Margin of the total life business as at 31 December 2025 amounted to 46,153 thousand Euros.

D.2.2.5 Breakdown by Business Line

D.2.2.5.1 Insurance with Profit Participation

The LoB Insurance with profit-sharing includes products belonging to separate management. In these contracts, the investment risk is borne by the Company, which in turn passes back part of the return to the policyholders. The impact of general market conditions and managerial decisions is taken into account in the calculation of Solvency II Technical Provisions.

The value of the Best Estimates calculated using the Volatility Adjustment is equal to 3,373,514 thousand Euros (excluding the use of the Volatility Adjustment it is equal to 3,385,353 thousand Euros).

D.2.2.5.2 Index and Unit linked Insurance

The LoB Insurance linked to Indices and Quotas includes the Company's Fondo Pensione Aperto. The risk of investing in this type of product is borne by the policyholders. The product offers the possibility of investing the member's contributions and, if applicable, the employers' contributions, in four different investment lines, based on the risk profile of the policyholder. The value of the sums paid is linked to the trend of the share or NAV of the sub-fund in which you have chosen to invest. One of the Company's four investment lines provides for the guarantee of repayment of at least what has been paid.

The value of the Best Estimates calculated using the Volatility Adjustment is equal to 685,317 thousand Euros (excluding the use of the Volatility Adjustment it is equal to 685,330 thousand Euros).

D.2.2.5.3 Other Life Insurance

Temporary death policies and CPI products belong to the LoB Other Life Insurance. A part of the business concerning these products is reinsured through surplus or quota/surplus treaties.

The value of the Best Estimates calculated using the Volatility Adjustment is equal to 49,750 thousand Euros (excluding the use of the Volatility Adjustment it is equal to 50,032 thousand Euros).

D.2.2.5.4 Health Insurance

The LoB Health Insurance includes Long Term Care contracts. Almost the total reserves relating to this product are subject to reinsurance treaties. The value of the Best Estimates calculated is equal to 228 thousand Euros.

D.2.2.6 Comparison with the statutory financial statements

The table below shows the values of the life Technical Provisions calculated according to Solvency II principles, compared with the values of the statutory Technical Provisions.

LIFE TECHNICAL PROVISIONS (amounts in EUR thousand)

	Solvency II value	Statutory accounts value	Variation
Technical Provisions - life (excluding index-linked and unit-linked)	**3.463.224**	**3.813.814**	**-350.591**
Technical provisions - health (similar to life)	**231**	**231**	**0**
Technical Provisions calculated as a whole	-	231	-231
Best estimate	228	-	228
Risk margin	3	-	3
Technical Provisions - life (excluding health and index-linked and unit-linked)	**3.462.993**	**3.813.584**	**-350.591**
Technical Provisions calculated as a whole	-	3.813.584	-3.813.584
Best estimate	3.423.265	-	3.423.265
Risk margin	39.728	-	39.728
Technical Provisions - index-linked and unit-linked	**691.740**	**729.869**	**-38.129**
Technical Provisions calculated as a whole	-	729.869	-729.869
Best estimate	685.318	-	685.318
Risk margin	6.423	-	6.423

As far as LoB Health Insurance is concerned, there are no particular differences. On the other hand, with reference to LoB Insurance with profit participation and Other Life Insurance, the transition to Solvency II involves a decrease of about 9.19% in Technical Provisions compared to those from the local balance sheet. This difference is given by the process of discounting future cash flows and the performance revaluation mechanism linked to the foreseeable returns calculated by the projection model. Finally, in the LoB Index-linked and Unit-linked Insurance, the transition to Solvency II leads to a decrease of approximately 5.22% due to the commissions retained by the Company with respect to the statutory Technical Provisions, given that the fund's units are already valued at the market.

D.2.2.6.1 Level of uncertainty associated with the value of Technical Provisions

The evaluation of the Best Estimates may be affected by the variation of both external elements (rate volatility, macroeconomic factors) and internal (such as surrenders, mortality, claims), as well as the breadth of the time horizon chosen for the projection. The Company independently carries out sensitivity analyses aimed at verifying the level of uncertainty of the Technical Provisions in response to changes in certain significant risk factors.

D.2.3 Long-Term Guarantee Measures (Volatility Adjustment)

Among the long-term guarantee measures, the Company uses only the Volatility Adjustment (VA) which represents an adjustment for volatility to the discount rate reference curve used for the calculation of insurance liabilities (Best Estimate Liabilities, BEL), in order to mitigate the impacts deriving from short-term volatility in the financial markets.

The Volatility Adjustment is applied to the total insurance liabilities in the Company's life portfolio. As of December 31, 2025, the Company's VA applied was 14 bps. In compliance with art. 30-bis, paragraph 5 of the Private Insurance Code, the Company has prepared a liquidity plan, with projections of cash inflows and outflows relating to assets and liabilities subject to Volatility Adjustment, capable of providing:

- a demonstration that the Company has sufficient liquidity to meet its obligations in times of stress, without resorting to the sale of illiquid assets;
- a demonstration that the Company adequately manages and monitors the liquidity risk related to the business to which the VA is applied.

The table below shows the data relating to the impact of long-term guarantee measures on the Company's main economic variables. The zeroing of the VA leads to an increase in technical reserves of 0.33% and a decrease in Own Funds of about -1.28%. The Solvency Capital Requirement rose by 1.54% while the Solvency Ratio went from 211.0% to 205.16%. The Company therefore maintains good coverage of the SCR, despite the zeroing of the VA.

IMPACT OF VOLATILITY ADJUSTMENT (amounts in EUR thousand)

	Amount with Long Term Guarantee measures and transitionals	Without volatility adjustment and without other transitional measures	Impact of volatility adjustment set to zero
Technical provisions	**5.503.980**	**5.521.972**	**17.992**
Basic own funds	**907.564**	**895.953**	**-11.612**
Excess of assets over liabilities	837.845	826.234	-11.612
Restricted own funds due to ring-fencing and matching portfolio	-	-	-
Eligible own funds to meet Solvency Capital Requirement	**907.564**	**895.953**	**-11.612**
Tier I	740.145	728.534	-11.612
Tier II	167.419	167.419	-
Tier III	-	-	-
Solvency Capital Requirement	**430.089**	**436.706**	**6.617**
Eligible own funds to meet Minimum Capital Requirement	**778.853**	**767.837**	**-11.016**
Minimum Capital Requirement	**193.540**	**196.518**	**2.978**

D.3 Measurement of Other Liabilities

Specific liabilities and contingent liabilities are measured in accordance with the international accounting standards adopted by the Commission pursuant to Regulation (EC) No 1606/2002 (IAS/IFRS) and no adjustment is made to take account of the change in the equity of the insurance or reinsurance undertaking after initial recognition. Contingent liabilities, which are not normally recognised in accordance with international accounting standards, are assessed in accordance with Solvency II standards where they are material, i.e. if information about the actual or potential size or nature of such liabilities could influence the decisions or judgement of the intended user of such information. including supervisory authorities. The value of contingent liabilities shall be equal to the expected present value of the future cash flows required to settle the contingent liability over the life of that contingent liability, calculated using the maturity structure of basic risk-free interest rates.

D.3.1 Other Technical Provisions and contingent liabilities

The Company has no other Technical Provisions and contingent liabilities recognised in its Solvency II financial statements.

D.3.2 Non-technical provision

This item contains provisions for risks and charges that represent liabilities of a specific nature, certain or probable, with an undetermined occurrence date or amount.

In detail, the item, amounting to 9,389 thousand Euros, mainly includes provisions of a non-technical nature, such as those intended for employees currently in service and those no longer in existence

The valuation shall be carried out in accordance with Article 75 of Directive 2009/138/EC, and their value shall coincide with that of the statutory financial statements.

D.3.3 Pension benefit obligations

This item includes provisions for severance indemnities, provisions for seniority premiums and provisions for expenses for executives' health policies, liabilities connected with defined benefit plans in favour of employees, which involve payments after termination of employment and which, in accordance with IAS 19, are subject to actuarial valuation using the so-called Project Unit Credit Method. According to this methodology, the liability is determined by taking into account a series of variables such as mortality, the forecast of future wage changes, the expected inflation rate, the foreseeable return on investments, etc. The liability recognised in the financial statements represents the present value of the foreseeable obligation, net of any plan assets, adjusted for any unamortised actuarial losses or gains. The valuation in accordance with IAS 19 resulted in a value of liabilities lower than those recognised in the statutory financial statements of 115 thousand Euros.

D.3.4 Deposits received from reinsurers

This item includes deposits received from reinsurers, which amount to 33,099 thousand Euros and refer to the subsidiary Hannover Rückversicherungs for 19,367 thousand Euros and to third parties for 13,732 thousand Euros. There are no differences in value between the Solvency II financial statements and the statutory financial statements.

D.3.5 Deferred tax liabilities

As previously reported in paragraph D.1.2 - Deferred tax assets, to which reference is made, deferred and deferred tax assets are measured separately for IRES and IRAP purposes on the basis of the tax rates expected to be applied in the year in which the temporary differences will be cancelled.

Deferred tax liabilities in the Solvency II financial statements amount to 32,300 thousand Euros.

D.3.6 Payables to credit institutions

The Company has no items recognised in its Solvency II financial statements.

D.3.7 Financial liabilities other than payables to credit institutions

This item includes the recognition of financial liabilities for future rents due under lease agreements accounted for in accordance with IFRS 16.

D.3.8 Other liabilities (Insurance payables and other payables, other liabilities)

Payables amount to a total of 112,378 thousand Euros and consist of payables to policyholders, intermediaries and other payables deriving from direct insurance transactions for 43,467 thousand Euros, payables deriving from reinsurance transactions for 19,650 thousand Euros and other non-insurance payables for 49,081 thousand Euros.

The item other liabilities amounts to 33,473 thousand Euros and mainly includes the estimate of the amount for the reward policies towards agents on the basis of the objectives achieved in 2025 and all liabilities not included in the other items of the financial statements, such as accrued expenses and deferred income.

These items are recorded in the statutory financial statements on the basis of their nominal value, which is considered representative of the Fair Value in the Solvency II financial statements.

D.3.9 Subordinated liabilities

Subordinated liabilities amount to a total of 167,419 thousand Euros.

Subordinated liabilities, valued in accordance with Article 75 of Directive 2009/138/EC, have the necessary characteristics to be classified as level 2 core Own Funds items under Solvency II. Details are given in paragraph E.1.2.

D.4 Alternative methods of assessment

As reported in the preamble to this "Chapter D - Valuations for solvency purposes", if the criteria for the use of market prices quoted on active markets are not met, the Company, in line with the provisions of art. 10, paragraph 7, of the Delegated Acts, uses valuation techniques appropriate to the circumstances and for which sufficient data are available for the purpose of measuring fair value, always maximizing the use of observable inputs and minimizing non-observable ones.

There are no alternative methods of valuation for assets and liabilities compared to those indicated in the previous paragraphs.

On the basis of previous experience, there have been no significant differences between the valuation estimated on the basis of alternative valuation methods and the corresponding values that can be inferred, for example, from subsequent market transactions concerning these assets and liabilities.

D. 5 Other information

There is no material information on the valuation of assets and liabilities for solvency purposes that has not been disclosed in the previous paragraphs.

Section E
CAPITAL MANAGEMENT

E.1 Own Funds

The Company holds Own Funds in accordance with the requirements of current legislation.

E.1.1 Capital Management Policy

The Company's capital management policy defines, also in terms of the roles and responsibilities of the actors involved, the procedures aimed at regulating the classification, issuance, monitoring, possible distribution, as well as the repayment of Own Funds items, in line with the medium-term capital management plan, which is part of the broader five-year Strategic Planning process. which the Board of Directors approves, monitoring its correct implementation and ensuring its adequacy and updating over time.

As part of the five-year strategic planning process, the capital management policy, together with the risk management process, is aimed at ensuring the availability of adequate equity, in terms of type and amount, to cover the risks assumed and therefore to maintain the Company's current and prospective economic and financial balance.

In line with strategic planning, the capital management plan provides for the issuance, redemption or redemption of Own Funds with the relative classification in the various Tiers, the policy for the distribution of Own Funds elements is drawn up and projections are defined as part of the internal risk and solvency assessment.

The internal processes in place provide for the assessment of compliance on an ongoing basis with the minimum level of solvency required by law, the capital requirements necessary in relation to the risk profile and business strategy and the possible need for corrective actions to the risk profile or capital endowment. With this in mind, quarterly reporting has been set up to monitor the Company's capital management with an analysis of solvency, the evolution of the capital requirement, eligible Own Funds and capital movements. The Company also uses a set of risk-based indicators to guide risk-adjusted profitability.

E.1.2 Available Own Funds

The following table identifies the main components and methods for determining Own Funds at Company level, broken down by Tier.

OWN FUNDS (amounts in EUR thousand)

Basic Own Funds	2025	2024	Variation	Tier 1 unrestrect	Tier 1 restrected	Tier 2	Tier 3
Ordinary Share Capital	351.000	351.000	-	351.000		-	
Reconciliation Reserve	389.145	364.130	25.016	389.145			
Subordinated Liabilities	167.419	196.728	- 29.309		-	167.419	-
Net DTAs	-	22.838	- 22.838				-
Total	**907.564**	**934.696**	**- 27.131**	**740.145**	**-**	**167.419**	**-**

The amount of Basic Own Funds as at 31 December 2025 amounted to 907,564 thousand Euros. There are no Ancillary Own Funds in the Company's Solvency II balance sheet.

In particular, core capital includes:

- the share capital;
- subordinated loans (included in Tier 2 Own Funds); the cost of subordinated loans was considered net of tax effects (recoverability of interest expenses) for the purposes of determining the profit/loss for the year, these loans were subscribed at market conditions;
- the reconciliation reserve;

Compared with the previous year, the amount of capital has fallen.

With reference to this item, the following table shows the components used to determine it, as well as a comparison of the individual items that compose it with the previous year.

RECONCILIATION RESERVE

(amounts in EUR thousand)

	2025	2024	Variation
Excess of assets over liabilities	837.845	828.068	9.778
Own shares (held directly and indirectly)	-	-	-
Foreseeable dividends, distributions and charges	97.700	90.100	7.600
Other basic own fund items	351.000	373.838	-22.838
Adjustment for restricted own fund items in respect of matching adjustment portfolios and ring fenced funds	-	-	-
Reconciliation reserve	**389.145**	**364.130**	**25.016**

Compared with the previous year, the increase in the reconciliation reserve is primarily attributable to the increase in dividends and the surplus of assets over liabilities.

Subordinated Loans

The following table shows the details of the subordinated loans included in the Company's Own Funds as at 31 December 2025.

SUBORDINATED LOANS

(amounts in EUR thousand)

	Nominal Value	Subscription Date	Maturity Date	Rate	Value as at 31/12/2025
Prestito HINT - 03/2021	50.000	26/03/2021	26/03/2031	4,11%	44.155
Prestito TINT - 2016	42.700	21/06/2016	21/06/2026	4,90%	42.333
Prestito HINT - 06/2020	50.000	05/06/2020	05/06/2030	5,56%	45.018
HDI Global SE - 05/2020	20.000	08/05/2020	08/05/2030	5,76%	17.956
HDI Pensionskasse AG - 05/2020	9.500	08/05/2020	08/05/2030	5,76%	8.529
Gerling Versorgungskasse - 05/2020	1.000	08/05/2020	08/05/2030	5,76%	898
neue leben Pensionskasse - 05/2020	9.500	08/05/2020	08/05/2030	5,76%	8.529
Total Subordinated Liabilities	**182.700**				**167.419**

E.1.3 Own Funds covering the SCR and the MCR

Details of the Own Funds covering the SCR and MCR as at 31 December 2025, broken down by Tier level, are shown below.

AVAILABLE AND ELIGIBLE OWN FUNDS

(amounts in EUR thousand)

	2025	2024	Variation	Tier 1 unrestrect	Tier 1 restrected	Tier 2	Tier 3
Total available own funds to meet the Solvency Capital Requirement (SCR)	907.564	934.696	-27.131	740.145	-	167.419	-
Total available own funds to meet the minimum capital requirement (MCR)	907.564	911.857	-4.293	740.145	-	167.419	
Total eligible own funds to meet the Solvency Capital Requirement (SCR)	907.564	934.696	-27.131	740.145	-	167.419	-
Total eligible own funds to meet the minimum capital requirement (MCR)	778.853	755.874	22.979	740.145	-	38.708	
SCR	430.089	452.721	-22.632				
MCR	193.540	203.724	-10.185				
Ratio of eligible own funds to SCR	211,0%	206,5%	4,6%				
Ratio of eligible own funds to MCR	402,4%	371,0%	31,4%				

The Company's available Own Funds comply with the eligibility conditions for the coverage of the SCR and MCR defined by the regulations.

The amount of Own Funds eligible to cover the SCR is equal to 907,564 thousand Euros, while the amount of the same to cover the MCR is equal to 778,853 thousand Euros.

The solvency ratio on the Solvency Capital Requirement (SCR) in 2025 is 211%, up by around 5 percentage points compared to the previous year.

E.1.4 Reconciliation between Shareholders' Equity and Excess of Assets over Liabilities

The Market Consistent Balance Sheet as at 31 December 2025 shows a surplus of assets over liabilities of 837,845 thousand Euros (828,070 thousand Euros as at 31 December 2024), 249,311 thousand Euros higher (190,103 thousand Euros as at 31 December 2024) than the shareholders' equity shown in the Company's financial statements as at the same date. This difference is due to the different valuation of the balance sheet components, as can be seen from the following reconciliation table:

SHAREHOLDERS' EQUITY RECONCILIATION - FROM LOCAL FINANCIAL STATEMENTS TO MCBS (amounts in EUR thousand)

	2025	2024	Variazione
A) Shareholders' equity from the financial statements	**588.534**	**637.967**	**-49.433**
Adjustments by type of asset or liability:			
Goodwill and Intangible assets	-30.367	-34.737	4.370
Property	10.997	10.098	899
Investments	-132.754	-189.441	56.687
Adjustment participations	-454	886	-1.340
Technical provisions attributable to non-life reinsurers	-34.267	-36.238	1.971
Technical provisions attributable to life reinsurers	-6.355	-7.635	1.280
Non-life technical provisions	169.590	163.279	6.311
Life technical provisions	261.142	273.963	-12.821
Subordinated liabilities	14.136	12.522	1.614
Employee benefits	77	57	20
IFRS 16 - Leasing	-2.434	-2.651	217
B) Total Solvency II Adjustments	**249.311**	**190.103**	**59.208**
C) Excess Assets over Liabilities Solvency II (A+B)	**837.845**	**828.070**	**9.775**
D) Deliberate or foreseeable dividends	-97.700	-90.100	-7.600
E) Eligible Own Funds Solvency II (C+D)	**740.145**	**737.970**	**2.175**

For further details on the valuation criteria adopted for the purposes of preparing the MCBS, as well as quantitative information on the comparison with the balance sheet values, please refer to section D. Valuations for the Company's Solvency purposes.

E.2 Solvency Capital Requirement and Minimum Capital Requirement

E.2.1 Solvency Capital Requirement

As part of the integrated risk management activities, the calculation of the Solvency Capital Requirement was performed on the data as at 31 December 2025. This calculation was carried out using the Standard Formula with the use of the Undertaking Specific Parameters (USP), as already reported in chapter C. Risk Profile.

As provided for by art. 45-duodecies of the CAP, a simplified calculation for the catastrophe risk sub-module for life insurance was used and is obtained as the product of risk exposure and a risk factor.

In the calculation of the Solvency Capital Requirement, the entity has not used risk mitigation techniques that result in a significant increase in base risk or the creation of other risks in the calculation of the SCR, and has applied the Volatility Adjustment, referred to in Article 36f, assessing compliance with the capital requirements, both taking into account and not taking into account the above adjustments. The impact on the use of the Volatility Adjustment on the YE 2025 data is 14 bps.

It also considered that, for some life insurance contracts, part of the investment risk is borne by the policyholders, with consequent effects on the calculation of the overall capital requirement.

The following table shows the details of the capital requirement for HDI Assicurazioni S.p.A. for each risk module, net of the absorption capacity of the Technical Provisions, with evidence of the diversification effects and adjustments considered, as well as a comparison with the previous year.

SOLVENCY CAPITAL REQUIREMENT (amounts in EUR thousand)

	2025	2024	Variation %
Market risk	181.322	172.907	4,87%
Counterparty default risk	83.119	69.584	19,45%
Life underwriting risk	88.698	85.234	4,06%
Health underwriting risk	32.133	30.368	5,81%
Non-life underwriting risk	287.140	288.089	-0,33%
Diversification	-218.571	-207.776	5,20%
BSCR	**453.842**	**438.406**	**3,52%**
Operational risk	55.969	62.487	-10,43%
Loss-absorbing capacity of deferred taxes	-79.722	-48.172	65,49%
SCR	**430.089**	**452.721**	**-5,00%**

The value of the SCR for the year 2025 amounted to 430,089 thousand Euros, down by approximately 5% compared to the previous year.

As can be seen from the table, the main changes compared to the previous assessment concern the risk of default of the counterparty and, to a lesser extent, market risks and technical life and health risks. as already highlighted in the previous paragraphs.

The Company, through a specific methodological process, annually establishes its Risk Appetite, thus identifying the main levels of risk tolerance. In order to determine the actions to be taken in the event of approaching or exceeding thresholds and limits that may compromise the Company's financial position, HDI Assicurazioni has drawn up the document called "Emergency Plan".

This document regulates the management of emergency situations and the strategies aimed at restoring solvency and/or liquidity conditions, identifies the operating methods, roles and responsibilities of the main corporate bodies and corporate functions involved both in the escalation processes that are activated in the event of entry into a state of emergency, in the presence of which actions are taken to restore the conditions of sufficient solvency and liquidity. These measures may concern, by way of example, interventions on the Company's capitalization or restructuring of strategic asset allocation.

E.2.1.1 Additional information on DT LACs

Information on the adjustment for the absorption capacity of deferred tax assets is provided below.

E.2.1.1.1 nDTA Calculation Methodology

For the determination of nDTAs, in accordance with art. 207 of EU Delegated Regulation 2015/35, the Company used an analytical approach based on the determination of the impacts of the instantaneous loss (Single Equivalent Scenario – SES) for each item of the Solvency Balance (also known as MVBS) and then applying the relevant tax treatment, in order to be able to accurately determine the taxable nDTA emerging from the stress situation and the related tax.

The assignment of the SES for each risk module and sub-module provided for by the Standard Formula took place through the application of Euler's principle.

In general:

1. the tax impact is determined for IRES tax only, while notional deferred taxes arising from IRAP have not been considered, as these tax losses cannot be carried forward.
2. DT LACs are only recognisable if it is probable that there will be a future taxable profit against which deferred tax assets can be used, taking into account legal or regulatory obligations on the terms for carrying forward tax losses.
3. The Company has decided to adopt a methodology based on a precise definition of the rates applicable to individual income cases (punctual rate), using the tax rates that are expected to be applicable in the year in which the tax activity will be carried out or the tax liability will be extinguished, taking into account that the rules governing the determination of taxable income for IRES purposes differ from those for IRAP purposes, and the temporary differences on which deferred taxation for the purposes of these taxes are calculated are different.

4. On the basis of IAS 12, where permitted, deferred tax assets and liabilities recorded in the MVBS were offset, taking care to offset DTLs for IRES purposes separately from those for IRAP purposes, as they are taxes that cannot be offset against each other.

E.2.1.1.1.1 Amount of deferred tax liabilities in the Solvency Balance Sheet (DTA) eligible for offsets arising from deferred tax liabilities and probable taxes arising from future taxable income measured before stress

According to art. 15 of Reg. Del. 2015/35, deferred tax assets (DTAs) other than those deriving from tax losses and unused tax credits and deferred tax liabilities (DTLs) are calculated on the basis of the differences between the values of assets and liabilities measured in accordance with Solvency II principles and the corresponding tax values.

The rate applied to value adjustments is 24% for IRES and 8.82% for IRAP. It should also be noted that on positive value adjustments relating to equity investments, in application of tax legislation, the aforementioned rate was applied to 5% of the revaluation, while on negative value adjustments no deferred taxes were calculated, given that the legislation provides for the non-relevance for tax purposes of the aforementioned capital losses.

Deferred tax assets and liabilities calculated on Solvency II adjustments (differences between the values of the statutory financial statements and the values of the solvency balance sheet) amount to a total of 122,238 thousand Euros, of which 89,388 thousand Euros for IRES purposes and 32,850 thousand Euros for IRAP purposes and are represented in this case by net deferred tax liabilities.

On the basis of IAS 12, the conditions have been found to offset deferred tax liabilities deriving from the application of Solvency II principles with deferred tax assets for statutory tax assets and losses carried forward and, for IRES purposes, from probable taxes deriving from future taxable income.

The offsetting of DTLs for IRES purposes, recorded as a decrease in the corresponding statutory DTAs and on losses carried forward (respectively 36,016 thousand Euros and 63,288 thousand Euros), leads to a net DTA balance for IRES purposes in the solvency balance of 9,916 thousand Euros, while the offsetting of DTLs for IRAP purposes, recorded net of the corresponding statutory DTAs (550 thousand Euros) leads to a net DTL balance for IRAP purposes in the solvency balance sheet amounting to 32,300 thousand Euros.

E.2.1.1.1.2 Eligibility of nDTAs for offsets

For the purposes of assessing the eligibility of nDTAs for offsetting, the Company has assessed the recoverability arising from deferred tax liabilities ("DTLs") in the Solvency Balance Sheet net of existing deferred tax assets ("DTAs") and from probable taxes arising from future taxable income determined over a defined time horizon.

With regard to the eligibility assessments of nDTAs deriving from future taxable income, pursuant to art. 13 paragraph 4 of IVASS Regulation no. 2017/35, the Company used a projection of such income in an instantaneous loss scenario, with a weighted reduction according to the measures envisaged.

With regard to the determination of the projection of future income in the loss scenario, the following main assumptions have been adopted:

- evolution of the company's activity after the occurrence of the instantaneous loss scenario and comparison with pre-stress assumptions: the expected evolution of the company's activity following the loss scenario is defined on the going concern assumption, applying the estimate of the impacts of the loss scenario to the company's basic plan. Consequently, the planning data, which show future profits over a 5-year time horizon, have been extended up to 7 years, considering for the sixth and seventh years only the profits from the business in force and not those deriving from the sale of new activities. Subsequently, the prospective evolution of market conditions, both relating to the financial component and the technical insurance component, was hypothesized in the event of stress.
- No management actions were considered after the occurrence of the instantaneous loss scenario.
- Definition of market recovery scenarios in the event that the instantaneous loss scenario has occurred: the recoverability assessments of losses on financial risks have been carried out in line with the Company's portfolio structure, the recoverability of any capital losses on assets, to be attributed to the Business in Force with reference to the future profit plan, it is determined by considering as the maximum recoverable amount, for each component of financial stress, the loss generated by the application of the SCR Market module defined during the determination of the Single Equivalent Scenario.

- In particular, assumptions are made of recoverability within the plan horizon from Recoverability of the maximum recoverable loss attributed to:
  - Equity Risk
  - Property Risk
  - Spread Risk

  As a matter of prudence, no recoverability hypotheses have been considered on equity investments that are subject to the "participation exemption" regime.
- Estimates relating to the new business assuming that the instantaneous loss scenario has occurred:
  - P&C technical risks: the Company, as part of the definition of the post-stress future earnings plan, applies shock assumptions to the volumes and Loss Ratio of the New Business of the P&C segment.
  - Life technical risks: the Company, as part of the definition of the post-stress future earnings plan, applies shock assumptions on the main risk drivers of the Life income statement, i.e. volumes, financial assumptions and technical assumptions.

As regards the provisions of art. 16 of IVASS Regulation no. 35/2017, compliance with the so-called "double counting" prohibition was verified, therefore the Company, in compliance with the principles set out in Article 15 of the Delegated Regulation, verified that the elements taken as a reference for offsets for the purposes of the eligibility of notional deferred tax assets exclude the amounts already underlying the determination of deferred tax assets recognised in the solvency balance sheet, By doing the following:

- considered eligible in the assessment of the recoverability of nDTAs, in addition to income from future profits in the event of stress, only the IRES deferred tax liabilities of the solvency balance sheet that can be used for offsetting, excluding the deferred tax assets already recognised in the financial statements;
- considered the eligibility of nDTAs arising from future earnings under stressed conditions net of what is necessary to recognise the deferred tax asset position on the Solvency Balance Sheet.

That said, future taxable amounts that are used to demonstrate the recognition of deferred tax assets in the Solvency II balance sheet (pre-stress) have not been taken into account for the purposes of demonstrating the existence of future taxable income in the post-stress situation. In determining future taxable income after stress, those income (expenses) that led to the recognition of deferred taxation in the "MVBS" were eliminated. In order to avoid violating this provision, the economic result of each year of the Plan has therefore been adjusted to exclude such income (expenses).

E.2.1.1.1.3 Amount of the LAC DT eligible for offsets deriving from probable taxes from future taxable income assessed after stress, identified pursuant to Article 13, paragraph 4

For the purposes of determining the LAC DT eligible for offsets deriving from probable taxes on future income assessed post-stress, the amount of the nDTAs net of the net DTLs recognised in the solvency balance sheet is determined. The planning data showing the future earnings scenario have been weighted by applying the following parameters of reduction of future taxable income of 20% for the fourth year of projection, 40% for the fifth year, 60% for the sixth year and 80% for the seventh and final year. To this end, a future earnings plan has been constructed that eliminates the possible double-counting effect deriving from the overlapping of plan profits and profits already considered in the DTLs present in the solvency balance sheet (DTL adjustments illustrated above).

DETERMINATION OF LAC DT (amounts in EUR thousand)

	2025
nDTA	118.144
Eligible net DTL recognised in the solvency balance sheet	89.388
Eligible taxes arising from future profits	84.180
Eligible taxes arising from carry-back to the previous financial year and the current financial year	-93.846
Non-recoverable nDTA	38.422
LAC DT	79.722

E.2.2 Minimum capital requirement

The following table shows the value of the Minimum Capital Requirement as at 31 December 2025, as well as a comparison with the previous year.

MINIMUM CAPITAL REQUIREMENT (amounts in EUR thousand)

	2025	2024	Variation %
Total eligible own funds to meet the Minimum Capital Requirement (MCR)	778.853	755.874	3,04%
MCR	193.540	203.724	-5,00%
Ratio between eligible own funds and MCR	402,4%	371,0%	8,46%

The Company's MCR Ratio shows an improvement compared to the previous year.

As can be seen from QRT S.28.02.01 reported in Annex 1 of this document, the Minimum Capital Requirement is calculated on the basis of the combined MCR, represented by the value of the maximum MCR, whose value is higher than the Absolute Minimum of the MCR.

E.3 Use of the Duration-Based Equity Risk Sub-Module in the Calculation of the Solvency Capital Requirement

For the purpose of calculating the Solvency Capital Requirement, HDI Assicurazioni does not use the maturity-based equity risk sub-module.

E.4 Differences between the Standard Formula and the Internal Model

The Company does not use approved internal models for the calculation of the Solvency Capital Requirement.

E.5 Non-compliance with the minimum capital requirement and non-compliance with the Solvency Capital Requirement

During the 2025 financial year, no non-compliance by the Company with regard to both the minimum capital requirement and the solvency capital requirement should be highlighted.

E.6 Other information

With reference to the 2025 financial year, there is no further material information regarding the management of the Company's capital.

ANNEX 1 - QRT

This annex reports, in line with the requirements of the Implementing Regulation (EU) 2015/2452 of the European Commission of 2 December 2015, the models relating to the solvency and financial condition of HDI Assicurazioni S.p.A.

The figures are given in thousands of units.

The reporting currency is the euro.

The following templates are:

- S.02.01.02 - Balance Sheet;
- S.05.01.02 - Premiums, claims and expenses by area of activity;
- S.12.01.02 - Technical Provisions for life insurance and health insurance SLT;
- S.17.01.02 - Technical Provisions for non-life insurance;
- S.19.01.21 - Non-life insurance claims;
- S.22.01.21 - Impact of long-term guarantee measures and transitional measures;
- S.23.01.01 - Own Funds;
- S.25.01.21 - Solvency capital requirement for companies using the Standard Formula;
- S.28.02.01 - Minimum capital requirement - Both life insurance and non-life insurance activities.

S.02.01.02 – Balance sheet

Assets		Solvency II value
		C0010
Intangible assets	R0030	0
Deferred tax assets	R0040	9.916
Pension benefit surplus	R0050	0
Property, plant & equipment held for own use	R0060	41.752
Investments (other than assets held for index-linked and unit-	**R0070**	**5.328.579**
Property (other than for own use)	R0080	45.338
Holdings in related undertakings, including participations	R0090	136.242
Equities	*R0100*	*5.970*
Equities - listed	R0110	3.961
Equities - unlisted	R0120	2.009
Bonds	*R0130*	*4.882.163*
Government Bonds	R0140	3.222.852
Corporate Bonds	R0150	1.602.885
Structured notes	R0160	54.510
Collateralised securities	R0170	1.916
Collective Investments Undertakings	R0180	258.865
Derivatives	R0190	0
Deposits other than cash equivalents	R0200	0
Other investments	R0210	0
Assets held for index-linked and unit-linked contracts	R0220	729.869
Loans and mortgages	**R0230**	**11.809**
Loans on policies	R0240	443
Loans and mortgages to individuals	R0250	0
Other loans and mortgages	R0260	11.366
Reinsurance recoverables from:	**R0270**	**151.416**
Non-life and health similar to non-life	R0280	157.503
Non-life excluding health	R0290	155.450
Health similar to non-life	R0300	2.053
Life and health similar to life, excluding health and index-linked and unit-linked	R0310	-6.142
Health similar to life	R0320	191
Life excluding health and index-linked and unit-linked	R0330	-6.332
Life index-linked and unit-linked	R0340	55
Deposits to cedants	R0350	0
Insurance and intermediaries receivables	R0360	136.130
Reinsurance receivables	R0370	26.186
Receivables (trade, not insurance)	R0380	127.962
Own shares (held directly)	R0390	0
Amounts due in respect of own fund items or initial fund called up but not yet paid in	R0400	0
Cash and cash equivalents	R0410	206.983
Any other assets, not elsewhere shown	R0420	10.294
Total assets	**R0500**	**6.780.895**

S.02.01.02 – Balance sheet

Liabilities		Solvency II value
		C0010
Technical provisions - non-life	**R0510**	**1.349.016**
Technical provisions - non-life (excluding health)	**R0520**	**1.292.919**
Technical provisions calculated as a whole	R0530	0
Best Estimate	R0540	1.249.941
Risk margin	R0550	42.978
Technical provisions - health (similar to non-life)	**R0560**	**56.097**
Technical provisions calculated as a whole	R0570	0
Best Estimate	R0580	54.418
Risk margin	R0590	1.679
Technical provisions - life (excluding index-linked and unit-linked)	**R0600**	**3.463.224**
Technical provisions - health (similar to life)	**R0610**	**231**
Technical provisions calculated as a whole	R0620	0
Best Estimate	R0630	228
Risk margin	R0640	3
Technical provisions - life (excluding health and index-linked and unit-linked)	**R0650**	**3.462.993**
Technical provisions calculated as a whole	R0660	0
Best Estimate	R0670	3.423.265
Risk margin	R0680	39.728
Technical provisions - index-linked and unit-linked	**R0690**	**691.740**
Technical provisions calculated as a whole	R0700	0
Best Estimate	R0710	685.318
Risk margin	R0720	6.423
Other technical provisions	R0730	0
Contingent liabilities	R0740	0
Provisions other than technical provisions	R0750	9.389
Pension benefit obligations	R0760	7.498
Deposits from reinsurers	R0770	33.099
Deferred tax liabilities	R0780	32.300
Derivatives	R0790	0
Debts owed to credit institutions	R0800	0
Financial liabilities other than debts owed to credit institutions	R0810	43.513
Insurance & intermediaries payables	R0820	43.647
Reinsurance payables	R0830	19.650
Payables (trade, not insurance)	R0840	49.081
Subordinated liabilities	**R0850**	**167.419**
Subordinated liabilities not in Basic Own Funds	R0860	0
Subordinated liabilities in Basic Own Funds	R0870	167.419
Any other liabilities, not elsewhere shown	R0880	33.473
Total liabilities	**R0900**	**5.943.050**

Excess of assets over liabilities	**R1000**	**837.845**

S.05.01.02 - Premiums, claims and expenses by line of business

		Line of Business for: non-life insurance and reinsurance obligations (direct business and accepted proportional reinsurance)												Line of Business for: accepted non-proportional				
		Medical expense insurance	Income protection insurance	Workers' compensation insurance	Motor vehicle liability insurance	Other motor insurance	Marine, aviation and transport insurance	Fire and other damage to property insurance	General liability insurance	Credit and suretyship insurance	Legal expenses insurance	Assistance	Miscellaneous financial loss	Health	Casualty	Marine, aviation, transport	Property	Total
		C0010	C0020	C0030	C0040	C0050	C0060	C0070	C0080	C0090	C0100	C0110	C0120	C0130	C0140	C0150	C0160	C0200
Premiums written																		
Premiums written	R0110	5.802	52.615	0	403.854	116.800	1.872	94.212	50.932	42.792	7.833	20.400	1.977					799.088
Gross - Direct Business	R0120	0	0	0	0	0	0	0	162	0	0	0	0					162
Gross - Proportional reinsurance accepted	R0130													0	0	0	0	0
Gross - Non-proportional reinsurance accepted	R0140	175	1.588	0	671	10.720	53	13.407	2.402	15.696	5.401	7.993	79	0	0	0	0	58.185
Reinsurers' share	R0200	5.627	51.027	0	403.183	106.080	1.819	80.805	48.692	27.096	2.432	12.408	1.897					741.066
Premiums earned																		
Premiums earned	R0210	5.772	54.871	0	399.012	102.272	2.605	83.740	50.876	38.981	7.638	19.826	3.075					768.669
Gross - Direct Business	R0220	0	0	0	0	0	0	0	162	0	0	0	0					162
Gross - Proportional reinsurance accepted	R0230													0	0	0	0	0
Gross - Non-proportional reinsurance accepted	R0240	259	2.349	0	671	10.720	53	11.589	2.374	16.052	5.689	7.924	574	0	0	0	0	58.255
Reinsurers' share	R0300	5.513	52.522	0	398.341	91.552	2.552	72.150	48.665	22.928	1.950	11.902	2.501					710.575
Claims incurred																		
Claims incurred	R0310	1.837	20.594	0	252.388	54.171	707	41.609	17.643	6.087	1.385	4.766	4.151					405.338
Gross - Direct Business	R0320	0	0	0	0	0	0	0	-32	0	0	0	0					-32
Gross - Proportional reinsurance accepted	R0330													0	0	0	0	0
Gross - Non-proportional reinsurance accepted	R0340	50	563	0	-64	-421	14	1.547	-437	2.739	711	2.904	-168	0	0	0	0	7.437
Reinsurers' share	R0400	1.787	20.031	0	252.452	54.592	693	40.062	18.048	3.348	674	1.863	4.319					397.868
Net	R0550	2.524	23.188	0	122.784	39.550	739	38.719	26.162	11.098	-1.293	5.114	1.417					270.002
Expenses incurred	R1210																	-338
Balance - other technical expenses/income	R1300																	269.664

S.05.01.02 - Premiums, claims and expenses by line of business

		Line of Business for: life insurance obligations						Life reinsurance obligations		
		Health insurance	Insurance with profit participation	Index-linked and unit-linked insurance	Other life insurance	Annuities stemming from non-life insurance contracts and relating to health insurance obligations	Annuities stemming from non-life insurance contracts and relating to insurance obligations other than health insurance obligations	Health reinsurance	Life reinsurance	Total
		C0210	C0220	C0230	C0240	C0250	C0260	C0270	C0280	C0300
Premiums written										
Gross	R1410	3	794.914	71.136	12.257	0	0	0	0	878.310
Reinsurers' share	R1420	3	3	0	6.241	0	0	0	0	6.248
Net	R1500	0	794.910	71.136	6.016					872.062
Premiums earned										
Gross	R1510	3	794.914	71.136	12.257	0	0	0	0	878.310
Reinsurers' share	R1520	3	3	0	6.241	0	0	0	0	6.248
Net	R1600	0	794.910	71.136	6.016					872.062
Claims incurred										
Gross	R1610	0	1.073.506	60.937	11.960	0	0	0	0	1.146.403
Reinsurers' share	R1620	0	75	0	1.731	0	0	0	0	1.806
Net	R1700		1.073.431	60.937	10.230	0				1.144.598
Expenses incurred	R1900	0	22.355	2.113	313					24.780
Balance - other technical expenses/income	R2510									13.711
Total technical expenses	R2600									38.491
Total amount of surrenders	R2700	0	961.328	52.474	1	0	0	0	0	1.013.803

S.12.01.02 - Life and Health SLT Technical Provisions

			Index-linked and unit-linked insurance			Other life insurance						Health insurance (direct business)					
		Insurance with profit participation		Contracts without options and guarantees	Contracts with options or guarantees		Contracts without options and guarantees	Contracts with options or guarantees	Annuities stemming from non-life insurance contracts and relating to insurance obligation other than health insurance obligations	Accepted reinsurance	**Total (Life other than health insurance, including Unit-Linked)**		Contracts without options and guarantees	Contracts with options or guarantees	Annuities stemming from non-life insurance contracts and relating to health insurance obligations	Health reinsurance (reinsurance accepted)	**Total (Health similar to life insurance)**
		C0020	C0030	C0040	C0050	C0060	C0070	C0080	C0090	C0100	C0150	C0160	C0170	C0180	C0190	C0200	C0210
Technical provisions calculated as a whole	**R0010**	0	0			0			0	0	0	0			0	0	0
Total Recoverables from reinsurance/SPV and Finite Re after the adjustment for expected losses due to counterparty default associated to TP calculated as a whole	R0020	0	0			0			0	0	0	0			0	0	0
Technical provisions calculated as a sum of BE and RM																	
Best Estimate																	
Gross Best Estimate	**R0030**	3.373.514		685.318	0		49.751	0	0	0	4.108.582		228	0	0	0	228
Total Recoverables from reinsurance/SPV and Finite Re after the adjustment for expected losses due to counterparty default	R0080	204		55	0		-6.536	0	0	0	-6.278		191	0	0	0	191
Best estimate minus recoverables from reinsurance/SPV and Finite Re - total	R0090	3.373.310		685.263	0		56.287	0	0	0	4.114.860		38	0	0	0	38
Risk Margin	**R0100**	34.778	6.423			4.949			0	0	46.151	3			0	0	3
Technical provisions - total	**R0200**	3.408.293	691.740			54.700			0	0	4.154.733	231			0	0	231

S.17.01.02 - Non - life Technical Provisions

		Direct business and accepted proportional reinsurance												Accepted non-proportional reinsurance:				
		Medical expense insurance	Income protection insurance	Workers' compensation insurance	Motor vehicle liability insurance	Other motor insurance	Marine, aviation and transport insurance	Fire and other damage to property insurance	General liability insurance	Credit and suretyship insurance	Legal expenses insurance	Assistance	Miscellaneous financial loss	Non-proportional health reinsurance	Non-proportional casualty reinsurance	Non-proportional marine, aviation and transport reinsurance	Non-proportional property reinsurance	Total Non-Life obligations
		C0020	C0030	C0040	C0050	C0060	C0070	C0080	C0090	C0100	C0110	C0120	C0130	C0140	C0150	C0160	C0170	C0180
Technical provisions calculated as a whole	R0010	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Recoverables from reinsurance/SPV and Finite Re after the adjustment for expected losses due to counterparty default associated to TP calculated as a whole	R0050	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Technical Provisions calculated as a sum of BE and RM																		
Best estimate																		
Premium provisions																		
Gross	R0060	1.044	19.977	0	125.586	59.389	606	51.853	10.588	24.115	431	2.178	2.709	0	0	0	0	298.477
Total recoverable from reinsurance/SPV and Finite Re after the adjustment for expected losses due to counterparty default	R0140	-243	1.097	0	-34	-498	-1	-670	-280	5.264	206	855	700	0	0	0	0	6.396
Net Best Estimate of Premium Provisions	R0150	1.287	18.880	0	125.620	59.887	607	52.523	10.868	18.851	226	1.323	2.009	0	0	0	0	292.080
Claims provisions																		
Gross	R0160	1.876	31.520	0	625.642	27.086	5.099	57.448	202.096	41.121	9.266	1.808	2.919	0	0	0	0	1.005.882
Total recoverable from reinsurance/SPV and Finite Re after the adjustment for expected losses due to counterparty default	R0240	39	1.160	0	66.330	143	418	10.565	52.944	15.489	3.171	781	67	0	0	0	0	151.107
Net Best Estimate of Claims Provisions	R0250	1.837	30.361	0	559.312	26.943	4.681	46.883	149.153	25.632	6.095	1.027	2.852	0	0	0	0	854.776
Total Best estimate - gross	**R0260**	2.921	51.497	0	751.228	86.475	5.704	109.301	212.685	65.236	9.697	3.985	5.628	0	0	0	0	1.304.359
Total Best estimate - net	**R0270**	3.124	49.241	0	684.932	86.830	5.288	99.406	160.021	44.483	6.321	2.350	4.861	0	0	0	0	1.146.856
Risk margin	**R0280**	96	1.583	0	29.220	1.404	245	2.446	7.804	1.338	320	53	149	0	0	0	0	44.657
Technical provisions - total																		
Technical provisions - total	R0320	3.016	53.080	0	780.448	87.879	5.949	111.747	220.488	66.574	10.017	4.039	5.777	0	0	0	0	1.349.016
Recoverable from reinsurance contract/SPV and Finite Re after the adjustment for expected losses due to counterparty default - total	R0330	-204	2.256	0	66.297	-355	417	9.895	52.664	20.753	3.377	1.635	768	0	0	0	0	157.503
Technical provisions minus recoverables from reinsurance/SPV and Finite Re- total	R0340	3.220	50.824	0	714.151	88.234	5.532	101.852	167.824	45.821	6.641	2.403	5.010	0	0	0	0	1.191.513

S.19.01.21 –Non-life Insurance Claims Information

Gross Claims Paid (non-cumulative)

		Development year												In Current year	Sum of years (cumulative)
		0	1	2	3	4	5	6	7	8	9	10 & +			
		C0010	C0020	C0030	C0040	C0050	C0060	C0070	C0080	C0090	C0100	C0110		C0170	C0180
Prior	R0100											11.317	R0100	11.317	2.407.745
2016	R0160	144.487	139.246	42.909	25.351	9.300	5.341	4.553	3.619	2.528	4.031		R0160	4.031	381.366
2017	R0170	189.556	160.587	55.375	17.552	14.516	8.950	7.168	5.420	5.214			R0170	5.214	464.338
2018	R0180	170.059	136.206	31.918	20.434	12.616	6.373	4.502	5.751				R0180	5.751	387.859
2019	R0190	164.915	110.178	33.547	12.580	8.463	3.898	3.143					R0190	3.143	336.724
2020	R0200	133.964	92.748	29.873	6.811	5.779	3.881						R0200	3.881	273.057
2021	R0210	152.902	121.693	37.356	16.940	10.910							R0210	10.910	339.801
2022	R0220	167.586	137.485	35.153	13.978								R0220	13.978	354.202
2023	R0230	170.902	155.899	32.525									R0230	32.525	359.326
2024	R0240	173.046	124.629										R0240	124.629	297.675
2025	R0250	159.320											R0250	159.320	159.320
												Total	R0260	374.701	5.761.412

Gross undiscounted Best Estimate Claims Provisions

		Development year												Year end (discounted
		0	1	2	3	4	5	6	7	8	9	10 & +		
		C0200	C0210	C0220	C0230	C0240	C0250	C0260	C0270	C0280	C0290	C0300		C0360
Prior	R0100											141.543	R0100	127.022
2016	R0160	282.566	173.952	122.369	91.141	72.651	61.642	55.859	54.895	36.085	25.916		R0160	22.730
2017	R0170	321.680	181.534	125.365	98.800	80.408	71.347	64.329	47.333	37.493			R0170	32.877
2018	R0180	308.756	163.290	114.552	89.223	74.940	69.328	52.105	40.713				R0180	35.807
2019	R0190	264.470	140.225	100.813	86.346	65.819	55.661	47.792					R0190	42.139
2020	R0200	235.571	129.178	92.541	70.259	55.262	43.551						R0200	38.727
2021	R0210	241.587	156.749	118.807	90.014	73.233							R0210	65.325
2022	R0220	247.072	147.175	104.612	85.014								R0220	76.497
2023	R0230	298.276	165.610	114.700									R0230	104.119
2024	R0240	273.064	166.733										R0240	152.432
2025	R0250	275.983											R0250	258.793
												Total	R0260	956.468

S.22.01.21 –Impact of long term guarantees measures and transitionals

		Amount with Long Term Guarantee measures and transitionals	Impact of transitional on technical provisions	Impact of transitional on interest rate	Impact of volatility adjustment set to zero	Impact of matching adjustment set to zero
		C0010	C0030	C0050	C0070	C0090
Technical provisions	R0010	5.503.980	0	0	17.992	0
Basic own funds	R0020	907.564	0	0	-11.612	0
Eligible own funds to meet Solvency Capital Requirement	R0050	907.564	0	0	-11.612	0
Solvency Capital Requirement	R0090	430.089	0	0	6.617	0
Eligible own funds to meet Minimum Capital Requirement	R0100	778.853	0	0	-11.016	0
Minimum Capital Requirement	R0110	193.540	0	0	2.978	0

S.23.01.01 – Own Funds

		Total	Tier 1 - unrestricted	Tier 1 - restricted	Tier 2	Tier 3
		C0010	C0020	C0030	C0040	C0050
Basic own funds before deduction for participations in other financial sector as foreseen in article 68 of Delegated Regulation 2015/35						
Ordinary share capital (gross of own shares)	R0010	351.000	351.000		0	
Share premium account related to ordinary share capital	R0030	0	0		0	
Initial funds, members' contributions or the equivalent basic own - fund item for mutual and mutual-type undertakings	R0040	0	0		0	
Subordinated mutual member accounts	R0050	0		0	0	0
Surplus funds	R0070	0	0			
Preference shares	R0090	0		0	0	0
Share premium account related to preference shares	R0110	0		0	0	0
Reconciliation reserve	R0130	389.145	389.145			
Subordinated liabilities	R0140	167.419		0	167.419	0
An amount equal to the value of net deferred tax assets	R0160	0				0
Other own fund items approved by the supervisory authority as basic own funds not specified above	R0180	0	0	0	0	0
Own funds from the financial statements that should not be represented by the reconciliation reserve and do not meet the criteria to be classified as Solvency II own funds						
Own funds from the financial statements that should not be represented by the reconciliation reserve and do not meet the criteria to be classified as Solvency II own funds	R0220	0				
0						
Deductions for participations in financial and credit institutions	R0230	0	0	0	0	0
Total basic own funds after deductions	**R0290**	**907.564**	**740.145**	**0**	**167.419**	**0**
Ancillary own funds						
Unpaid and uncalled ordinary share capital callable on demand	R0300	0			0	
Unpaid and uncalled initial funds, members' contributions or the equivalent basic own fund item for mutual and mutual - type undertakings, callable on demand	R0310	0			0	
Unpaid and uncalled preference shares callable on demand	R0320	0			0	0
A legally binding commitment to subscribe and pay for subordinated liabilities on demand	R0330	0			0	0
Letters of credit and guarantees under Article 96(2) of the Directive 2009/138/EC	R0340	0			0	
Letters of credit and guarantees other than under Article 96(2) of the Directive 2009/138/EC	R0350	0			0	0
Supplementary members calls under first subparagraph of Article 96(3) of the Directive 2009/138/EC	R0360	0			0	
Supplementary members calls - other than under first subparagraph of Article 96(3) of the Directive 2009/138/EC	R0370	0			0	0
Other ancillary own funds	R0390	0			0	0
Total ancillary own funds	**R0400**	**0**			**0**	**0**
Available and eligible own funds						
Total available own funds to meet the SCR	**R0500**	**907.564**	**740.145**	**0**	**167.419**	**0**
Total available own funds to meet the MCR	**R0510**	**907.564**	**740.145**	**0**	**167.419**	
Total eligible own funds to meet the SCR	**R0540**	**907.564**	**740.145**	**0**	**167.419**	**0**
Total eligible own funds to meet the MCR	**R0550**	**778.853**	**740.145**	**0**	**38.708**	
SCR	**R0580**	**430.089**				
MCR	**R0600**	**193.540**				
Ratio of Eligible own funds to SCR	**R0620**	**211,02%**				
Ratio of Eligible own funds to MCR	**R0640**	**402,43%**				

		C0060	
Reconciliation reserve			
Excess of assets over liabilities	R0700	837.845	
Own shares (held directly and indirectly)	R0710	0	
Foreseeable dividends, distributions and charges	R0720	97.700	
Other basic own fund items	R0730	351.000	
Adjustment for restricted own fund items in respect of matching adjustment portfolios and ring-fenced funds	R0740	0	
Reconciliation reserve	**R0760**	**389.145**	
Expected profits			
Expected profits included in future premiums (EPIFP) - Life Business	R0770	41.951	
Expected profits included in future premiums (EPIFP) - Non-life business	R0780	9.115	
Total Expected profits included in future premiums (EPIFP)	**R0790**	**51.067**	

S.25.01.21 – Solvency Capital Requirement - for undertakings on Standard Formula

		Gross solvency capital requirement	USP	Simplifications
		C0110	C0090	C0120
Market risk	R0010	253.657		
Counterparty default risk	R0020	83.119		
Life underwriting risk	R0030	144.417		
Health underwriting risk	R0040	32.133		
Non-life underwriting risk	R0050	287.140	- Standard deviation for non-life premium risk,- Standard deviation for non-life reserve risk	
Diversification	R0060	-272.769		
Intangible asset risk	R0070	0		
Basic Solvency Capital Requirement	**R0100**	**527.697**		

Calculation of Solvency Capital Requirement

		C0100
Operational risk	R0130	55.969
Loss-absorbing capacity of technical provisions	R0140	-73.855
Loss-absorbing capacity of deferred taxes	R0150	-79.722
Capital requirement for business operated in accordance with Art. 4 of Directive 2003/41/EC	R0160	0
Solvency Capital Requirement excluding capital add-on	**R0200**	**430.089**
Capital add-ons already set	R0210	0
of which, capital add-ons already set - Article 37 (1) Type a	R0211	0
of which, capital add-ons already set - Article 37 (1) Type b	R0212	0
of which, capital add-ons already set - Article 37 (1) Type c	R0213	0
of which, capital add-ons already set - Article 37 (1) Type d	R0214	0
Solvency Capital Requirement	R0220	430.089
Other information on SCR		
Capital requirement for duration-based equity risk sub-module	R0400	0
Total amount of Notional Solvency Capital Requirements for remaining part	R0410	0
Total amount of Notional Solvency Capital Requirements for ring-fenced funds	R0420	0
Total amount of Notional Solvency Capital Requirements for matching adjustment portfolios	R0430	0
Diversification effects due to RFF nSCR aggregation for article 304	R0440	0

Approach to tax rate

		Yes/No
		C0109
Approach based on average tax rate	R0590	1 - Yes

Calculation of loss absorbing capacity of deferred taxes

		LAC DT
		C0130
LAC DT	R0640	-79.722
LAC DT justified by reversion of deferred tax liabilities	R0650	-89.388
LAC DT justified by reference to probable future taxable economic profit	R0660	-84.180
LAC DT justified by carry back, current year	R0670	93.846
LAC DT justified by carry back, future years	R0680	0
Maximum LAC DT	R0690	-79.722

S.28.02.01 - Minimum capital Requirement - Both life and non-life insurance activity

		Non-life activities	Life activities
		C0010	C0020
Linear formula component for non-life insurance and reinsurance obligations	R0010	175.288	0

Linear formula component for non-life insurance and reinsurance obligations

MCR calculation Non Life		Non-life activities		Life activities	
		Net (of reinsurance/SPV) best estimate and TP calculated as a whole	Net (of reinsurance) written premiums in the last 12 months	Net (of reinsurance/SPV) best estimate and TP calculated as a whole	Net (of reinsurance) written premiums in the last 12 months
		C0030	C0040	C0050	C0060
Medical expense insurance and proportional reinsurance	R0020	3.124	5.627	0	0
Income protection insurance and proportional reinsurance	R0030	49.241	51.027	0	0
Workers' compensation insurance and proportional reinsurance	R0040	0	0	0	0
Motor vehicle liability insurance and proportional reinsurance	R0050	684.932	403.183	0	0
Other motor insurance and proportional reinsurance	R0060	86.830	106.080	0	0
Marine, aviation and transport insurance and proportional reinsurance	R0070	5.288	1.819	0	0
Fire and other damage to property insurance and proportional reinsurance	R0080	99.406	80.805	0	0
General liability insurance and proportional reinsurance	R0090	160.021	48.692	0	0
Credit and suretyship insurance and proportional reinsurance	R0100	44.483	27.096	0	0
Legal expenses insurance and proportional reinsurance	R0110	6.321	2.432	0	0
Assistance and proportional reinsurance	R0120	2.350	12.408	0	0
Miscellaneous financial loss insurance and proportional reinsurance	R0130	4.861	1.897	0	0
Non-proportional health reinsurance	R0140	0	0	0	0
Non-proportional casualty reinsurance	R0150	0	0	0	0
Non-proportional marine, aviation and transport reinsurance	R0160	0	0	0	0
Non-proportional property reinsurance	R0170	0	0	0	0

Linear formula component for life insurance and reinsurance obligations

MCR calculation Life		Non-life activities		Life activities	
		Net (of reinsurance/SPV) best estimate and TP calculated as a whole	Net (of reinsurance/SPV) total capital at risk	Net (of reinsurance/SPV) best estimate and TP calculated as a whole	Net (of reinsurance/SPV) total capital at risk
		C0090	C0100	C0110	C0120
Obligations with profit participation - guaranteed benefits	R0210	0		3.250.348	
Obligations with profit participation - future discretionary benefits	R0220	0		122.963	
Index-linked and unit-linked insurance obligations	R0230	0		685.263	
Other life (re)insurance and health (re)insurance obligations	R0240	0		56.325	
Total capital at risk for all life (re)insurance obligations	R0250		0		2.294.240

		Non-life activities	Life activities
		C0070	C0080
Linear formula component for life insurance and reinsurance obligations	R0200	0	121.454

Overall MCR calculation

		C0130
Linear MCR	R0300	296.742
SCR	R0310	430.089
MCR cap	R0320	193.540
MCR floor	R0330	107.522
Combined MCR	R0340	193.540
Absolute floor of the MCR	R0350	8.000

		C0130
Minimum Capital Requirement	R0400	193.540

Notional non-life and life MCR calculation

		Non-life activities	Life activities
		C0140	C0150
Notional linear MCR	R0500	175.288	121.454
Notional SCR excluding add-on (annual or latest calculation)	R0510	254.057	176.032
Notional MCR cap	R0520	114.325	79.214
Notional MCR floor	R0530	63.514	44.008
Notional Combined MCR	R0540	114.325	79.214
Absolute floor of the notional MCR	R0550	4.000	4.000
Notional MCR	R0560	114.325	79.214

ANNEX 2 – REPORT OF THE INDEPENDENT AUDITORS

Relazione della società di revisione indipendente ai sensi dell'articolo 47-septies, comma 7 del DLgs 209/2005 e dell'articolo 4, comma 1, lettere A e B, del Regolamento IVASS 42/2018

Al Consiglio di Amministrazione di

HDI Assicurazioni SpA

Modelli "S.02.01.02 - Stato Patrimoniale" e "S.23.01.01 - Fondi propri" e relativa informativa contenuti nella Relazione sulla Solvibilità e Condizione Finanziaria al 31 dicembre 2025

Giudizio

Abbiamo svolto la revisione contabile dei seguenti elementi dell'allegata Relazione sulla Solvibilità e Condizione Finanziaria (la "SFCR") di HDI Assicurazioni SpA (la "Società") per l'esercizio chiuso al 31 dicembre 2025, predisposta ai sensi dell'articolo 47-septies del DLgs 209/2005:

- modelli "S.02.01.02 - Stato Patrimoniale" e "S.23.01.01 - Fondi propri" (i "modelli di MVBS e OF");
- sezioni "D. Valutazione ai fini di solvibilità" e "E.1 Fondi propri" (l'"informativa").

Le nostre attività non hanno riguardato:

- le componenti delle riserve tecniche relative al margine di rischio (voci R0550, R0590, R0640, R0680 e R0720) del modello "S.02.01.02 - Stato Patrimoniale";

- il Requisito patrimoniale di solvibilità (voce R0580) e il Requisito patrimoniale minimo (voce R0600) del modello "S.23.01.01 - Fondi propri",

che pertanto sono esclusi dal nostro giudizio.

I modelli e l'informativa, con le esclusioni sopra riportate, costituiscono nel loro insieme "i modelli di MVBS e OF e la relativa informativa".

A nostro giudizio, i modelli di MVBS e OF e la relativa informativa inclusi nella SFCR di HDI Assicurazioni SpA per l'esercizio chiuso al 31 dicembre 2025, sono stati redatti, in tutti gli aspetti significativi, in conformità alle disposizioni dell'Unione Europea direttamente applicabili e alla normativa nazionale di settore.

Elementi alla base del giudizio

Abbiamo svolto la revisione contabile in conformità ai principi di revisione internazionali (ISAs). Le nostre responsabilità ai sensi di tali principi sono ulteriormente descritte nella sezione "Responsabilità della società di revisione per la revisione contabile dei modelli di MVBS e OF e della relativa informativa" della presente relazione. Siamo indipendenti rispetto alla Società in conformità alle norme e ai principi in materia di etica e di indipendenza del Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) emesso dall'International Ethics Standards Board for Accountants applicabili alla revisione contabile dei modelli e della relativa informativa. Riteniamo di aver acquisito elementi probativi sufficienti e appropriati su cui basare il nostro giudizio.

Richiamo di informativa - Criteri di redazione, finalità e limitazione all'utilizzo

Richiamiamo l'attenzione alla sezione "D. Valutazione ai fini di solvibilità" che descrive i criteri di redazione. I modelli di MVBS e OF e la relativa informativa sono stati redatti, per le finalità di vigilanza sulla solvibilità, in conformità alle disposizioni dell'Unione Europea direttamente applicabili e alla normativa nazionale di settore, che costituiscono un quadro normativo con scopi specifici. Di conseguenza possono non essere adatti per altri scopi.

Il nostro giudizio non è espresso con rilievi con riferimento a tale aspetto.

Altri aspetti

La Società ha redatto il bilancio d'esercizio al 31 dicembre 2025 in conformità alle norme italiane che ne disciplinano i criteri di redazione, che è stato da noi assoggettato a revisione contabile a seguito della quale abbiamo emesso la nostra relazione di revisione datata 2 aprile 2026.

La Società ha redatto i modelli "S.25.01.21 - Requisito patrimoniale di solvibilità per le imprese che utilizzano la formula standard" e "S.28.02.01 - Requisito patrimoniale minimo - Sia attività di assicurazione vita che attività di assicurazione non vita" e la relativa informativa presentata nella sezione "E.2 Requisito patrimoniale di solvibilità e requisito patrimoniale minimo" dell'allegata SFCR in conformità alle disposizioni dell'Unione Europea direttamente applicabili, alla normativa nazionale di settore e ai parametri specifici dell'impresa, che sono stati da noi assoggettati a revisione contabile limitata, secondo quanto previsto dall'articolo 4, comma 1, lett. c) del Regolamento IVASS 42/2018, a seguito della quale abbiamo emesso in data odierna una relazione di revisione limitata allegata alla SFCR.

Altre informazioni contenute nella SFCR

Gli amministratori sono responsabili per la redazione delle altre informazioni contenute nella SFCR in conformità alle norme che ne disciplinano i criteri di redazione.

Le altre informazioni della SFCR sono costituite da:

- i modelli "S.05.01.02 - Premi, sinistri e spese per area di attività", "S.12.01.02 - Riserve tecniche per l'assicurazione vita e l'assicurazione malattia SLT", "S.17.01.02 - Riserve tecniche per l'assicurazione non vita", "S.19.01.21 - Sinistri nell'assicurazione non vita", "S.22.01.21 - Impatto delle misure di garanzia a lungo termine e delle misure transitorie", S.25.01.21 -Requisito patrimoniale di solvibilità per le imprese che utilizzano la formula standard" e "S.28.02.01 - Requisito patrimoniale minimo - Sia attività di assicurazione vita che attività di assicurazione non vita";

- le sezioni "A. Attività e risultati", "B. Sistema di governance", "C. Profilo di rischio", "E.2 Requisito patrimoniale di solvibilità e requisito patrimoniale minimo", "E.3 Utilizzo del sottomodulo del rischio azionario basato sulla durata nel calcolo del requisito patrimoniale di solvibilità", "E.4 Differenze tra la formula standard e il modello interno", "E.5 Inosservanza del Requisito patrimoniale minimo e inosservanza del requisito patrimoniale di solvibilità" e "E.6 Altre informazioni".

Il nostro giudizio sui modelli di MVBS e OF e sulla relativa informativa non si estende a tali altre informazioni.

Con riferimento alla revisione contabile dei modelli di MVBS e OF e della relativa informativa, la nostra responsabilità è svolgere una lettura critica delle altre informazioni e, nel fare ciò, considerare se le medesime siano significativamente incoerenti con i modelli di MVBS e OF e la relativa informativa o con le nostre conoscenze acquisite durante la revisione o comunque possano essere significativamente errate. Laddove identifichiamo possibili incoerenze o errori significativi, siamo tenuti a determinare se vi sia un errore significativo nei modelli di MVBS e OF e nella relativa informativa o nelle altre informazioni. Se, in base al lavoro svolto, concludiamo che esista un errore significativo, siamo tenuti a segnalare tale circostanza. A questo riguardo, non abbiamo nulla da riportare.

Responsabilità degli amministratori e del collegio sindacale per i modelli di MVBS e OF e la relativa informativa

Gli amministratori sono responsabili per la redazione dei modelli di MVBS e OF e della relativa informativa in conformità alle norme che ne disciplinano i criteri di redazione e, nei termini previsti dalla legge, per quella parte del controllo interno dagli stessi ritenuta necessaria per consentire la redazione dei modelli di MVBS e OF e la relativa informativa che non contenga errori significativi, dovuti a frodi o a comportamenti o eventi non intenzionali.

Gli amministratori sono responsabili per la valutazione della capacità della Società di continuare a operare come un'entità in funzionamento e, nella redazione dei modelli di MVBS e OF e della relativa informativa, per l'appropriatezza dell'utilizzo del presupposto della continuità aziendale, nonché per una adeguata informativa in materia. Gli amministratori utilizzano il presupposto della continuità aziendale nella redazione dei modelli di MVBS e OF e della relativa informativa a meno che abbiano valutato che sussistono le condizioni per la liquidazione della Società o per l'interruzione dell'attività o non abbiano alternative realistiche a tali scelte.

Il collegio sindacale ha la responsabilità della vigilanza, nei termini previsti dalla legge, sul processo di predisposizione dell'informativa finanziaria della Società.

Responsabilità della società di revisione per la revisione contabile dei modelli di MVBS e OF e della relativa informativa

I nostri obiettivi sono l'acquisizione di una ragionevole sicurezza che i modelli di MVBS e OF e la relativa informativa, nel loro complesso, non contengano errori significativi, dovuti a frodi o a comportamenti o eventi non intenzionali, e l'emissione di una relazione di revisione che includa il nostro giudizio. Per ragionevole sicurezza si intende un livello elevato di sicurezza che, tuttavia, non fornisce la garanzia che una revisione contabile svolta in conformità ai principi di revisione internazionali (ISAs) individui sempre un errore significativo, qualora esistente. Gli errori possono derivare da frodi o da comportamenti o eventi non intenzionali e sono considerati significativi qualora ci si possa ragionevolmente attendere che essi, singolarmente o nel loro insieme, siano in grado di influenzare le decisioni economiche prese dagli utilizzatori sulla base dei modelli di MVBS e OF e della relativa informativa.

Nell'ambito della revisione contabile svolta in conformità ai principi di revisione internazionali (ISAs), abbiamo esercitato il giudizio professionale e abbiamo mantenuto lo scetticismo professionale per tutta la durata della revisione contabile. Inoltre:

- abbiamo identificato e valutato i rischi di errori significativi nei modelli di MVBS e OF e nella relativa informativa, dovuti a frodi o a comportamenti o eventi non intenzionali; abbiamo definito e svolto procedure di revisione in risposta a tali rischi; abbiamo acquisito elementi probativi sufficienti e appropriati su cui basare il nostro giudizio. Il rischio di non individuare un errore significativo dovuto a frodi è più elevato rispetto al rischio di non individuare un errore significativo derivante da comportamenti o eventi non intenzionali, poiché la frode può implicare l'esistenza di collusioni, falsificazioni, omissioni intenzionali, rappresentazioni fuorvianti o forzature del controllo interno;

- abbiamo acquisito una comprensione del controllo interno rilevante ai fini della revisione contabile dei modelli di MVBS e OF e della relativa informativa allo scopo di definire procedure di revisione appropriate nelle circostanze e non per esprimere un giudizio sull'efficacia del controllo interno della Società;

- abbiamo valutato l'appropriatezza dei criteri di redazione utilizzati nonché la ragionevolezza delle stime contabili effettuate dagli amministratori e della relativa informativa;

- siamo giunti a una conclusione sull'appropriatezza dell'utilizzo da parte degli amministratori del presupposto della continuità aziendale e, in base agli elementi probativi acquisiti, sull'eventuale esistenza di un'incertezza significativa riguardo a eventi o circostanze che possono far sorgere dubbi significativi sulla capacità della Società di continuare a operare come un'entità in funzionamento. In presenza di un'incertezza significativa, siamo tenuti a richiamare l'attenzione nella relazione di revisione sulla relativa informativa ovvero, qualora tale informativa sia inadeguata, a riflettere tale circostanza nella formulazione del nostro giudizio. Le nostre conclusioni sono basate sugli elementi probativi acquisiti fino alla data della presente relazione. Tuttavia, eventi o circostanze successivi possono comportare che la Società cessi di operare come un'entità in funzionamento.

Abbiamo comunicato ai responsabili delle attività di governance, tra gli altri aspetti, la portata e la tempistica pianificate per la revisione contabile e i risultati significativi emersi, incluse le eventuali carenze significative nel controllo interno identificate nel corso della revisione contabile.

Roma, 3 aprile 2026

PricewaterhouseCoopers SpA

Dario Troja

(Revisore legale)

Relazione di revisione contabile limitata della società di revisione indipendente ai sensi dell'articolo 47-septies, comma 7 del DLgs 209/2005 e dell'articolo 4, comma 1, lettera C, del Regolamento IVASS 42/2018

Al Consiglio di Amministrazione di

HDI Assicurazioni SpA

Modelli "S.25.01.21 - Requisito patrimoniale di solvibilità per le imprese che utilizzano la formula standard" e "S.28.02.01 - Requisito patrimoniale minimo - Sia attività di assicurazione vita che attività di assicurazione non vita" e relativa informativa contenuti nella Relazione sulla Solvibilità e Condizione Finanziaria al 31 dicembre 2025

Introduzione

Abbiamo svolto la revisione contabile limitata degli allegati modelli "S.25.01.21 - Requisito patrimoniale di solvibilità per le imprese che utilizzano la formula standard" e "S.28.02.01 - Requisito patrimoniale minimo - Sia attività di assicurazione vita che attività di assicurazione non vita" (i "modelli di SCR e MCR") e dell'informativa presentata nella sezione "E.2 Requisito patrimoniale di solvibilità e requisito patrimoniale minimo" (l'"informativa" o la "relativa informativa") dell'allegata Relazione sulla Solvibilità e Condizione Finanziaria (la "SFCR") di HDI Assicurazioni SpA (la "Società") per l'esercizio chiuso al 31 dicembre 2025, predisposta ai sensi dell'articolo 47-septies del DLgs 209/2005.

I modelli di SCR e MCR e la relativa informativa sono stati redatti dagli amministratori sulla base delle disposizioni dell'Unione Europea direttamente applicabili, della normativa nazionale di settore e dei parametri specifici dell'impresa così come descritto nell'informativa della SFCR e come approvato da parte di IVASS.

Responsabilità degli amministratori

Gli amministratori sono responsabili per la redazione dei modelli di SCR e MCR e della relativa informativa in conformità alle disposizioni dell'Unione Europea direttamente applicabili, alla normativa nazionale di settore e ai parametri specifici dell'impresa così come descritto nell'informativa della SFCR e come approvato da parte di IVASS e, nei termini previsti dalla legge, per quella parte del controllo interno dagli stessi ritenuta necessaria per consentire la redazione dei modelli di SCR e MCR e della relativa informativa che non contengano errori significativi, dovuti a frodi o a comportamenti o eventi non intenzionali.

Responsabilità della società di revisione

È nostra la responsabilità di esprimere una conclusione sui modelli di SCR e MCR e sulla relativa informativa. Abbiamo svolto la revisione contabile limitata in conformità all'International Standard on Review Engagements 2400 (Revised) "Engagements to Review Historical Financial Statements". Il principio ISRE 2400 (Revised) ci richiede di giungere a una conclusione sul fatto se siano pervenuti alla nostra attenzione elementi che ci facciano ritenere che i modelli di SCR e MCR e la relativa informativa non siano redatti, in tutti gli aspetti significativi, in conformità alle disposizioni dell'Unione Europea direttamente applicabili, alla normativa nazionale di settore e ai parametri specifici dell'impresa così come descritto nell'informativa della SFCR e come approvato da parte di IVASS. Tale principio ci richiede altresì di conformarci ai principi etici applicabili.

La revisione contabile limitata dei modelli di SCR e MCR e della relativa informativa conforme al principio ISRE 2400 (Revised) è un incarico di assurance limitata. Il revisore svolge procedure che consistono principalmente nell'effettuare indagini presso la Direzione e altri soggetti nell'ambito dell'impresa, come appropriato, e procedure di analisi comparativa, e valuta le evidenze acquisite. Le procedure svolte in una revisione contabile limitata sono sostanzialmente minori rispetto a quelle svolte in una revisione contabile completa conforme ai principi di revisione internazionali (ISA). Pertanto non esprimiamo un giudizio di revisione sui modelli di SCR e MCR e sulla relativa informativa.

Conclusione

Sulla base della revisione contabile limitata, non sono pervenuti alla nostra attenzione elementi che ci facciano ritenere che gli allegati modelli di SCR e MCR e la relativa informativa inclusi nella SFCR di HDI Assicurazioni SpA per l'esercizio chiuso al 31 dicembre 2025, non siano stati redatti, in tutti gli aspetti significativi, in conformità alle disposizioni dell'Unione Europea direttamente applicabili, alla normativa nazionale di settore e ai parametri specifici dell'impresa così come descritto dell'informativa della SFCR e come approvato da parte di IVASS.

Criteri di redazione, finalità e limitazione all'utilizzo

Senza esprimere la nostra conclusione con modifica, richiamiamo l'attenzione alla sezione "E.2 Requisito patrimoniale di solvibilità e requisito patrimoniale minimo" della SFCR che descrive i criteri di redazione dei modelli di SCR e MCR. I modelli di SCR e MCR e la relativa informativa sono stati redatti, per le finalità di vigilanza sulla solvibilità, in conformità alle disposizioni dell'Unione Europea direttamente applicabili, alla normativa nazionale di settore e ai parametri specifici dell'impresa, che costituiscono un quadro normativo con scopi specifici. Di conseguenza possono non essere adatti per altri scopi. In particolare, in conformità a quanto previsto dall'articolo 45-sexies, comma 7, del DLgs 209/2005, l'utilizzo dei parametri specifici dell'impresa, sinteticamente descritti nell'informativa della SFCR è stato approvato dall'IVASS nell'esercizio delle proprie funzioni di vigilanza. Come previsto dall'articolo 13 del Regolamento IVASS 42/2018, le nostre conclusioni non si estendono alle determinazioni assunte dall'IVASS nell'esercizio delle sue funzioni di vigilanza e quindi, in particolare, all'idoneità dei parametri specifici dell'impresa rispetto allo scopo definito dalle disposizioni dell'Unione Europea direttamente applicabili e dalla normativa nazionale.

Roma, 3 aprile 2026

PricewaterhouseCoopers SpA

Dario Troja

(Revisore legale)

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